



WE CARE

CUSTOMERS | EMPLOYEES | SOCIETY



SBFC Finance Private Limited
ANNUAL REPORT 2020-21

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HIGHLIGHTS

As on 31 March 2021

FINANCIAL

₹**3,342** Crores

Assets Under Management (AUM)

↓ 5%

₹**1,266** Crores

Disbursements

↑ 23%

₹**511** Crores

Total Income*

↑ 15%

₹**85** Crores

Profit After Tax*

↑ 140%

OPERATIONAL

1,471

Employees

↑ 27%

56,500+

Customers

↑ 20%

124

Branches

↑ 28%

(All comparisons on y-o-y basis)

Growth ↑
Degrowth ↓

*FY21

WE CARE

CUSTOMERS | EMPLOYEES | SOCIETY

We believe compassion and care are the greatest allies in a crisis. That is exactly what we focused on doing in a challenging FY21 that has few parallels in recent history.

We engaged and supported our teams, who delivered relentlessly to fulfil the expectations of customers. Our strategy was to prioritise the health and wellbeing of our people over short-term gains, and we made every effort to keep the morale of our teams high.

We also ramped up our digital infrastructure to make transactions and interactions with customers seamless and hassle-free. Even in a year full of adversities, we rolled out new products and revamped our processes, so that we never miss an opportunity to onboard new customers or enhance the overall customer experience.

Notwithstanding the headwinds, we all worked hard to reassure our customers, employees and stakeholders of our continued commitment to serve and care. We remain dedicated to the wellbeing of our customers, employees and society.

Read more on our
customer-focused
initiatives

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Read more on our
employee-focused
initiatives

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Read more on
our community-
centric initiatives

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SBFC AT A GLANCE

Committed to Responsible Credit

SBFC is a provider of formal credit to the unserved and underserved segments of society, with an aim to amplify societal impact. We are a systemically important non-deposit taking, non-banking finance company (NBFC) focused on MSMEs, salaried and self-employed non-professionals (SENPs), who are deprived of formal credit due to little or no credit history.

Starting our journey in 2017, we have crossed many milestones. Today, our presence spans 89 cities in 15 states and 3 Union Territories. We adhere to a phygital model, offering our customers bespoke solutions with prudent lending practices and focus on cost efficiencies. Our value creation approach rests on three critical pillars: a commitment to responsible credit, trusting relationships and strategic partnerships with large banks.



Vision

To build a world-class financial institution delivering scale with profitability consistently.



Mission

To make loans easy by designing and delivering them with excellence, innovation and integrity. We will use technology and human knowledge to find deserving customers and make the loan experience easy for them.



Values

Our values are captured in the 3 straight lines appearing on our logo, representing

- Innovation
- Integrity
- Excellence

Integrity is at the heart of our operations, while innovation and excellence are the supporting pillars.

CREDIT RATINGS

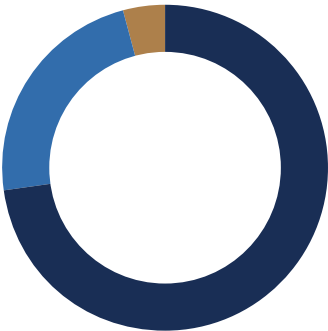


'A' STABLE



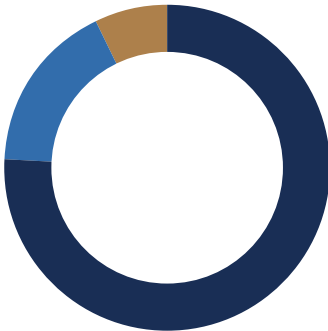
'A' STABLE

Shareholding Pattern (%)



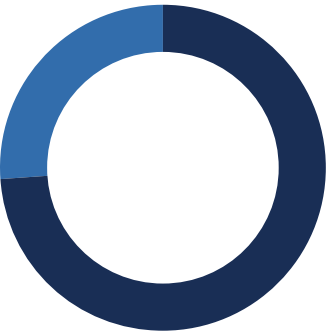
Clermont Group	73
Arpwood Group	23
Management & ESOP Trust	4

AUM Mix (%)



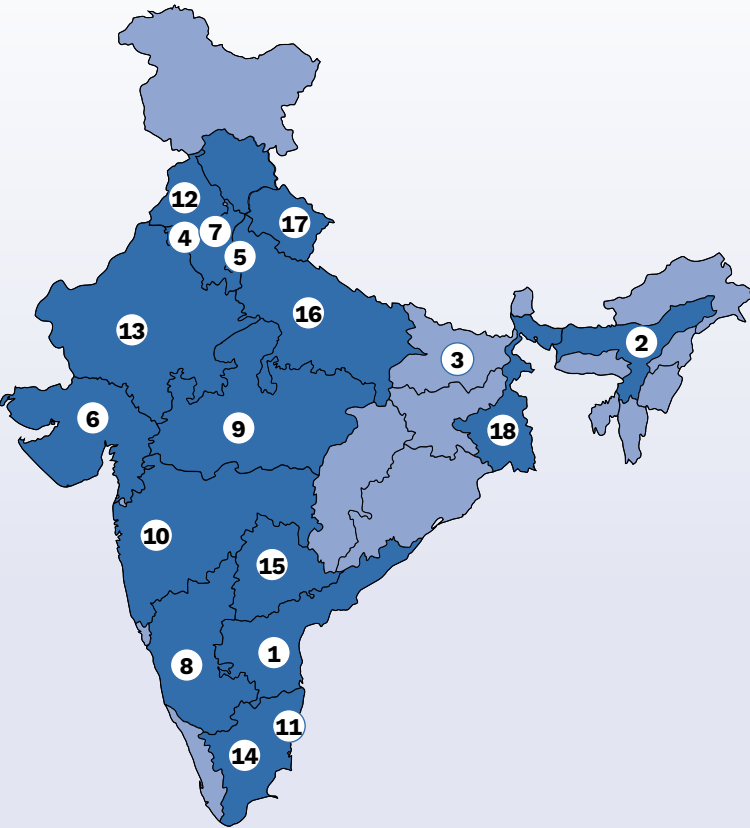
Secured by Property	76
Secured by Gold	17
Unsecured	7

Capital Mix (%)



Debt (Borrowings)	74
Tangible Equity	26

Reaching out to more customers



State/UT	Branches
1. Andhra Pradesh	10
2. Assam	9
3. Bihar	2
4. Chandigarh	1
5. Delhi	4
6. Gujarat	8
7. Haryana	5
8. Karnataka	14
9. Madhya Pradesh	12
10. Maharashtra	15
11. Pondicherry	1
12. Punjab	3
13. Rajasthan	4
14. Tamil Nadu	4
15. Telangana	10
16. Uttar Pradesh	14
17. Uttarakhand	3
18. West Bengal	5

124
Branches

89
Cities

15
States

3
Union Territories

PRODUCT PORTFOLIO

Our Offerings

We provide secured and unsecured loans to credit-worthy MSMEs and individual customers, having little or no formal credit history, to deliver on the government's financial inclusion agenda. Our lending products are designed to meet the diverse requirements of customers, while meeting our threshold asset quality requirements.

SECURED LOANS

MSME Loans



Products

Secured loans for MSMEs to meet working capital and term loan requirements

Borrower Profile

MSMEs and self-employed non-professionals (SENPs) with collaterals looking to fund business expansion

Salient Features

- Maximum value for borrowers' assets
- Priced at competitive interest rates
- Simplified documentation
- Disbursal of loans within a fortnight

Portfolio Highlights

AUM	% of Total AUM	Ticket size	Customer outreach
₹1,481 Crores	44	₹1-50 Lakhs	9,000+
Loan tenure	Average loan-to-value		
3-12 years	42%		

Gold Loans



Products

Loans secured against gold disbursed instantly, offering high flexibility in repayments

Salient Features

- Competitive interest rates, charged on diminishing balance of loan
- Disbursal within 30 minutes
- Immediate Payment Service (IMPS) fund transfer facility
- Flexible repayment options

Borrower Profile

Individuals looking for immediate liquidity, with gold as collateral

Portfolio Highlights

AUM	% of Total AUM	Average ticket size	Customer outreach
₹560 Crores	17	₹90,000	36,000+
Loan tenure	Average loan-to-value		
3-12 months	60%		

UNSECURED LOANS

Personal Loans



Products

Unsecured, multi-purpose small-ticket loans for salaried individuals

Borrower Profile

Salaried individuals, Government employees in particular

Salient Features

- Simplified, digital process for application and approval
- Services at borrowers' doorsteps
- Loan disbursal in 3 days

Portfolio Highlights

AUM	% of Total AUM	Ticket size	Customer outreach
₹162 Crores	5	₹50,000-10 Lakhs	7,000+
Loan tenure			
6-60 months			

Business and Professional Loans



Products

Unsecured, short-term loans for meeting working capital requirements and other purposes

Borrower Profile

- Small businesses looking to finance additional requirements for working capital, stock-up for festive season, or any other purposes
- Professionals such as doctors or chartered accountants looking to set up their practice or for any other purposes

Salient Features

- Loan against business, professional income without any collateral
- Competitive interest rates
- Simplified documentation
- Loans disbursed in 5 days

Portfolio Highlights

AUM	% of Total AUM	Ticket size	Customer outreach
₹57 Crores	2	₹2-15 Lakhs	2,000+
Loan tenure			
12-48 months			

PRODUCT PORTFOLIO

Loan Management Services

Our deep industry insight, years of experience, strong collections efficiency have enabled us to enter this space. Some quick turnarounds helped us gain popularity in the industry on the collections front. Institutions approached us to help them with their investments in securitised portfolios. We leveraged this opportunity and designed a full-fledged service called 'Loan Management Service (LMS)'.

We are now managing the entire loan book for lending companies on an end-to-end basis. This encompasses customer service, collections, legal work among others, to ensure maximum recovery for the investors. This niche offering helps bolster our fee income, without any risk on our books, and strengthens our position as a reliable industry player. LMS comprises Master Servicer and Back-up Servicer facilities.



Master Servicer

Our role in Loan Management Service of a Master Servicer is a complex role, but we manage it well on the back of our inherent strengths of management expertise, branch network and collections efficiency.



DATA MANAGEMENT

We manage data by identifying, reviewing and verifying master and transactions data. This data is then migrated to the middleware and pushed into our LMS. All the fields of the customers together with complete history is extracted into the middleware, so that the customer doesn't need to go back to the originator for any service request.



RECORD MANAGEMENT

All documents relating to property and customer credit files, as well as KYC files are transferred to our custody. We utilise services of reputed record management players. Following the transfer, all record retrievals and management are under our control and property papers are returned to customers post closure of the loans.



CUSTOMER SERVICE MANAGEMENT

Customer service management is one of the most vital aspects of our LMS. We setup dedicated lines and emails on our customer service desk. The customers can avail services from any of our pan-India branches for query resolution. We carry out extensive communication with the customers through multiple channels, including emails and SMS, informing them about the change of servicer and the customer care details of SBFC. Our customer service provides support to customers and addresses their queries, including balance confirmation, property documents, loan interest calculations, foreclosures, tax certificate, bounced EMI and also updates customer data such as KYC, contact details and so on.



COLLECTION MODE MANAGEMENT

NACH, ECS and Direct Debits are ported from the originator's account to the investor's account. We also ensure on-ground cheque and cash collections wherever required. All the repayments are pooled into the investor's account and the collection data is updated in the LMS on real time basis.



LEGAL AND COMPLIANCE MANAGEMENT

Procedures for legal and compliance management are also within our scope of work under LMS. Our delinquency management app aids the collection efforts of our on-ground staff. Legal notices under section 138 of the Negotiable Instrument Act and that under the Securitisation and Reconstruction of Financial Assets and Enforcement of Securities Interest Act, 2002 (SARFAESI Act) are served to customers for bounced and delinquent cases. Property is attached, auctioned and money is recovered under the legal process. We also undertake negotiation and settlement of loans. Additionally, charges are satisfied on closure of loans, in addition to CIBIL and RBI reporting and regulatory compliances with GST and Income Tax.



MIS AND REPORTING

We have a strong reporting mechanism. The granularity and detailed nature of management information system (MIS) can be ascertained from the fact that we have customer-wise and location-wise collection efficiency reports. The payout reports and bounce reports are submitted to the originator and investor. The analysis of delinquencies is carried out under various buckets. The legal department provides the MIS on litigation cases. Additionally, any other requests for customised reports by the originator/investor/SPV are honoured by the MIS department.

Back-up Servicer

This is a prevalent concept in several developed markets, wherein a Back-up servicer is appointed at the inception of the securitisation transaction. An early-stage appointment of a Back-up servicer eliminates legal risks wherein in the event of bankruptcies of the originator, it becomes legally difficult to change the servicer. We, as a Back-up servicer, remain on the standby and assume the role of Master Servicer in the event of default of existing servicer or originator, as the case may be.

Within a maximum of 45 days upon trigger by the Investor, the Back-up servicer assumes the role of Master servicer. Our role here involves mapping the portfolio to its network and develop readiness in terms of feet-on-ground efforts. To maintain consistent information flow, data is transferred every quarter to our LMS, post which we analyse and monitor collection performance.

MESSAGE FROM THE FOUNDING TEAM

Delivering with Commitment and Compassion



"We are making a difference with compassion towards all stakeholders and a proactive response to the crisis."

Dear Stakeholders,

We write to you at an extremely challenging period in recent history. COVID-19 which began as a health hazard soon turned out to be one of the most unfortunate catastrophes in living memory. The loss of lives and livelihoods is immense and can only be properly gauged after the impact of the pandemic gradually wanes and life returns to complete normalcy.

At SBFC, we are supporting all our employees, customers, community members and other stakeholders in the best way we can. We salute the sacrifice and contribution of thousands of frontline workers in this war against COVID and stand in solidarity with all those who have lost their near and dear ones. Let's all combat the crisis together with compassion, faith and hope.

COMPASSION MATTERS MOST

We made the best possible efforts to help our teams, who are relentlessly striving to ensure business continuity, despite personal challenges. Our offices were shut during the lockdown and people worked from home. Post relaxation of lockdown norms, we provided flexibility to our teams, and they could choose whether they want to continue working from home or return to office.

We regularly connected with all our employees to check on their and their family's wellbeing through what we termed as 'Compassionate Connect'. This went a long way in bolstering the trust and confidence of our people. A COVID-free work environment was ensured with compliance to safety measures, regular COVID tests, other precautions, as well as vaccination drives. We provided our customers moratorium benefits, loan guarantee schemes and one-time restructuring benefits. In addition, we stepped up our digital initiatives to provide our customers faster and secure digital conveniences and services. These initiatives helped us enhance our engagement with customers. We also contributed towards larger societal good by providing oxygen concentrators, ventilators, other COVID-care products and provisions of meals to the sick and poor through our NGO partners.

PERFORMING AMID HEADWINDS

During FY21, we performed well, despite the pandemic-induced disruptions. Our disbursements grew by 23% to ₹1,266 Crores, which led a growth of 15% in total income to ₹511 Crores during the year. However, we also had our share of challenges, which were overcome through meticulous planning and perseverance. The initial five months of FY21 were fraught with uncertainty in the operating environment, translating into almost zero incremental business. However, we optimised our costs to the extent possible and focused on accelerating our collections. I must thank all our team members who stepped up our collection efforts, even going beyond their call of duty and multi-tasking to ensure the Company's liquidity engine remains well-oiled.

We have also taken a unanimous decision to continue with the existing pay structure and other employee expenses without any down revision following COVID-induced headwinds to the business.

With periodic restrictions imposed on the movement of people because of the pandemic, our customers were not able to visit branches and conduct transactions, or make enquiries and avail services. Therefore, we strengthened our digital ecosystem substantially to help our customers in their critical hour of need. Our end-to-end digital products, app and WhatsApp-based customer service, top-ups, payments, disbursements, KYC and a host of other features were enabled through the digital platform. Our relationship managers hand-held customers through their entire digital journey.

We also introduced unique products such as Gold Genie, digital personal loans and online top-ups, which reinforce our commitment to customer-centricity and innovation. Our products, level of customer services, quick uptake of advanced technologies have helped us strengthen our business and profitability.

These initiatives translated into 140% growth in our Profit After Tax to ₹85 Crores during FY21.

GROWING WITH ALL STAKEHOLDERS

Our aim is to grow in a sustainable manner, with all our stakeholders as partners in our progress. With dedicated social interventions, we are making a difference in the lives of our larger fraternity of stakeholders. During the year, we continued to support the education of 21 specially-abled students and full treatment cost of 20 Cancer patients, apart from the various COVID-related initiatives.

We take this opportunity to thank all our Board members and other stakeholders including customers, employees, shareholders, government, regulators and society at large, for making us successful and continuing to repose their faith in our vision and capabilities.

Warm regards,

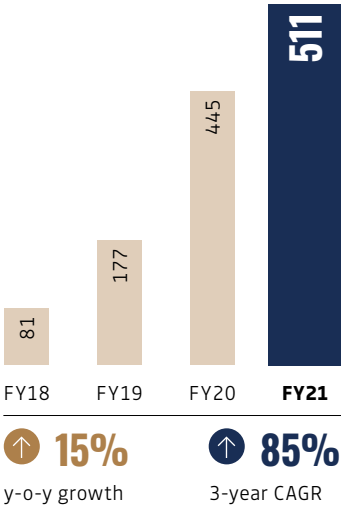
Leadership Team

KEY PERFORMANCE INDICATORS

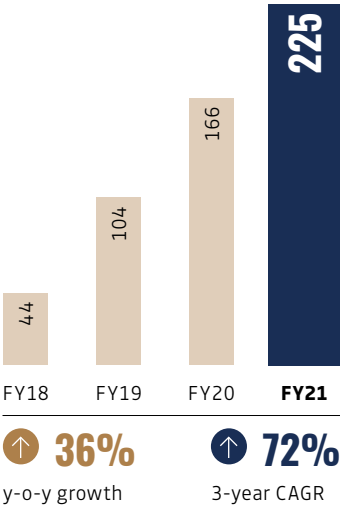
Strong Track Record

FINANCIAL

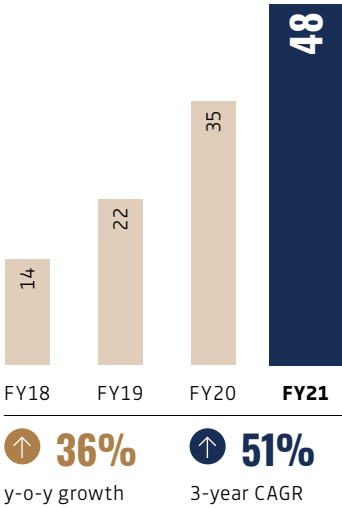
Total Income
(₹ in Crores)



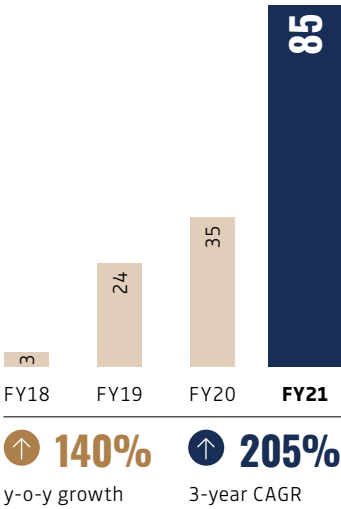
Net Interest Income
(₹ in Crores)



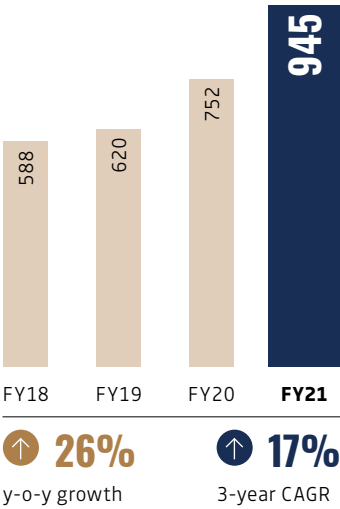
Fee and Other Income
(₹ in Crores)



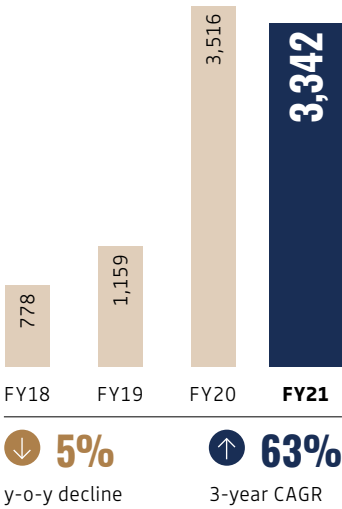
PAT
(₹ in Crores)



Tangible Net Worth
(₹ in Crores)

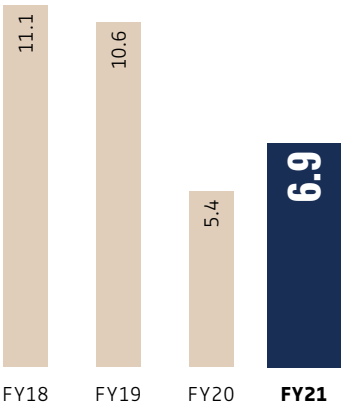


AUM
(₹ in Crores)

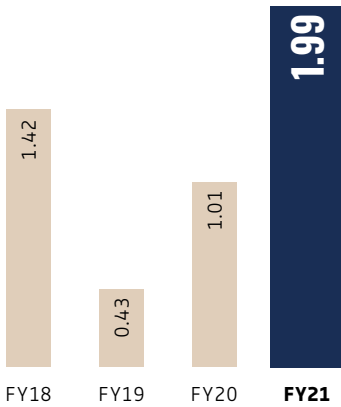


KEY RATIOS

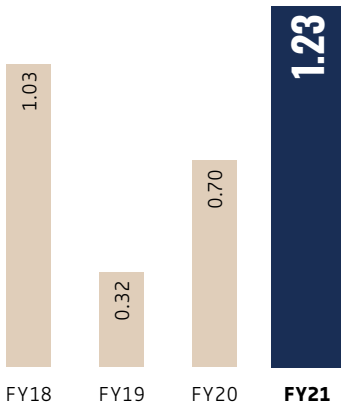
Net Interest Margin (NIM)
(%)



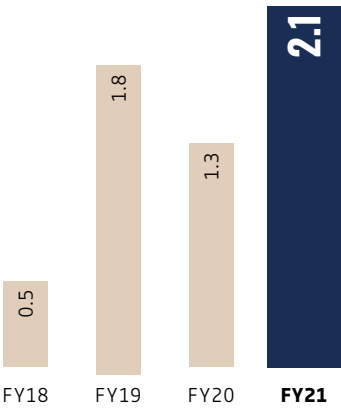
Gross NPA
(%)



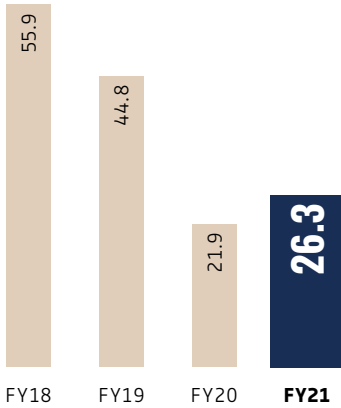
Net NPA
(%)



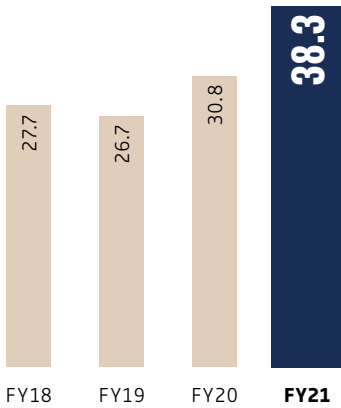
RoA
(%)



CRAR
(%)

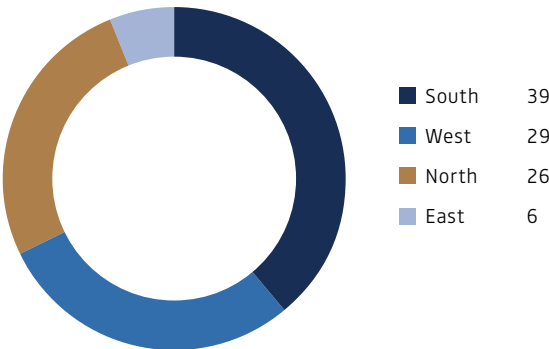


Provision Coverage Ratio
(%)

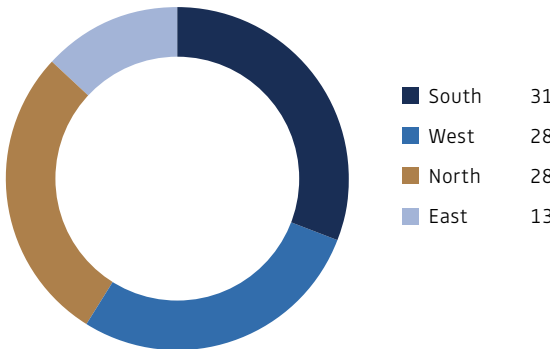


OPERATIONAL HIGHLIGHTS

FY21 AUM Mix (%)



FY21 Branch Mix (%)



CARING FOR OUR CUSTOMERS

With Tech-enabled Innovation

Today, customers expect services anytime, anywhere and on the medium of their choice. It is their aspiration that defines our strategy. In order to keep pace with the changing aspirations, our business has continuously innovated with technology to make loans easy for customers.

Digitalisation

The financial services sector in India took a huge step towards digitalisation during the pandemic.

We have also taken numerous steps under digitalisation to ensure an enhanced customer experience with a digital lead generation, smoother customer onboarding, automated loan management, better customer service and new value-added services.



Key digitalisation initiatives during FY21 include:

GOLD GENIE

Customers can avail gold loans from the comfort of their homes.

DIGITAL PERSONAL LOAN

Complete online loans for salaried customers, provided within 10 minutes, including all financial and bureau checks, as per inputs from the customer. Customer fulfilment is facilitated through e-agreement, eNACH and e-KYC.

ONLINE TOP-UP

Gold loan customers can avail easy top-ups on their existing loans with 1 click through SBFC website or app.

DOCUMENT DIGITISATION

SBFC customer app provides all documents for all types of loans, such as KYC, interest certificate and loan closure documents.

WHATSAPP INTEGRATION

Most of the servicing is done through the whatsapp business account. It helps existing customers to check their EMI amount, next EMI date and other such information through a simple request.

DIGITAL LEAD GENERATION

We reach out to potential and existing customers through all possible digital mediums, including Facebook, Google, Instagram and affiliates.

Digitalisation at SBFC encompasses major processes



CUSTOMER ONBOARDING SBFC website

Automated lead generation through online marketing and closure through CRM application

SBFC app

Sales team provided with the app to generate leads

Digital channel partners

Generic API for real-time lead generation from online channel partners



LOAN ORIGATION SYSTEM (LOS) Automation

Pre-filled application form, standard formats for sanction letter and application forms accelerates processes

Simplified process

- Single origination system
- Common aggregators for all products
- Customer dedupe checks

Multi-functional

- Intimation framework
- Top-up for secured loans
- Co-origination with ICICI Bank
- Self-serve module for Personal Loans



LOAN MANAGEMENT SYSTEM (LMS) Universal platform for data migration

- Ensures data standardisation as per SBFC's requirements
- Incorporates impact assessment
- Seamless integration with CRM, customer app, payment gateways, collection app and LOS app
- Customer service requests for documentation fulfilled eg. Statement of Account, Provisional Income Tax Certificate



DIGITAL REPAYMENT Paperless repayment through eNACH

- Requires only one-time mandate
- Activated within 1-2 days
- Authenticated with only Net Banking/Debit Card/Adhaar details
- Low regulatory concerns
- Cost-effective process
- Integration of other systems

Other digital repayment options with real-time clearance and generation of digital receipts, reconciliation and better customer experience

- Digital wallets
- Net banking
- UPI
- Debit Card



INSURANCE

- Integrate Health and Life Insurance through API
- Automate premium calculation on the basis of loan amount, tenor and applicant age
- Instant policy generation, sent to the customer on email
- Online reconciliation of cases and accounts



SERVICE APPS Delta Omega

- Real-time settlement of EMIs and dues
- Digital receipt generation
- Reports from front end and collection teams

Customer App

- QR code for auto download
- Online payment option
- Statement of Account and Interest Certificate request fulfilled digitally
- Digital payment through wallets and UPI



CUSTOMER CARE SERVICE SOLUTION

- 100% call recording and call-back functionality
- Creation and management of different campaigns
- Real-time agent productivity management
- CRM integration for real-time customer details



WHATSAPP FOR BUSINESS

Already available features

- EMI Due
- Loan Outstanding
- Next EMI Amount
- Next EMI Due Date

New features added

- Statement of Accounts request
- Interest Certificates request

Upcoming features

- Maximising opt in coverage
- Sending promotional media to opt in customers

CARING FOR OUR CUSTOMERS

Gold Genie

We introduced this innovative gold loan product during FY21

The customers are required to provide only 3 basic documents and all other processes are taken care of by the SBFC team.

The uniqueness of our product is that, rather than the conventional way of having to personally bring one’s jewellery to a gold loan facility – a process that includes navigating India’s heavy traffic, negotiating terms, and then taking the risk of carrying cash back home – the Gold Genie process can be activated with a button’s click from the safety and security of one’s home.



Features

Customer appointments Scheduled as per customer availability	Loan origination Through social media or SBFC website	Prompt customer service Call back within 30 seconds of confirmation of interest in our gold loan product
Transparent processes Continuous updates to customers to maintain transparency	Faster processing All KYC details/documents are utilised ensuring the TAT/SLA is reduced with auto population of all details	Real-time monitoring Trust and authenticity is enhanced, with real-time monitoring of progress
Geo-fencing Real-time tracking of representatives visiting customers	Digitised valuation Valuation of gold and capturing of jewellery image directly in the LOS application	Automation Instant customer dedupes and pre-filling of data, reducing manual data entry and improving TAT
Instant validation Real-time bank account validation	Faster disbursement Loan disbursal at customers’ doorstep within 30 minutes	Digitised documentation Real-time pledge document sent through WhatsApp post disbursal
Digital disbursement Real-time money credit into the customer’s account through IMPS	High digital security Barcode scanning and jewellery packet verification at the branch ensures end-to-end security of transaction	Doorstep service Content Management Platform stores and fetches 600+ data, documents and images for a single transaction for easy access.

CARING FOR OUR CUSTOMERS

Grit and perseverance will prevail

We are serving 56,500+ credit-worthy customers. Each has a unique story to tell, which can be a great learning experience for us. We have curated two inspirational success stories, which can motivate us to continue, despite challenges.

Enabling entrepreneurs to navigate challenges



"I am grateful to SBFC for supporting my business in times of extreme hardship."

Mr. Golla Kondala Rao

Business: M/S Kondala Rao Bricks
Location: Andhra Pradesh
Loan amount: ₹1,500,000
Product: MSME Loan

Mr. Golla Kondala Rao's entrepreneurial capabilities have enabled his company Kondala Rao Bricks to grow over the years. The company manufactures red bricks since 2014, with a capacity of 100,000 bricks per week. The second wave of COVID proved to be more disastrous than the initial one for Mr. Rao. The lockdown led to difficulty in procuring raw materials and also paying his employees. He approached us and our simplified documentation and quick disbursal of loan helped him continue the business, despite the COVID-induced headwinds.

Lack of timely funds would have led to the cancellation of his customers' orders and shifting of his employees to peer factories, due to non-payment of wages. Our timely intervention helped Mr. Rao to deliver his customers' orders within the stipulated timeline. He was also able to pay timely salaries to his 15-member team.

Ensuring business continuity in times of stress



"I have taken the right decision to have approached SBFC for my loan. I am deeply thankful for what SBFC has done for my business."

Mr. Syed Waseem Raj

Business: M/S SAP Kirana & General Store
Location: Secunderabad (Telangana)
Loan amount: ₹1,325,000
Product: MSME Loan

Mr. Raj runs a kirana store from his own premises. Since he intended to bolster the inventory of his stores, he approached us in December 2020 for a loan. We sanctioned a loan of ₹13.25 Lakhs against the security of his residential property.

We had deep faith in Mr. Raj's entrepreneurial capabilities and his repayment abilities. We supported his business during the darkest hour of COVID-19, when the entire world was reeling under the impact of the deadly virus, and small businesses in India were hit hard. Our proactive disbursal of loan after the first wave of COVID-19 enabled his business to stay afloat with a strong liquidity buffer. Mr. Syed Waseem Raj has regularly paid all his EMIs and is happy about the customer service that he has received.

SBFC displayed empathy during the crises period



Customer name: Mr. Chandan Kumar
Location: Delhi
Loan amount: ₹100,000
Product: Personal Loan

Mr. Kumar availed a personal loan from us when he was working in a private company. However, during the lockdown he lost his job and was not paying his dues to SBFC for the last six months.

He started driving an auto rikshaw to earn his livelihood. On reaching out to him, we were apprised of his situation. Since the customer had an intention to pay, we made him aware of how his non-payment is affecting his CIBIL score, and his future prospects in getting a loan as well as a job in any organisation. We guided him on the restructure process.

Mr. Kumar was not aware of any such scheme. We helped him book a new Restructured Loan with a smaller EMI and helped him with the moratorium of his original loan. Now, he is paying both his EMIs regularly and has not defaulted on any payments.



EXTERNAL ENVIRONMENT

Opportunities that Enable Growth

At SBFC, we keep a close watch on the macro-economic landscape and the specific trends that shape our industry. The NBFC space is ripe with robust opportunities as credit demand in India is likely to rise significantly, especially in the micro, small and medium enterprise (MSME) segment of the economy. Continued accommodative monetary policy of the RBI and faster economic recovery are expected to fuel credit demand further. In such a scenario, industry players with good governance and risk management, underwriting skills, deep local insights and growing market share are likely to benefit.

Growing MSME credit demand

The micro, small and medium enterprises (MSMEs) are the backbone of the Indian economy. They contribute approximately 30% of India's Gross Domestic Product (GDP). They also contribute about 40% of India's overall exports and are vital to complete the supply chain of big businesses.

The Government is optimistic to drive growth for this sector and enhance their contribution to around 40% of GDP. However, there is a huge unmet demand for credit in this sector, primarily because they lack proper documentation for traditional channels of financing.

- Credit gap for MSMEs in India represents huge unfulfilled demand and great opportunity for NBFCs
- During FY21, the MSME lending witnessed high growth as against an overall market growth of 0.74%

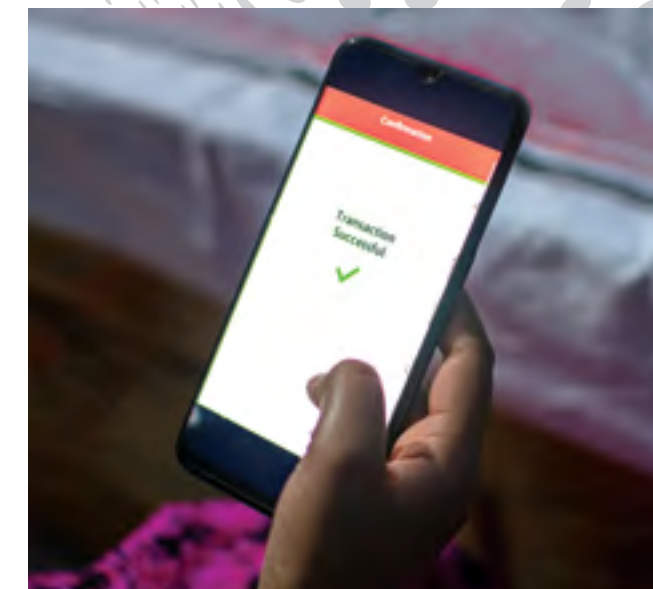


\$380 Billion¹
MSME credit gap in India

6.6%²
MSME lending growth
(March 2020-March 2021)

¹ World Bank estimates

² Transunion CIBIL's MSME Pulse, June 2021



Liquidity-boosting measures

The Government announced and implemented a host of fiscal measures to tackle the COVID crisis. The Reserve Bank of India also responded with aggressive rate cuts, massive liquidity infusion, and moratorium as a temporary relief to borrowers, and a one-time option to restructure the loans of borrowers.

RBI'S RESPONSE TO THE COVID CRISIS

- **Special Liquidity Scheme (SLS)** amounting to ₹30,000 Crores for the NBFCs to manage liquidity issues
- **Co-lending** by banks and NBFCs to priority sector, with minimum 20% share of individual loans by NBFCs
- **100% credit guarantee scheme (ECLGS) Emergency Credit Line Guarantee Scheme** of ₹3 Lakh Crores for credit infusion for MSMEs to ease burden for MSMEs to manage post-moratorium repayment stress

Rising digitalisation

India has one of the cheapest data rates. This has led to a phenomenal growth in the use of smartphones. Higher internet connectivity, affordable data plans and Government's push for digitalisation through Digital India and BharatNet have led to more financial services being digitalised. Growth in digital payments is expected to continue, boosting the trend.

- Digital payments volume in India has grown at a compound annual growth rate (CAGR) of over 55% in the past five years from 5.9 Billion in FY16 to 34.3 Billion in FY20, almost six times in 5 years⁴
- UPI transaction volumes grew by 116.5%, while transactions grew by 144.1% y-o-y during March 2021⁵
- Digital payments are expected to grow to over ₹7,000 Crores by FY25⁶

Our response

- Digital products such as Gold Genie digital personal loans and online top-ups to help the targeted underserved segment adapt to the new normal
- 360° digital solutions to drive originations, sales efficiency, cost optimisation and customer delight
- Range of digital apps and systems launched such as Loan Origination System (LOS), Loan Management System (LMS), Customer Service Apps including Whatsapp for business, Digital Payment options and so on for simplification, faster turnaround times and better suitability to adapt to the new normal

⁴ RBI, ⁵ KPMG, ⁶ India Trend Book Report

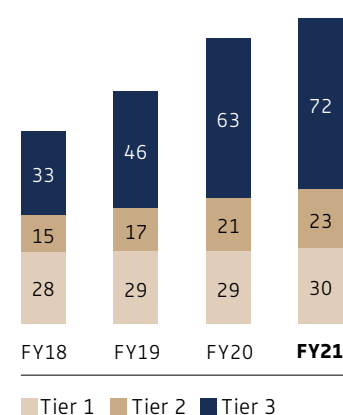


Deepening our presence

We have increased our distribution outreach by 34 cities. We are now covering at least one-fourth of the total districts in every state. With the newly introduced products and improved processes with higher thrust on digitalisation, we are confident that we will be able to achieve consistent and profitable growth.

Indian Tier-II and Tier-III markets are becoming more attractive – both in terms of business growth, as well as liveability index. Our core market segment are these cities, where a large part of the self-employed are underserved people. We will continue to invest in these markets and improve our penetration in every state we are present in.

Tier-II and Tier-III branch expense



₹200 Crores
Revenue by FY22

Tier-II and Tier-III
Market focus to achieve growth objectives

Managing risks proactively

As a policy, we maintain granularity of our loan portfolio, with average ticket size of ₹12 Lakhs. Our portfolio diversity in terms of geography and industry, with no single region contributing to over 20% of our portfolio is an important risk management effort. Our portfolio exposures are largely secured with tangible properties and gold, contributing more than 95% of total AUM. We also maintain a conservative liquidity perspective, and believe in raising medium-to long-term debt, even if the interest arbitrage with short-term debt is negative.

₹12 Lakhs

Average ticket size to maintain portfolio granularity

Growing Profitably

We try to maintain minimum threshold profitability at our product and distribution levels. We believe that reasonable spreads with optimum cost of borrowings are sufficient to absorb fluctuations in business cycles. Our profitability metrics are among the highest in our sector.

₹85 Crores
↑ 140% y-o-y in PAT

CARING FOR OUR EMPLOYEES

Every Step of the Way

At SBFC, we believe that people are enablers of our success. We acknowledge and reward their relentless contributions and ensure an enabling work environment to help them achieve their career aspirations.



Yoga Day



Traditional Day



Women's Day

During the pandemic, we conducted virtual employee engagement activities. This helped us improve our relationships with remote team members, keep them duly engaged and supported in boosting their morale. Our engagement initiatives included the following:

Empathy

We believe compassion and faith are the biggest allies in crisis. We ensured that our people are aware that they are not alone and through 'Compassionate Connect' our senior management were personally in touch with team members to ensure their wellbeing. Despite market uncertainties, we provided financial stability by keeping the salaries intact. Our empathetic approach enabled better collaboration, great teamwork and improved communication.

Rewards and recognition

We promote a meritocratic culture and reward exceptional performance. Our go-getters went above and beyond their call of duty to ensure our customers do not face issues conducting any business due to branches not opening on account of the lockdown. Our top performers for the quarterly contest – Asmaan were rewarded with bikes, laptops and smartphones during the first season. The second season witnessed winners getting SBFC Reward Points, which can be redeemed for cash from the employee portal.

Learning and development

We firmly believe that learning should be a continuous process and have made on-the-job learning an important aspect of our employee value proposition. We focused more

on digital learning modes and since virtual meetings were a first experience for many team members, our leaders guided teams on various learning opportunities on how to prepare for any meeting/call. Virtual learning increased inclusivity especially for introvert employees. These learning programmes sharpened employees' skills and enhanced their knowledge. The certification was an added advantage and helped advance their careers.

Work-life balance

During FY21, we engaged our people with numerous fun-filled activities, including quiz, yoga, music, zumba and other online celebrations. We also celebrated the World Environment Day by planting saplings. Our Independence Day was celebrated with families being part of the celebrations. Dance, singing and painting activities were organised making the event more interactive and enjoyable. Donation of sweets to our NGO partner through our employees made Diwali more memorable.

Gamification of work

FY21 was a challenging year, when it came to business continuity. Since fresh disbursements totally stopped, we focused on collections. Our team members were involved in accelerating the collection efforts. Innovative gamification of work included contests such as 'Collections Premier League', which had 3 seasons and employees had to make Gold and USL collections (digitally). Other contests included 'Game of Thrones' and 'Bahubali' which generated excitement and wide participation amongst our employees.

When our go-getters speak for us



We are grateful to be working with a great team and great leaders. I thank SBFC for encouraging and supporting, taking updates from each and every employee for their wellbeing during such a challenging situation and staying in touch each day. Immensely proud to be a part of SBFC.

Klynn Fernandes

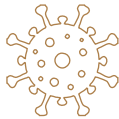


I am proud to be a part of our workplace - SBFC. The Management team kept in touch regularly with calls and messages to take care of us and our family. Again thanking our SBFC team.

Mukundeshwar

COVID-19 RESPONSE

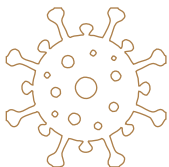
Supporting our Stakeholders



COVID-19 has been one of the biggest disruptors since World War-II. FY21 was a year, which tested the resilience of businesses. At SBFC, we provided critical support to all our stakeholders.

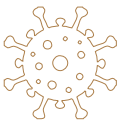
Caring for our people

Employee's health and wellbeing was our top priority during this pandemic. We organised Antibody (Serology) and RT-PCR tests, as a part of our health and wellbeing strategy. We arranged for vaccination drives for all our employees and their families to protect themselves against COVID-19. At centres where we were not present, we sponsored the vaccination costs. These were some of the measures to ensure a COVID-free work environment, apart from precautionary measures such as regular temperature checks, use of masks and sanitisers, as well as deep cleaning of all our locations, complying with all the statutory guidelines



Caring for our customers

During the pandemic, we were concerned for our customers' physical, mental and financial health. We ensured that we provided the best support to our customers in these challenging times. Our initiatives included enhanced digitalisation, eliminating the need to visit our branches. This initiative was further substantiated by our teams providing added support with innovative products such as Digital Personal Loans and Gold Genie. All the government benefits such as moratorium and loan restructuring were extended to our customers.

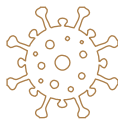
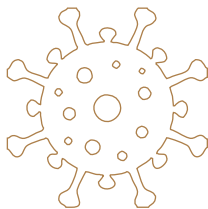


Caring for the community

As a socially responsible organisation, we extended all possible support to these communities directly and through our NGO partners. Our COVID-care initiatives were focused on the most crucial requirements. These included supply of oxygen concentrators and a ventilator machine, distribution of masks, sanitisers and PPE kits to COVID frontline warriors including nurses and the police force along with meals to caregivers

25

Oxygen concentrators supported for ACT/United Way India



Ventilator

sponsored to Brihanmumbai Municipal Corporation (BMC)

Materials and meals

support provided for NGO with Arya



CARING FOR OUR COMMUNITY

With Empathy

Caring for our community members is an important aspect of our corporate responsibility. Serving them brings in a sense of accomplishment and lifts the spirits of our people. It also fulfils our objective of value creation for all stakeholders. Our corporate social responsibility includes initiatives focused on healthcare and education.



CSR Initiatives

Institution/NGO	Social interventions	Contribution (₹ Lakhs)
ACT/United Way India	25 oxygen concentrators @ ₹78,000 each concentrator	19.50
NGO with Arya	Masks, sanitisers, PPE kits to frontline COVID workers, oxygen concentrator and meals to caregivers from KEM, Wadia, Tata and in Ratnagiri civil hospital	3
Brihanmumbai Municipal Corporation (BMC)	1 ventilator donated	8.50
Tata Memorial Centre	Treatment for Adult Haematolymphoid for 20 patients at ₹50,000 to ₹6,00,000 per patient	20
Little Angels School	Education for 21 needy students	13.86



Healthcare

Our social interventions during the year involved serving the community directly or through our NGO partners. These initiatives majorly involved fulfilling the immediate requirements for COVID care. Our initiatives for ACT/United Way India, NGO with Arya and Brihanmumbai Municipal Corporation were related to supply of oxygen concentrators and sponsored meals for the cancer and COVID patients and their families. Our efforts towards Tata Memorial Hospital were focused on helping the needy patients in the adult Haematolymphoid department. We provided **₹51 Lakhs** for the healthcare initiatives during FY21.



Education

We sponsor education for the needy students of Little Angels School, who are unable to pay their school fees. We have been supporting 21 students for the last two years - 2019-20 and 2020-21. During FY21, we sponsored **₹13.86 Lakhs** and will continue to support the education of these 21 students.

*Please refer to page 24 for details on the COVID care materials and other help to partner NGOs and institutes

LEADERSHIP TEAM

Providing Meaningful Guidance



Mr. Aseem Dhru
Managing Director & CEO



Mr. Mahesh Dayani
Chief Business Officer



Mr. Narayan Barasia
Chief Finance Officer



Mr. Pankaj Poddar
Chief Risk Officer



Mr. Manu Mahajan
Chief Operating Officer



Mr. Deepak Mudalgikar
Chief Technology Officer



Mr. Sanket Agrawal
Head- Internal Audit



Mr. Sai Prashant Menon
Chief Collection Officer



Mr. Pragnesh Soneji
Product Head-Secured Loans



Mr. Vikas Singh
National Collections Manager

ZONAL LEADERSHIP TEAM

Leading from the Front

South & East



Mr. Ashish Singh
Business



Mr. Kiran Kumar
Credit



Mr. Rama Chandra R
Collections



Mr. Manender Jain
Collections GCL

West



Mr. Vinay Agrawal
Business



Mr. Rakesh Dugar
Credit



Mr. Shashi Rana
Collections



Mr. Jayesh Kedari
Collections GCL

North



Mr. Ish Chawla
Business



Mr. Viney Vaid
Credit



Mr. Amit Sharma
Collections



Mr. Subhash Sharma
Collections GCL

MANAGEMENT DISCUSSION AND ANALYSIS

MACROECONOMIC:

On 11 March 2020, the World Health Organisation declared COVID-19 as a pandemic. Over a year into the pandemic, there continues to be loss of lives and livelihoods. According to the International Monetary Fund (IMF), an additional 95 million people have fallen below the threshold of extreme poverty in 2020, reversing a two-decade trend of global poverty reduction. Several countries have witnessed second and third wave eruptions of the virus, necessitating intermittent restrictions and lockdowns. COVID-19 has accelerated the speed of adoption of digital technologies across all spheres of activity and these positive changes are likely to be long sustaining trends. While new variants and mutating viruses remain a challenge, the rapid roll-out of vaccines across the globe has given rise to some degree of optimism in overcoming the pandemic.

The Government and the Reserve Bank of India (RBI) announced a host of measures to cushion the direct impact of the lockdown on the economy. This helped GDP growth come off its low of -24.4 per cent in Q1 and -7.4 per cent in Q2 to +0.5 per cent in Q3 and +1.6 per cent in Q4 2020-21.

Domestic demand began to show green shoots in the second half of the year as activity resumed. Private consumption indicators such as production of consumer durables and non-durables gathered pace in Q3 along with passenger vehicle (PV) sales that turned green in H2 FY21. Encouragingly, GST collections rose to ₹1.23 trillion in March 2021, averaging ₹1.13 trillion in H2 FY21 as compared to an average collection of ₹0.76 trillion in H1 FY21. The Government announced a stimulus package of ₹20 trillion in five different tranches in FY21 to provide support to 1) the MSMEs and the NBFCs via a credit guarantee scheme and liquidity support 2) migrant labourers via direct spending and generating employment via enhanced allocation to MNREGA 3) small traders, vendors and farmers via loan facilities and 4) announced structural reforms across sectors like coal, power, agriculture, etc.

On the monetary policy side, the RBI also took a number of steps to provide liquidity and enhance credit flow in the system. The RBI delivered a total rate cut (repo) of 115 basis points (bps) since February 2020, taking the repo rate down to 4.0 per cent. The central bank also took a slew of measures to address liquidity constraints such as the announcement of the moratorium, liquidity infusion through TLTRO (Targeted Long Term Repo Operations) for NBFCs of ₹500 billion, liquidity facility of ₹500 billion for mutual funds, liquidity support of ₹500 billion for all India financial institutions and a cut in the CRR (Cash Reserve Ratio) by 100 bps to 3 per cent. These measures helped anchor borrowing costs in the economy, support credit growth and cushioned the impact of the disruptions in the financial market.

CPI inflation averaged 6.7 per cent in H1 FY21 mainly due to higher food prices on account of COVID led supply disruptions. CPI breached the RBI's upper tolerance threshold of 6% for six

consecutive months (June to November 2020) before falling to 4.6% in December 2020 on the back of easing food prices and favourable base effects.

The Government of India announced a ₹20.9 lakh crore economic package (or about 10% of GDP) to alleviate the economic stress induced by the pandemic. Of this, 1.2% of GDP comprised direct fiscal spending and the rest consisted of (i) loans and guarantee schemes of ₹10.4 lakh crore, or about 5% of GDP and (ii) the RBI's liquidity measures of ₹8.01 lakh crore, or about 3.8% of GDP. The guarantee schemes and liquidity measures aided growth in bank credit, enabled abundant liquidity in the financial sector - which was directed toward impacted segments like industrial and service sector.

INDUSTRY OVERVIEW:

NBFCs have been achieving deeper penetration to underserved markets by ability to reach out to the most remote and inaccessible areas, promoting financial inclusion. They are continuously building upon their superior understanding of regional dynamics, penetrated distribution, well-developed on the ground systems & processes and extensive usage of technology. Direct origination, low ticket size loans, quick decision making, customer orientation and product innovation have made NBFCs bridge the financial gap to the under served market. A rising number of NBFCs are seen adopting business and operational models powered by technologies, facilitating higher speed and convenience for customers. Digitalisation has been instrumental in reinventing traditional financial products while catering low-income, urban customers in the unorganised sectors. The entire process of loan disbursement right from on-boarding, KYC, loan sanctioning to loan agreements and loan disbursements are now done digitally.

The Union Budget in February 2021 proposed to lower the threshold for NBFCs to initiate recovery proceedings under the SARFAESI Act, 2002. To improve credit discipline while continuing to protect the interest of small borrowers, the minimum loan size, eligible for debt recovery under the SARFAESI Act, was reduced from the earlier level of ₹5 million to ₹2 million. This reduction in minimum loan size was done for NBFCs with a minimum asset size of ₹1 billion with an intent to help lenders recover their dues faster.

Over the last decade, NBFCs have witnessed phenomenal growth. The Indian NBFC (HFCs included) market grew to ₹28.7 trillion in FY20. The AUM is expected to grow to ₹29.2 trillion in FY21 - a growth of 2% - and to ₹31 trillion in FY22 - a growth of 6.2% (Source: CRISIL). However, this growth is anticipated to be considerably affected in the wholesale segment, but NBFCs with granular portfolio and retail lending on the other hand, are likely to perform better. This improvement can be accredited to recuperating economic activities and fund requirements by MSMEs along with faster digital processing.

COVID-19 severely impacted the MSME sector during the first half of FY21. However, targeted initiatives introduced by Government and RBI viz. Emergency Credit Line Guarantees Scheme (ECLGS), moratorium and restructuring helped MSMEs to rebound in the second half of FY21. India's FY22 GDP growth is expected to bounce sharply in double digits as per various economic forecast reports and this augurs well for the MSME industry in general. Banks & Non-Banking Finance Companies (NBFCs) are well placed to capitalise on the expected MSME growth in FY22. As per ICRA sectoral outlook report 2022, NBFC growth is expected to revive in FY22 to 7-9%. NBFCs which have healthy portfolio mix of low average ticket size and Self Occupied Residential Properties asset class are placed in better position to grow substantially.

BUSINESS ANALYSIS:

The Company had to steer through difficult period led by the disruptions caused by COVID-19 pandemic. The Company swiftly evolved a four-pronged approach to the business:

- (i) **Caring:** As the impact of COVID-19 was rising, the company announced the work from home to ensure safety of its employees. The company evolved a rapid technology infrastructure to ensure that employees are able to efficiently work from home. SBFC made a bold decision not to reduce salaries of its employees and not to relieve any employee inspite of the fact that it was not aware of the final fall out of the pandemic to the company. It also provided extensive support to its employees during their difficult times to the extent possible.
- (ii) **Conservation and prudence:** This encompassed raising equity, reducing leverage, higher liquidity buffers and optimizing on the operating expenses. The company reviewed and strengthened the underwriting norms and tightened the risk metrics. It maintained a conservative stance on disbursements as lockdown restrictions were gradually lifted till August 2020. SBFC decided to go slow on unsecured lending owing to heightened risks, while the disbursements to micro enterprise customers and loan against gold continue to ramp up in H2 of FY21.
- (iii) **Collection:** At the beginning of lockdown, the collections plunged sharply, which started witnessing a gradual upturn in collections since June 2020. The Government provided slew of liquidity measures to provide adequate support to vulnerable, small, and midsize lenders. SBFC took several steps to engage with its customers. It offered EMI moratorium, resolution plans and top ups under Emergency Credit Line Guarantee Scheme (ECLGS) to its customers to mitigate their cashflow stress. SBFC strengthened its digital medium for servicing and collecting EMIs. It increased the resources in collections to service a larger pool of delinquencies and collect the overdue outstandings.
- (iv) **Opportunity:** As the effects of pandemic withered out, the lock downs were phased and the economy started to come back to normal, SBFC took bold measures to take advantage of demand supply gap in the market. It

increased its branch network and employees, thereby doubling monthly disbursements during H2 of FY21.

Loan against Property:

The business continues to focus on a systematic approach to build a healthy portfolio mix, with more than 75% of portfolio as Self-Occupied Residential Properties and an average loan ticket size of about ₹13 lakhs. The Loan-to-Value (LTV) ratio is at 52% levels, which provides adequate security cover to the portfolio. Even with nationwide lockdown until Aug'20, the business substantially increased the disbursements during second half of FY21 with all time high quarterly disbursements in Q4 FY21.

Even amidst a challenging macro-economic situation, Assets Under Management (AUM) for the loan against property grew by 37% to ₹1481 crores in FY21 compared to ₹1080 crores in FY20.

The Government of India carved out a special Emergency Credit Line Guarantee Scheme (ECLGS) to provide top-up financing to mitigate the financial disruptions caused due to pandemic. This scheme enabled the SME sector to service their financial obligations and remain liquid - leading to a much lower losses for the financial system than anticipated. The Company disbursed ₹18 crore under ECLGS during FY2021.

GOLD LOANS:

The organised gold loan market comprising NBFCs, banks and Nidhi companies contribute to nearly 35% of the Indian gold loan market. With a CAGR of 8% between FY15 and FY20 to registering an AUM of ₹3,262 billion, the gold loan industry is expected to reach ₹4,180 billion by FY22 (Source: CRISIL).

This product has seen a very high growth, since the customers get a quick access to loans without much credit checks. The pandemic led lock down, in general, had restricted access of loans to customers primarily during H1 of the year. The gold business surged due to quick access and rise in gold prices. The AUM of Gold loans surged from ₹367 Cr in FY20 to ₹560 Cr in FY21, thereby registering a growth of 53% during the year.

GOLD GENIE:

During the pandemic, the branches were closed and the customers found it difficult to approach us for loans. We innovated a technology platform "Genie", wherein we were able to do KYC, valuing of jewelries and disburse loan to customers all at their place.

UNSECURED LOANS:

The Company maintained a cautious stance in unsecured loans due to increase in delinquencies led by pandemic. It is focused on disbursing loans to government employees since Q3 FY21.

ASSET UNDER MANAGEMENT:

Even with nationwide lockdown until Aug'20, the business clocked ₹846 crores of disbursements during FY21 with quarterly disbursements rising to ₹395 Cr in Q4 FY21 from pre pandemic of ₹177 cr in Q4 FY20.

The AUM under Loan Book increased from ₹1649 Cr (FY20) to ₹2260 Cr (FY21) thereby increasing by 37%. This growth is inspite of nationwide lockdown until Aug'20. At the same time the investments in PTC reduced due to collections. This led to change in the composition of the AUM of the Company. This change in the composition of the AUM has led to positive improvement in the portfolio yield of the company during the FY21. The Asset under Management (AUM) of the Company are as follows:

Products	Mar-21 (₹ Crores)	Mar-20 (₹ Crores)	FY21 Growth
Loan to micro enterprise	1481	1080	37%
Loan against gold	560	367	53%
Unsecured Loan	219	201	9%
Loan against SCV		1	
Total Loan Book AUM	2260	1649	37%
Investments in PTC	1082	1867	-
Total AUM	3342	3516	(5%)

NBFCs are witnessing a sharp increase in the delinquencies led by disruptions due to Covid-19. The Company's balanced portfolio and risk measures has been instrumental in reduced credit risks. About 52% of the Company's portfolio as of 31 March 2021 comes with almost negligible credit risks.

Product	Mar-21 (₹ Crores)	Comments	Portfolio at significantly lower Risk (₹ Crores)
Loan to micro enterprise	1481	₹112 Cr covered under co-origination	112
Loan against gold	560	Liquid Assets and Credit Cost are negligible	560
Unsecured Loan	219	PL with Govt employee and BL covered by SIDBI under credit insurance	
Investments in PTC	1082	Over collateral resulting in significantly low risk	1082
AUM	3342		1754
			52%

The highlights of the financial performance of the Company are:

- 1) NII:** The reduction in the investments in pass through certificates and impressive increase in self originated AUM has led to improvement in the Interest yield, thereby the Interest Income has increased by 12% while the overall AUM of FY21 remained slightly below the previous year. The Company was able to raise debt from several new lenders and was also able to maintain its low cost of borrowing during the year, thereby reporting an increase in NII by 36%
- 2)** The Operating costs was contained by implementing several cost optimizing measures and hence the cost grew by 15% during the year, this was inspite of increase in branches and employees during H2 of FY21.
- 3) Credit Costs:** The company maintained conservative provisioning norms and also carried a management overlay provision of ₹19.25 cr as on 31 March 2021 based on the risk analysis on its portfolio and on current indicators of future economic conditions led by Covid-19. The Company will know the exact impact of this pandemic as the lockdown opens and the market resumes operations. It will continue to closely monitor the credit risks arising out of the sudden disruption, heighten the customer service and collection efforts and take all necessary action to overcome the implications.
- 4) Profit after tax:** The company reported a sharp increase in profit after tax from ₹35 cr (FY20) to ₹85 cr (FY21), thereby reporting a growth of 140%.

Particulars	FY-21	FY-20	Growth FY-21
Interest Income	463	410	13%
Interest Expense	(238)	(244)	(2%)
Net Interest Income	225	166	36%
Fee & Other Income	48	35	36%
Operating Income	273	201	36%
Operating Costs	(131)	(114)	15%
Pre Provision OP	(28)	(28)	1%
Credit Cost Expense	(28)	(28)	1%
Profit Before Tax	114	59	93%
Tax expenses	(28)	(23)	21%
Profit After Tax	85	35	140%

Loan Management Service:

The Company has initiated an innovative and only one of its kind product "Loan Management Service" (LMS) in India. It has already executed several agreements and remained as the only player in the country. This offerings encompasses

- i) Portfolio selection and structuring:** SBFC has on ground experience of Industry dynamics, localized market knowledge in addition to its robust credit filters. It brings several years of experience in portfolio selection and its ability to identify not so obvious portfolio risks.
- ii) Portfolio management & collection:** The Company takes over control over the physical files, the customer portfolio data, NACH mandates, physical cheques and provides the Investor with end-to-end solutions on portfolio servicing including customer service, collections, legal actions for delinquent customers etc. It has demonstrated its ability to successfully execute and collect retail portfolio for its clients.

- iii) Portfolio analytics & monitoring:** The Company has built a dynamic analytical tools, which combined with the experience helps to provide an early warning signals on the portfolio. Its deeper analytical abilities identifies the risks at a geography, customer segment, asset class, industry segment, originator, which in turn triggers focused corrective actions to get the portfolio back in shape.

The Company has been investing in technology, people and processes to deliver unmatched experience and solutions to its clients.

Risk Management:

The Board of Directors constituted a Risk Management Committee with the terms of reference include periodic review of the risk management policy, risk management plan, its implementation and periodic review and monitoring of the key risks. The risk owners are accountable to the Risk Management Committee for identification, assessment, aggregation, reporting and monitoring of the risk related to their respective areas/ functions.

The prudent risk management and governance forms an integral part of the Company's business strategy. SBFC promotes a strong and disciplined risk-management culture across its board and business. All the major risk classes – credit risk, liquidity risk, compliance risk and operational risk are controlled using well-defined risk management processes. The compliance and audit function of the Company plays an important role to ensure that the policies and regulations are diligently followed across the organization.

Credit Risk: The company has comprehensive and well-defined credit policies across various products which encompass credit approval process for all businesses along with guidelines for mitigating the risks associated with them. The appraisal process includes detailed risk assessment of the borrowers, physical verification of documents and field visits. The company has a robust post sanction monitoring process to identify credit portfolio trends and early warning signals. This enables it to make rapid requisite changes to its credit policy, whenever the need arises. During the year, the Company reassessed & recalibrated the risk metrics emanating from Covid-19 led disruptions in its various products.

Liquidity risk: The Asset Liability Committee (ALCO) set up in line with the guidelines issued by the RBI, monitors asset liability mismatches and ensures that there are no imbalances or excessive concentrations on either side of the balance sheet. The Company follows a prudent approach for managing liquidity and ensures availability of adequate liquidity buffers to overcome mismatches in case of stressed market environment. The Company's robust liquidity management framework has ensured that it had enough liquidity throughout FY21.

Compliance Risk: The Company has a dedicated compliance unit to ensure all regulatory filings and compliances are done in a timely and an appropriate manner. The department is responsible for guiding the business on all regulatory

compliances. It also monitors implementation of extant regulations and guidelines.

Operational Risk: The Company have robust process guidelines issued for various business/support functions. Our audit department identifies, measures, reports, monitors and controls operational risks. The company also undertakes risk-based audits on a regular basis across all business units / functions.

OPPORTUNITIES & THREATS FOR NBFC COMPANIES:

Opportunities:

- 1) India's FY22 GDP growth is expected to bounce sharply in double digits as per various economic forecast reports and this augurs well for the MSME industry in general. Banks & Non-Banking Finance Companies (NBFCs) are well placed to capitalise on the expected MSME growth in FY22. As per ICRA sectoral outlook report 2022, NBFC growth is expected to revive in FY22 to 7-9%. NBFCs which have healthy portfolio mix of low average ticket size and Self Occupied Residential Properties asset class are placed in better position to grow substantially. Similarly, the Gold loan business is expected to reach ₹4,180 billion by FY22 from an AUM of ₹3,262 billion (Source: CRISIL).
- 2) NBFCs have been achieving deeper penetration to underserved markets by ability to reach out to the most remote and inaccessible areas, promoting financial inclusion. This offers a good opportunity to NBFCs to increase customer reach and penetration and thereby access to under served markets of the country.
- 3) Technology disruptions are enabling superior customer experience with speed, giving customers quick and reliable access to finance.

Threats

- 1) Stringent Regulatory Norms and unexpected regulatory changes may adversely impact the current products or services provided to the customers.
- 2) Next wave of Covid-19 led lock downs, Global market slowdown can lead to both slowing down of growth and increased delinquencies.

OUTLOOK:

The FY started with a complete lockdown across the country and its economic sector. The coming quarters are the tests of resilience for large as well as small businesses across India. NBFCs that are well managed, well governed, have managed portfolio risks, credit risks and liquidity risks will find an opportunity to improve its market share. Companies will have to evolve their customer acquisition and engagement in post COVID economy with extensive use of technology.

FRAUD MONITORING AND CONTROL:

The Company has in place a whistle blower policy as fraud prevention measures. Frauds are investigated to identify the root cause and relevant corrective steps are taken to prevent recurrence. Fraud prevention committees at the senior

management and board level also deliberate on material fraud events and initiate preventive action. The Internal audit carries out risk based audit program to detect frauds. Reports are submitted to the Board and senior management committees for monitoring.

TECHNOLOGY:

Technology is at the forefront of business transformation journey. The company constantly invests in customer centric technology, which enhances customer experience as well as provides quick delivery of loans to the customers. The company has rolled out several digital solutions on personal loans and Gold loans where the customers can be provided with loans without having to step out of their home. The Gold Loan at home named “Genie” is an innovative solution where the gold is valued, KYCs completed and Loan disbursed all at customers place.

The company significantly geared up its technology landscape to facilitate work from home, where the network were strengthened, laptops were extensively provided, the accessibility of data were ensured. This helped the company to continue seamless operations even during lockdowns.

Company’s IT framework is governed by RBI recommended security frame work. The operational processes are in place to monitor and manage effectiveness of the security initiatives taken by company. Training/educating human resources on various aspects of IT security continues to be part of this governance. The company also carried out IT audits to strengthen the governance on IT frameworks.

INTERNAL CONTROL SYSTEM & THEIR ADEQUACY AND COMPLIANCE:

The Company has a well-established system of internal control, compliance and internal audit, commensurate with its size and complexity of the business and considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (“the Guidance Note”) issued by the Institute of Chartered Accountants of India (“the ICAI”). Your Company has appropriate internal control systems for business processes with regards to efficiency of operations, financial reporting, compliance with applicable laws and regulations, among others and with the objective of safeguarding the Company’s assets, ensuring that transactions are properly recorded and authorised and providing significant assurance of the integrity, objectivity and reliability of financial information.

The Company continually upgrades internal control system by adding better process control, various audit trails. The internal control system is supplemented by extensive internal audits, The findings of Audit Team are discussed internally as well as in audit committee meetings. The Audit Committee of the Board of Directors reviews the adequacy and effectiveness of internal control systems and suggests improvement for strengthening them.

MATERIAL DEVELOPMENTS IN HUMAN RESOURCES / INDUSTRIAL RELATIONS FRONT:

Your Company continues to have cordial relations with its employees. The Company ensures the health safety and wellbeing of the employees of the Company who are central to the effective functioning of the Company. There was no material development in the human resource front during the financial year ended 31 March 2021. Your Company had 1471 employees on its roll as on 31 March 2021.

CAUTIONARY STATEMENT:

This report contains forward-looking statements extracted from reports of Government Authorities/ Bodies, Industry Associations etc. available on the public domain which may involve risks and uncertainties including, but not limited to, economic conditions, government policies, dependence on certain businesses and other factors. Actual results, performance or achievements could differ materially from those expressed or implied in such forward-looking statements. This report should be read in conjunction with the financial statements included herein and the notes thereto. The Company does not undertake to update these statements.

ACKNOWLEDGEMENT:

The Directors wish to place on record their appreciation for the support extended by the Reserve Bank of India, other regulatory and Government Bodies, Company’s Auditors, Customers, Bankers and Shareholders. Your directors take this opportunity to place on record their appreciation to all employees for their hard work, spirited efforts, dedication and loyalty to the Company which has helped the Company maintain its growth.

On behalf of the Board of Directors of
SBFC Finance Private Limited
(Erstwhile Small Business FinCredit India Private Limited)

Aseem Dhru
Managing Director & Chief Executive Officer
Place: Mumbai
Date: 26 May 2021

Directors’ Report

for the Financial Year 2020-21

To the members of SBFC Finance Private Limited

Your Directors have pleasure in presenting the Fourteenth Annual Report on the business and operations of your Company together with the audited financial statements of the Company for the Financial Year (“FY”) ended 31 March 2021.

Financial Performance

(₹ in Crores)		
Particulars	FY21	FY20
Total Income	511.18	444.87
Total Expenditure	397.05	386.36
Profit before Tax	114.13	58.51
Tax Expense	28.98	23.08
Profit after Tax	85.15	35.43
Amount brought forward from previous year	51.40	23.06
Amount available for appropriation	136.55	58.49
Appropriations:		
Transfer to Reserve Fund u/s 45IC of the RBI Act, 1934	17.03	7.09
Balance carried forward to Balance Sheet	119.52	51.40

Your Company posted total income and net profit of ₹511.18 Cr and ₹85.15 Cr respectively for the FY ended 31 March 2021, as against ₹444.87 Cr and ₹35.43 Cr respectively for the previous year. The Company transferred an amount of ₹17.03 Cr to Reserve Fund under section 45-IC of the RBI Act, 1934.

Dividend:

The Directors do not recommend payment of any dividend on the Equity Shares for FY21 to conserve capital for future business expansion.

Share Capital:

The Company allotted 52,650,776 equity shares of face value of ₹10/- at ₹19.08/- per share on 25 June 2020 towards rights issue and 1,703,400 equity shares of face value ₹10/- at ₹19.08/- per share on 13 October 2020 on preferential basis.

Post allotment of Equity Shares as aforesaid, the issued and subscribed share capital of your Company stands increased to 821,848,682 Equity Shares of the face value of ₹10/- each as on 31 March 2021.

Equity:

Your Company had Total Equity of ₹12,054,061,929/- and Goodwill of ₹2,603,922,952/- as on 31 March 2021. Net of Goodwill, your Company had a Tangible Equity of ₹9,450,138,977/-.

Funding Capacity:

Your Company had total borrowings of ₹26,911,508,543/- as on 31 March 2021. Your Company also had collateralized borrowings (secured against a pool of loan assets) of ₹670,610,293/-.

Your Company follows a prudent borrowing policy and as of 31 March 2021, it had a total CRAR of 25.60% including Tier I CRAR of 24.93% and Tier II CRAR of 0.67%.

Employee Stock Options:

Details of the Employees Stock Option Scheme as per Rule 12(9) of Companies (Share Capital and Debentures) Rules, 2014 as on 31 March 2021 are as follows:

Particular	As on 31 March 2021
Options granted	53,520,000
Options vested	35,409,000
Options exercised	-
No. of shares arising as a result of exercise of options during the year	-
Options lapsed	2,309,500
The exercise price	₹12.5/-
Variation of terms of options	-
Money realized by exercise of options	-
Total number of options in force	51,210,500

Employee wise details of options granted is attached in Annexure 5 of this Report

Directors and Key Managerial Personnel

Appointment and Resignation of Directors:

Mr. Amitabh Mohanty, Independent Director of the Company resigned with effect from 17 September 2020. Mr. Rajesh Mannalal Agrawal was appointed as an Additional (Independent) Director with effect from 11 November 2020, to hold office till conclusion of the ensuing Annual General Meeting (AGM).

Key Managerial Personnel:

Ms. Swati Amey Morajkar resigned as Company Secretary w.e.f. 3 May 2021.

Information on the state of affairs of the Company:

Information on the operational and financial performance, among others, is given in the Management Discussion and Analysis Report.

Review of Operations of the Company:

The total Assets Under Finance increased from ₹1,567.88 Cr as on 31 March 2020 to ₹2,147.62 Cr on 31 March 2021. During the year, the Company securitized assets worth ₹66.84 Cr.

Related Party Transactions:

Your Company has not entered into any transactions with any related party and hence there is no disclosure required under section 134 (3) of the Companies Act 2013 (Act) and the SEBI (LODR) Regulations, 2015.

Credit Rating:

The brief details of the ratings received from the credit rating agencies by the Company for its outstanding instruments is given in Annexure 4

RBI guidelines:

The Company continues to comply with all the requirements prescribed by Reserve Bank of India from time to time.

Statutory Auditors:

At the Eleventh AGM of the Company held on 29 September 2018, Deloitte Haskins & Sells LLP ("Deloitte"), Chartered Accountants (ICAI Firm Registration No. 117366W/W-100018) were appointed as the Statutory Auditors of the Company, for a term of five years, to hold office from 1 April 2018 until 31 March 2023 pursuant to Section 139 of the Companies Act, 2013 and the Companies (Audit and Auditors) Rules, 2014.

The Auditor's Report by Deloitte Haskins & Sells LLP for the FY21 does not contain any qualification, reservation and adverse remark.

Number of meetings of Board:

During the FY ended 31 March 2021 the Board met 7 (seven) times. The details of the Board and various committee meetings are given in the Corporate Governance Report annexed as Annexure 3.

Audit Committee:

The Audit Committee comprised of the Directors namely, Mr. Neeraj Swaroop – Chairman, Mr. Rajesh Mannalal Agrawal and Mr. Amol Jain.

Declaration by Independent Directors of the Company:

The Company has received declaration under section 149(7) of the Companies Act, 2013 from Mr. Neeraj Swaroop, Mr. Amitabh Mohanty and Mr. Rajesh Mannalal Agrawal, Independent Directors.

Secretarial Auditors:

The Secretarial Audit Report as received from M/s. K Pratik & Associates in the prescribed Form No. MR - 3 is annexed to this Board's Report and marked as Annexure - 6. The Secretarial

Audit Report does not contain any qualification, reservation, adverse remark or disclaimer.

Directors' Responsibility Statement:

Pursuant to Section 134 of the Companies Act, 2013 ('the Act'), the Directors of the Company do hereby confirm that:

- in the preparation of the annual accounts, the applicable accounting standards had been followed and that there are no material departures thereof;
- such accounting policies had been selected and applied consistently and made judgments and estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of the Company at the end of the FY and of the profits of the Company for the FY21;
- proper and sufficient care had been taken for the maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities;
- the annual accounts had been prepared on a going concern basis;
- internal financial controls to be followed by the company was laid down and such internal financial controls are adequate and were operating effectively. and
- proper systems had been devised to ensure compliance with the provisions of all applicable laws and that such systems were adequate and operating effectively.

Particulars of Loans, Guarantees or Investments:

Pursuant to section 186(11) of the Act, the provisions related to Loans made, guarantees given and securities provided do not apply to the Company.

Vigil Mechanism:

The Company has established a Vigil Mechanism for its Directors and employees to report their concerns or grievances. The said mechanism, inter alia, encompasses the Whistle Blower Policy and it provides for adequate safeguards against victimization of persons who use it.

Information regarding the mechanism and the channels for reporting concerns (including a third party reporting channel) are communicated to the relevant stakeholders. The Whistle Blower Policy is available on the website of the Company, www.sbfc.com.

Prevention of Sexual Harassment of Women at Workplace:

The company has complied with provisions relating to the constitution of internal complaints committee under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013. The Company has a policy on Prevention of Sexual Harassment of Woman at Workplace. No case was reported during the FY under review.

Energy Conservation, Technology Absorption and Foreign Exchange Earnings & Outgo:

The information pursuant to Section 134(3)(m) of the Act read with Companies Accounts Rules, 2014 is as follows:

- The Company has no activity involving Conservation of Energy or Technological or Technology Absorption;
- The Company's Foreign Exchange Earning was ₹1,100,000/- during the year under review. The Company's Foreign Exchange Outgo was ₹12,661 during the FY under Report.

Corporate Governance Report:

The report on Corporate Governance for the Company is annexed as Annexure 3 and forms an integral part of this Annual Report.

Risk Management:

The Company is exposed to different types of risks including interest rate risk, business risk, liquidity risk, operational risk, credit risk including credit concentration risk, reputation risk, technology risk and compliance risk. The Company has formed Risk Management Committee and has developed and implemented Risk Management Policy covering the risk mapping, trend analysis, risk exposure, potential impact and risk mitigation process. A detailed exercise is being carried out to identify, evaluate, manage and monitor both business and non-business risk.

Extract of Annual Return:

An extract of the Annual Return for the FY ended 31 March 2021 made under the provisions of Section 92(3) of the Act in Form No. MGT-9 is annexed herewith as Annexure 1.

The annual return is displayed on the website of the Company: www.sbfc.com

Details of subsidiary/ joint ventures/ associate companies:

The Company does not have any subsidiary, joint ventures and associate companies therefore report on the highlights of performance of subsidiaries, associates and joint venture companies and their contribution to the overall performance of the company during the period under report is not applicable.

Corporate Social Responsibility (CSR):

The CSR report for the FY21 is annexed to this report as Annexure 2.

Deposits:

No disclosure is required in respect of the details relating to the deposits covered under Chapter V of the Act, as the Company has not accepted any deposit.

Status of the Company:

During the FY, there was no significant or material order passed by any regulator or court or tribunal which would

impact the status of the Company as a going concern and the operations in future.

Internal financial controls

Your Company has in place, adequate and effective internal financial controls with reference to financial statements, commensurate with the size, scale and complexity of its operations. During the FY, such controls were tested and no reportable material weaknesses in the design or operation were observed.

Statutory Disclosure:

- Pursuant to the provisions of the Act, no fraud was reported by auditors of the Company during FY21.
- The provisions of section 148 of the Act, are not applicable to the Company. Accordingly, there is no requirement of maintenance of cost records as specified under section 148(1) of the Act.
- No material changes and commitments occurred since the end of FY till the date of this Report, which may affect the financial position of the Company.
- There was no change in the nature of business of the Company.
- The Company has complied with the secretarial standards as applicable to the Company.
- There is no application made or any proceeding pending under the Insolvency and Bankruptcy Code, 2016 (31 of 2016) during the year
- The details of difference between amount of the valuation done at the time of one time settlement and the valuation done while taking loan from the Banks or Financial Institutions along with the reasons thereof: Not applicable

Performance evaluation of the Board:

Pursuant to the provisions of the Act and SEBI Listing Regulations, the Board has carried out an annual performance evaluation of its own performance, that of its Committees, Chairperson and individual directors. The manner in which formal annual evaluation of performance was carried out by the Board is given below:

The Nomination and Remuneration Committee (NRC) has approved the criteria for performance evaluation, based on which the evaluation sheet were circulated to the Board members for seeking feedback of the directors with regards to the performance of the Board, its Committee, and individual directors.

The directors sent their feedback on the evaluation sheet to the Chairman and Company Secretary. The performance evaluation was then noted and discussed by the NRC and the Board at their meeting held on 26 May 2021.

The NRC reviewed the implementation and compliance of the performance evaluation at its meeting held on 26 May 2021.

In the opinion of the Board, the Independent Directors have the integrity, expertise and experience (including the proficiency) to function effectively.

Acknowledgement

Your Directors would like to express their sincere appreciation for the co-operation and assistance received from shareholders, debenture holders, debenture trustee, bankers, financial institutions, regulatory bodies and other business constituents during the FY under review. Your Directors also wish to place on record their deep sense of appreciation for the commitment displayed by all executives, officers and staff, resulting in the successful performance of the Company during the FY.

For & on behalf of Board of Directors of
SBFC Finance Private Limited
(Erstwhile Small Business FinCredit India Private Limited)

Aseem Dhru
Managing Director & CEO
DIN: 01761455

Address: B-12, 12th Floor, Ahuja Tower, Rajabhau
Anant Desai Marg, Prabhadevi, Mumbai – 400025

Date: 26 May 2021
Place: Mumbai

John Mescall
Nominee Director
DIN: 08385575

Address: Villa 4/5, W-Sub Meter, Emirates Hill Fourt,
Spring 8.9 Premises No. 395004624, Dubai, UAE – 506991

Annexure – 1

FORM NO. MGT 9

Extract Of Annual Return As On The Financial Year Ended On 31.03.2021

[Pursuant to Section 92(3) of the Companies Act, 2013 and Rule 12(1) of the Companies
(Management and Administration) Rules, 2014]

I. REGISTRATION AND OTHER DETAILS

i. CIN	U67190MH2008PTC178270
ii. Registration Date	25 th January, 2008
iii. Name of the Company	SBFC Finance Private Limited (erstwhile Small Business FinCredit India Private Limited)
iv. Category/Sub-Category of the Company	Subsidiary of Foreign Company
v. Address of the Registered office and contact details	103, 1 st Floor, C&B Square, Sangam Complex, Andheri Kurla Road, Village Chakala, Andheri (East), Mumbai – 400059
vi. Whether listed company	The Company was a listed* Company as on 31.03.2021. However, pursuant to Rule 2A of Companies (Specification of definitions details) Rules, 2014 inserted as per Companies (Specification of definitions details) Second Amendment Rules, 2021, the Company is unlisted Company with effect from 01.04.2021.
vii. Name, address and contact details of Registrar and Transfer Agent, if any	NSDL Database Management Limited 4 th Floor, Trade World, A Wing, Kamala Mills Compound, Senapati Bapat Marg, Lower Parel, Mumbai – 400013 Contact no. 022-4914 2700

* Non convertible debentures listed on BSE Limited, Stock Exchange.

II. PRINCIPAL BUSINESS ACTIVITIES OF THE COMPANY

All business activities contributing 10% or more of the total turnover of the Company shall be stated:-

Sr. No.	Name & Description of main products/services	NIC Code of the product/service	% of total turnover of the Company
i.	Other Credit Granting	64920	100%

III. PARTICULARS OF HOLDING, SUBSIDIARY AND ASSOCIATE COMPANIES

Sr. No.	Name and Address of the Company	CIN/GLN	Holding/ Subsidiary/ Associate	% of shares held	Applicable Section
i.	SBFC Holdings Pte. Ltd. 80 Raffles Place, # 46-01 UOB Plaza, Singapore-048624	201721219C	Holding	73.01%	2(46)

IV. SHAREHOLDING PATTERN (Equity Share Capital breakup as percentage of Total Equity)

i. Category wise share holding

Category of shareholder	No. of shares held at the beginning of the year				No. of shares held at the end of the year				% change during the year
	Demat	Physical	Total	% of total shares	Demat	Physical	Total	% of total shares	
A. Promoter									
1) Indian									
a) Individual/HUF	-	-	-	-	-	-	-	-	-
b) Central Govt	-	-	-	-	-	-	-	-	-
c) State Govt(s)	-	-	-	-	-	-	-	-	-
d) Bodies Corp	176,374,506	-	176,374,506	22.98	188,985,282	-	188,985,282	23.00	0.02
e) Banks/FI	-	-	-	-	-	-	-	-	-
f) Any Other	-	-	-	-	-	-	-	-	-
Sub-total(A)(1)	176,374,506	-	176,374,506	22.98	188,985,282	-	188,985,282	23.00	0.02
2) Foreign									
a) NRIs-Individual	-	-	-	-	-	-	-	-	-
b) Other-Individual	-	-	-	-	-	-	-	-	-
c) Bodies Corp.	560,000,000	-	560,000,000	72.97	600,040,000	-	600,040,000	73.01	0.04
d) Banks/FI	-	-	-	-	-	-	-	-	-
e) Any Other	-	-	-	-	-	-	-	-	-
Sub-total(A)(2)	560,000,000	-	560,000,000	72.97	600,040,000	-	600,040,000	73.01	0.04
Total Promoter	736,374,506	-	736,374,506	95.95	789,025,282	-	789,025,282	96.01	0.06
Shareholding (A)=(A)(1)+(A)(2)									

Category of shareholder	No. of shares held at the beginning of the year				No. of shares held at the end of the year				% change during the year
	Demat	Physical	Total	% of total shares	Demat	Physical	Total	% of total shares	
B. Public Shareholding									
1) Institutions									
a) Mutual Funds	-	-	-	-	-	-	-	-	-
b) Banks/Fl	-	-	-	-	-	-	-	-	-
c) Central Govt	-	-	-	-	-	-	-	-	-
d) State Govt(s)	-	-	-	-	-	-	-	-	-
e) Venture Capital Funds	-	-	-	-	-	-	-	-	-
f) Insurance Companies	-	-	-	-	-	-	-	-	-
g) FIs	-	-	-	-	-	-	-	-	-
h) Foreign Ventures	-	-	-	-	-	-	-	-	-
i) Others (specify): Trust	10,840,000	-	10,840,000	1.41	10,840,000	-	10,840,000	1.32	(0.09)
Sub-total (B)(1)	10,840,000	-	10,840,000	1.41	10,840,000	-	10,840,000	1.32	(0.09)
2) Non-Institution									
a) Bodies Corp	-	-	-	-	-	-	-	-	-
i) Indian	-	-	-	-	-	-	-	-	-
ii) Overseas	-	-	-	-	-	-	-	-	-
b) Individuals	-	-	-	-	-	-	-	-	-
i) Individual shareholders holding nominal share capital upto ₹1 Lakh	-	-	-	-	-	-	-	-	-
ii) Individual shareholders holding nominal share capital in excess of ₹1 Lakh	20,280,000	-	20,280,000	2.64	21,983,400	-	21,983,400	2.67	0.03
c) Others (specify)	-	-	-	-	-	-	-	-	-
Sub total (B)(2)	20,280,000	-	20,280,000	2.64	21,983,400	-	21,983,400	2.67	0.03
Total public shareholding (B)=(B)(1)+(B)(2)	31,120,000	-	31,120,000	4.05	32,823,400	-	32,823,400	3.99	(0.06)
C. Shares held by Custodian for GDRs & ADRs									
	-	-	-	-	-	-	-	-	-
Grand Total (A+B+C)	767,494,506	-	767,494,506	100	821,848,682	-	821,848,682	100	-

ii. Shareholding of Promoters

Sr. No.	Shareholder's Name	Shareholding at the beginning of the year		% of shares pledged/encumbered to total shares	Shareholding at the end of the year		% of shares pledged/encumbered to total shares	% change in shareholding during the year
		No. of shares	% of total shares of the Company		No. of shares	% of total shares of the Company		
1	Arpwood Partners Investment Advisors LLP	134,573,506	17.53	-	130,873,506	15.93	-	(1.60)
2	Eight45 Services LLP	25,101,000	3.27	-	25,991,986	3.16	-	(0.11)
3	SBFC Holdings Pte. Ltd	560,000,000	72.97	-	600,040,000	73.01	-	0.04
4	Arpwood Capital Private Limited	16,700,000	2.18	-	32,119,790	3.91	-	1.73
	Total	736,374,506	95.95	-	789,025,282	96.01	-	0.06

iii. Change in Promoter's shareholding:

Sr. No.	Name	Shareholding		Cumulative shareholding during the FY	
		No. of shares	% of total shares of the Company	No. of shares	% of total shares of the Company
1	Arpwood Partners Investment Advisors LLP				
	At the beginning of the year	134,573,506	17.53	-	-
	4 August 2020-Sold to Arpwood Capital Private Limited	3,700,000		130,873,506	
	At the end of the year	130,873,506	15.92	130,873,506	15.92
2	Eight45 Services LLP				
	At the beginning of the year	25,101,000	3.27	-	-
	25 June 2020 - Subscribed for rights issue	890,986		25,991,986	3.16
	At the end of the year	25,991,986	3.16*	25,991,986	3.16*

Sr. No.	Name	Shareholding		Cumulative shareholding during the FY	
		No. of shares	% of total shares of the Company	No. of shares	% of total shares of the Company
3	SBFC Holdings Pte. Ltd.				
	At the beginning of the year	560,000,000	72.97	-	-
	25 June 2020 - Subscribed for rights issue	40,040,000		600,040,000	73.16
	At the end of the year	600,040,000	73.01*	600,040,000	73.01*
4	Arpwood Capital Private Limited				
	At the beginning of the year	16,700,000	2.18	-	-
	25 June 2020 - Subscribed for rights issue	11,719,790		28,419,790	
	4 August 2020 - Purchased from Arpwood Partners Investment Advisors LLP	3,700,000	-	32,119,790	-
	At the end of the year	32,119,790	3.91	32,119,790	3.91

* Dilution in percentage of shareholding due to allotment of 52,650,776 Equity shares on 25 June 2020 and 1,703,400 Equity Shares on 13 October 2020.

iv. Shareholding pattern of top ten shareholders: (other than Directors, Promoters and holders of GDRs and ADRs)

Sr. No.	Name of the Shareholder	Shareholding		Cumulative shareholding during the FY	
		No. of shares	% of total shares of the Company	No. of shares	% of total shares of the Company
1	Vistra ITCL (India) Limited				
	At the beginning of year	10,840,000	1.58	-	-
	Bought during the year	-	-	-	-
	Sold during the year	-	-	-	-
	At the end of the year	10,840,000	1.32*	10,840,000	1.32*
2	Mr. Mahesh Dayani				
	At the beginning of year	4,056,000	0.53	-	-
	Bought during the year	-	-	-	-
	Sold during the year	-	-	-	-
	At the end of the year	4,056,000	0.49	4,056,000	0.49*
3	Mr. Pankaj Poddar				
	At the beginning of year	-	-	-	-
	Bought during the year	1,310,300	0.16	1,310,300	0.16
	Sold during the year	-	-	-	-
	At the end of the year	1,310,300	0.16	1,310,300	0.16
4	Mr. Deepak Mudalgikar				
	At the beginning of year	-	-	-	-
	Bought during the year	262,100	0.03	262,100	0.03
	Sold during the year	-	-	-	-
	At the end of the year	262,100	0.03	262,100	0.03
5	Mr. Manu Mahajan				
	At the beginning of year	-	-	-	-
	Bought during the year	131,000	0.02	131,000	0.02
	Sold during the year	-	-	-	-
	At the end of the year	131,000	0.02	131,000	0.02

v. Shareholding of Directors and Key Managerial Personnel:

Sr. No.	Name	Shareholding		Cumulative shareholding during the FY	
		No. of shares	% of total shares of the Company	No. of shares	% of total shares of the Company
1	Mr. Aseem Dhru				
	At the beginning of the year	16,224,000	2.11	16,224,000	2.11
	Increase /Decrease in Share holding during the year				
	At the end of the year	16,224,000	1.97*	16,224,000	1.97*

* Dilution in percentage of shareholding due to allotment of 52,650,776 Equity shares on 25 June 2020 and 1,703,400 Equity Shares on 13 October 2020

V. INDEBTEDNESS

Indebtedness of the Company including interest outstanding/accrued but not due for payment

(₹ in Crores)				
	Secured loans excluding deposits	Unsecured loans	Deposits	Total Indebtedness
Indebtedness at the beginning of the FY				
i) Principal Amount	3,056.38	-	-	3,056.38
ii) Interest due but not paid	-	-	-	-
iii) Interest accrued but not due	16.49	-	-	16.49
Total (i+ii+iii)	3,072.87	-	-	3,072.87
Change in Indebtedness during the FY				
i) Addition	607.16	-	-	607.16
ii) Reduction	(890.99)	-	-	(890.99)
Net change	(283.82)	-	-	(283.82)
Indebtedness at the end of the FY				
i) Principal amount	2,772.55	-	-	2,772.55
ii) Interest due but not paid	-	-	-	-
iii) Interest accrued but not due	9.97	-	-	9.97
Total (i+ii+iii)	2,782.53	-	-	2,782.53

VI. REMUNERATION OF DIRECTORS AND KEY MANAGERIAL PERSONNEL

The details of remuneration to the Directors and Key Managerial Personnel of the Company are available with the Company Secretary of the Company.

VII. PENALTIES/ PUNISHMENT/ COMPOUNDING OF OFFENCES:

There are no non-compliances or penalties, strictures imposed on the Company by the Stock Exchanges or SEBI or any statutory authority, on any matter related to capital markets, during the FY21. The Company has filed suo moto application under Section 441 of The Companies Act, 2013 for compounding of offence on 9 February 2021 for offence committed under u/s 179(3)(d), 179(3)(f) and 118(10) of the Companies Act, 2013 read with Secretarial Standard 1 on "Meetings of the Board of Directors" with Registrar of Companies, Mumbai.

For & on behalf of Board of Directors of
SBFC Finance Private Limited
 (Erstwhile Small Business FinCredit India Private Limited)

Aseem Dhru
 Managing Director & CEO
 DIN: 01761455

Address: B-12, 12th Floor, Ahuja Tower, Rajabhau
 Anant Desai Marg, Prabhadevi, Mumbai – 400025

John Mescall
 Nominee Director
 DIN: 08385575

Address: Villa 4/5, W-Sub Meter, Emirates Hill Fourt,
 Spring 8.9 Premises No. 395004624, Dubai, UAE – 506991

Date: 26 May 2021
 Place: Mumbai

Annexure – 2**Annual Report on CSR Activities to be Included in Board's Report**

1. A brief outline of the Company's CSR policy, including overview of projects or programs proposed to be undertaken and a reference to the web-link to the CSR policy and projects or programs: Objective: The main objective of CSR policy is to make CSR a key business process for sustainable development of the society. The Company will act as a good corporate citizen and aims at supplementing the role of Government in enhancing the welfare measures of the society. For detailed CSR Policy, kindly refer to www.safc.com.
2. The Composition of the CSR Committee: The CSR Committee is chaired by Mr. Neeraj Swaroop with members consisting of Mr. Amol Jain, Mr. Aseem Dhru and Mr. John Mescall. The Committee is responsible for formulating and monitoring the CSR policy and programs thereunder.
3. Provide the web-link where composition of CSR Committee, CSR Policy and CSR projects approved by the Board are disclosed on the website of the Company: <https://www.safc.com/faq>
4. Provide the details of Impact assessment of CSR projects carried out in pursuance of sub-rule (3) of rule 8 of the Companies (Corporate Social Responsibility Policy) Rules, 2014, if applicable (attach the report): N.A.
5. Details of the amount available for set off in pursuance of sub-rule (3) of rule 7 of the Companies (Corporate Social Responsibility Policy) Rules, 2014 and amount required for set off for the financial year, if any: N.A.
6. Average net profit of the Company as per section 135(5) : ₹328,958,239/-
7. (a) Two percent of average net profit of the company as per section 135(5): ₹6,579,165/-
 (b) Surplus arising out of the CSR projects or programmes or activities of the previous financial years: Nil
 (c) Amount required to be set off for the financial year, if any: N.A.
8. (a) Total CSR obligation for the financial year (7a+7b-7c): ₹6,579,165/-
 (a) CSR amount spent or unspent for the financial year:

Total Amount Spent for the Financial Year. (in ₹)	Amount Unspent (in ₹)		
	Total Amount transferred to Unspent CSR Account as per section 135(6)	Amount transferred to any fund specified under Schedule VII as per second proviso to section 135(5)	Amount
97,861	6,486,000*	-	29/04/2021

* The amount of ₹6,486,000 transferred to Unspent CSR Account was in excess by ₹4,696 and this amount of ₹6,486,000 was spent by 14 May, 2021 on CSR.

(b) Details of CSR amount spent against ongoing projects for the financial year:

(1)	(2)	(3)	(4)	(5)		(6)	(7)	(8)	(9)	(10)	(11)
Sr	Name of the Project	Item from the list of activities in Schedule VII to the Act	Local area (Yes/No)	Location of the project		Project duration	Amount allocated for the project (in ₹)	Amount spent in the current financial Year (in ₹)	Amount transferred to Unspent CSR Account for the project as per Section 135(6) (in ₹) ⁹	Mode of Implementation - Direct (Yes/No)	Mode of Implementation - Through Implementing Agency Name Registration number
1	Education of underprivileged children	Promoting education	Yes	Maharashtra	Mumbai	Ongoing	1,483,861	97,861	1,386,000	Yes	-
2	Providing healthcare support for oxygen concentrator, support for cancer patients, support for oxygen concentrator machines / initiatives for distributions of masks, sanitizers, PPE kits to COVID frontline warriors and sponsor ventilator(s)	Promote healthcare	Yes	Maharashtra	Mumbai	Ongoing	5,100,000	-	5,100,000	Yes	-
Total							6,583,861	97,861	6,486,000		

⁹The Company spent ₹6,486,000 from Unspent CSR Account by 14 May, 2021 on projects enumerated in Table 8(b) above.

(c) Details of CSR amount spent against other than ongoing projects for the financial year: NA

(d) Amount spent in Administrative Overheads: N.A.

(e) Amount spent on Impact Assessment, if applicable: N.A.

(f) Total amount spent for the Financial Year (8b+8c+8d+8e): ₹97,861/-

(g) Excess amount for set off, if any:

Sr.	Particular	Amount (in ₹)
(i)	Two percent of average net profit of the company as per section 135(5)	6,579,165
(ii)	Total amount spent for the Financial Year	97,861
(iii)	Excess amount spent for the financial year [(ii)-(i)]	Nil
(iv)	Surplus arising out of the CSR projects or programmes or activities of the previous financial years, if any	Nil
(v)	Amount available for set off in succeeding financial years [(iii)-(iv)]	Nil

9. (a) Details of Unspent CSR amount for the preceding three financial years:

Sr.	Preceding Financial Year	Amount transferred to Unspent CSR Account under section 135 (6) (in ₹)	Amount spent in the reporting Financial Year (in ₹) ⁵	Amount transferred to any fund specified under Schedule VII as per section 135(6), if any.		Amount remaining to be spent in succeeding financial years. (in ₹)
				Name of the Fund	Date of transfer.	
1	2019-20	-	1,288,139	-	-	-
Total		-	1,288,139	-	-	-

⁵The amount of ₹1,288,139/- was spent during FY21.

(b) Details of CSR amount spent in the financial year for ongoing projects of the preceding financial year(s): ₹1,288,139/- spent on education of underprivileged children.

10. In case of creation or acquisition of capital asset, furnish the details relating to the asset so created or acquired through CSR spent in the financial year (asset-wise details).

- (a) Date of creation or acquisition of the capital asset(s). N.A.
- (b) Amount of CSR spent for creation or acquisition of capital asset. N.A.
- (c) Details of the entity or public authority or beneficiary under whose name such capital asset is registered, their address etc. N.A.
- (d) Provide details of the capital asset(s) created or acquired (including complete address and location of the capital asset). N.A.

11. Specify the reason(s), if the company has failed to spend two per cent of the average net profit as per section 135(5): The Company had ₹1,288,139/- in its Unspent Corporate Social Responsibility Account. The prescribed CSR expenditure i.e. 2% of the average net profit of the Company for last three financial years is ₹6,579,165/- Therefore the Company was required to spend total ₹7,867,304/- towards its CSR activities for the FY21. The Company has initiated its CSR activities by sponsoring the education of 21 kids of Little Angels School, a Nonprofit Organization, run and managed by "Human Development Centre Trust". The Company has spent an amount of ₹1,386,000/- during the current FY and is in the process of identifying the right avenues to spend the remaining amount of ₹6,481,304/- on CSR project which can be in line with its social impact goals.

For & on behalf of Board of Directors of
SBFC Finance Private Limited
(Erstwhile Small Business FinCredit India Private Limited)

Neeraj Swaroop
Chairman of Committee & Independent Director
DIN: 00061170

Aseem Dhru
Managing Director & CEO
DIN: 01761455

Address: 1104, Signia Isles, G Block, Near Dhirubhai International School, Bandra Kurla Complex, Mumbai - 400051

Address: B-12, 12th Floor, Ahuja Tower, Rajabhau Anant Desai Marg, Prabhadevi, Mumbai - 400025

Date: 26 May, 2021
Place: Mumbai

Annexure – 3

Corporate Governance Report

1. Company's Philosophy on the Code of Governance

The Company have fair, transparent and ethical governance practices and it believes that good Corporate Governance is essential for achieving long-term corporate goals and to enhance stakeholders' value.

In this pursuit, the Company's Corporate Governance philosophy is to ensure fairness, transparency and integrity of the management, in order to protect the interests of all its stakeholders.

2. Board of Directors

Composition of the Board

The Company has an active, experienced and a well-informed Board. As on 31 March 2021, the Board comprised eight (8) directors, out of which five are Non-Executive Directors, two are Independent Directors and one Managing Director.

The Company currently has right mix of directors on the Board who possesses the requisite qualifications and Corporate Governance experience in general corporate management, finance, banking, marketing and other allied fields which enable them to contribute effectively to the Company in their capacity as directors of the Company.

Board Procedure

The agenda along with the detailed notes are circulated in advance to the Board members. The items in the agenda are backed by comprehensive background information to enable the Board to take appropriate decisions and to discharge its responsibilities effectively. The Managing

Director appraises the Board on the overall performance of the Company at every meeting. The Board periodically reviews the strategy, annual business plan and capital expenditure budgets and risk management, safety and environment matters.

It also reviews the compliance reports of the laws applicable to the Company, internal financial controls and financial reporting systems, minutes of the Board Meetings of the Company, adoption of annual results, major accounting provisions and minutes of the meetings of the Audit and other Committees of the Board.

The Company Secretary monitors the Board and Committee proceedings to ensure that terms of reference/charters are adhered to, decisions are properly recorded in the minutes and actions on the decisions are tracked.

Meeting effectiveness is ensured through clear agenda, pre-circulation of material in advance, detailed presentations at the meetings. Additionally, based on the agenda, the Board/Committee meetings are attended by members of the senior leadership as invitees, which bring in the requisite accountability and also provide developmental inputs.

During the FY21, 7 (Seven) board meetings were held on 4 June 2020, 11 June 2020, 14 July 2020, 8 October 2020, 11 November 2020, 23 December 2020 and 17 March 2021. The details of attendance at the Board Meetings and the previous annual general meeting of the Company are given below:

Sr. No.	Name of the Director	Category	Board Meetings		Whether present at the AGM held on 6 July 2020
			Held	Attended	
1	Mr. Aseem Dhru	Managing Director & CEO	7	7	Yes
2	Mr. Amitabh Mohanty (cessation w.e.f. 17 September 2020)	Independent Director	7	3	Yes
3	Mr. Neeraj Swaroop	Independent Director	7	7	Yes
4	Mr. Rajesh Mannalal Agrawal (appointed w.e.f. 11 November 2020)	Additional (Independent) Director	7	2	NA
5	Mr. Amol Jain	Director	7	7	Yes
6	Mr. Rajeev Gupta	Director	7	3	Yes
7	Mr. John Mescall	Nominee Director	7	7	Yes
8	Mr. Jonathan Tadeusz Tatur	Nominee Director	7	7	Yes
9	Mr. Arjun Sakhuja	Nominee Director	7	7	Yes

Committees of the Board

The Board has constituted committees with specific terms of reference/ scope to focus effectively on issues and ensure expedient resolution of diverse matters. These are the Audit Committee, Nomination and Remuneration Committee, Business Review and Monitoring Committee (Executive Committee), Risk Management Committee,

IT Strategy Committee, Corporate Social Responsibility Committee and IT Steering Committee.

The Board of Directors and the Committees also take decisions by circular resolutions which are noted by the Board/ respective Committees of the Board at their next meetings. The minutes of the meetings of all

Committees of the Board are circulated to the Board of Directors, for their noting.

3. Audit Committee

The composition of the Audit Committee is in line with the provisions of Section 177 of the Companies Act, 2013. All the members have the ability to read and understand financial statements and have relevant finance and/or audit experience. The Company Secretary acts as the Secretary to the Committee.

The composition of the Audit Committee is as under:

Name of the Members	Designation
Mr. Neeraj Swaroop	Chairman
Mr. Rajesh Mannalal Agrawal	Member
Mr. Amol Jain	Member

During the FY, Mr. Amitabh Mohanty, member of the Committee resigned from the directorship of the Company and Mr. Rajesh Mannalal Agrawal was appointed as a member of the Committee.

Recommendations of the audit committee which had not been accepted by board along with reasons therefore: NIL

The dates of Audit Committee meetings and the attendance of its members held during FY21 is, given below:

Sr. No	Date of the meeting	No. of members present
1	4 June 2020	3
2	16 September 2020	3
3	23 December 2020	3
4	17 March 2021	3

The Audit Committee meets both with the internal audit head and the statutory auditors to discuss key concerns.

The Managing Director & CEO and Chief Financial Officer attend and participate at all the meetings of the Committee. The Chairman of the Audit Committee briefs the Board about the significant discussions at the Audit Committee meetings. The minutes of each of the Audit Committee are placed in the next meeting of the Board.

The terms of reference of this Committee are in line with the regulatory requirements mandated in Companies Act, 2013 and Rules made thereunder and as amended from time to time. The scope of the Audit Committee includes discussion with auditors on periodical basis, recommendation of appointment, review & monitor the auditor's independence, performance and effectiveness of audit process, oversee vigil mechanism and internal audit control system of the Company.

4. Nomination and Remuneration Committee (NRC) Policy on appointment of Directors

The NRC reviews the disclosure made with regard to the Company's policy on directors' appointment

and remuneration including criteria for determining qualification, positive attributes, independence and other matters as specified in Section 178(3) of the Companies Act, 2013, in the Directors' Report, in terms of Section 134 (1) (e) of the Companies Act, 2013.

The composition of the NRC is as under:

Sr. No.	Name of the Members	Designation
1	Mr. Neeraj Swaroop	Chairman
2	Mr. Rajesh Mannalal Agrawal	Member
3	Mr. Amol Jain	Member
4	Mr. John Mescall	Member

During the FY, Mr. Amitabh Mohanty, member of the Committee resigned from the directorship of the Company and Mr. Rajesh Mannalal Agrawal was appointed as a member of the Committee.

The purpose of the NRC is to oversee the selection of members of the Board based on criteria related to the specific requirement of expertise, independence and execution.

Further, the role of NRC is also to identify and select senior management personnel one level below the Board.

The dates of Nomination and Remuneration Committee meetings and the attendance of its Members held during FY21 are given below:

Sr. No	Date of the meeting	No. of members present
1	23 December 2020	4
2	17 March 2021	4

The terms of reference of the NRC are in line with the regulatory requirements mandated in the Companies Act, 2013 and Rules made thereunder as amended from time to time. The scope of NRC includes identifying the persons to become directors of the Company, recommending the Board the appointment and removal of senior management and consider giving stock option to the employees in the form of equity shares of the Company.

The Company pays remuneration by way of salary, benefits, perquisites and allowances (fixed component) and commission (variable component) to its Managing Director & CEO.

5. Risk Management Committee (RMC)

Following meetings of RMC were held during the FY21.

Sr. No	Date of the meeting	No. of members present
1	16 September 2020	9
2	17 March 2021	10

During the FY, Mr. Amitabh Mohanty, member of the Committee resigned from the directorship of the Company and Mr. Rajesh Mannalal Agrawal was appointed as a member of the Committee.

The roles and responsibilities of the Committee are as per the charter adopted by the Board and includes monitoring and review of the risk management plan and reporting the same to the Board periodically as it may deem fit, in addition to any other terms as may be referred by the Board, from time to time.

RMC assists the Audit Committee and the Board of Directors in overseeing the Company's risk management processes and controls.

6. Corporate Social Responsibility Committee

The main objective of CSR committee is to make CSR a key business process for sustainable development of the society. The Board of SBFC may decide to undertake its CSR activities as recommended by the CSR Committee, through a registered trust or a registered society or a company established by the company or its holding or subsidiary or associate company pursuant to Section 135 of the Companies Act, 2013 and rules made there-under.

The dates of Corporate Social Responsibility Committee meetings and the attendance of its Members held during FY21 is given below:

Sr. No	Date of the meeting	No. of members present
1	16 September 2020	4
2	11 November 2020	4

For & on behalf of Board of Directors of
SBFC Finance Private Limited
(Erstwhile Small Business FinCredit India Private Limited)

Aseem Dhru

Managing Director & CEO
DIN: 01761455

Address: B-12, 12th Floor, Ahuja Tower, Rajabhau
Anant Desai Marg, Prabhadevi, Mumbai – 400025

Date: 26 May 2021
Place: Mumbai

7. Business Review and Monitoring (Executive Committee):

Following meetings of Business Review & Monitoring Committee were held during the FY21.

Sr. No	Date of the meeting	No. of members present
1	4 June 2020	4
2	13 August 2020	4
3	16 September 2020	4
4	11 November 2020	4
5	23 December 2020	4
6	17 February 2021	3
7	17 March 2021	4

8. IT Strategy Committee:

Following meetings of IT Strategy Committee were held during the FY21.

Sr. No	Date of the meeting	No. of members present
1	14 July 2020	5
2	17 March 2021	5

John Mescall

Nominee Director
DIN: 08385575

Address: Villa 4/5, W-Sub Meter, Emirates Hill Fourt,
Spring 8.9 Premises No. 395004624, Dubai, UAE – 506991

Annexure – 4

Rating assigned by Credit Rating agencies and migration of ratings during the FY

Name of Rating Agency	ICRA Limited	
Date of rating	Products	Rating assigned
16 October 2020	Non Convertible Debentures	[ICRA] A (Stable)
16 October 2020	Enhanced bank lines	[ICRA] A (Stable)

Name of Rating Agency	India Ratings & Research Pvt Ltd	
Date of rating	Products	Rating assigned
5 March 2021	Non Convertible Debentures	IND A/Stable
5 March 2021	Bank loan	IND A/Stable

For & on behalf of Board of Directors of
SBFC Finance Private Limited
(Erstwhile Small Business FinCredit India Private Limited)

Aseem Dhru

Managing Director & CEO
DIN: 01761455

Address: B-12, 12th Floor, Ahuja Tower, Rajabhau
Anant Desai Marg, Prabhadevi, Mumbai – 400025

Date: 26 May 2021
Place: Mumbai

John Mescall

Nominee Director
DIN: 08385575

Address: Villa 4/5, W-Sub Meter, Emirates Hill Fourt,
Spring 8.9 Premises No. 395004624, Dubai, UAE – 506991

Annexure – 5

Employee wise details of Options granted

The details of Employee wise Options granted are available with the Company Secretary of the Company

For & on behalf of Board of Directors of
SBFC Finance Private Limited
(Erstwhile Small Business FinCredit India Private Limited)

Aseem Dhru
Managing Director & CEO
DIN: 01761455

Address: B-12, 12th Floor, Ahuja Tower, Rajabhau
Anant Desai Marg, Prabhadevi, Mumbai – 400025

Date: 26 May 2021
Place: Mumbai

John Mescall
Nominee Director
DIN: 08385575

Address: Villa 4/5, W-Sub Meter, Emirates Hill Fourt,
Spring 8.9 Premises No. 395004624, Dubai, UAE – 506991

Annexure – 6

Secretarial Audit Report
Form No. MR-3
SECRETARIAL AUDIT REPORT

FOR THE FINANCIAL YEAR ENDED 31 MARCH 2021

[Pursuant to section 204(1) of the Companies Act, 2013 and Rule 9 of the Companies
(Appointment and Remuneration of Managerial Personnel) Rules, 2014]

To,
The Members,
SBFC FINANCE PRIVATE LIMITED
Mumbai

We have conducted the secretarial audit of the compliance of applicable statutory provisions and the adherence to good corporate practices by SBFC FINANCE PRIVATE LIMITED (hereinafter called the Company) (CIN: U67190MH2008PTC178270) during F.Y. 2020-2021. Secretarial Audit was conducted in a manner that provided us a reasonable basis for evaluating the corporate conducts/statutory compliances and expressing our opinion thereon.

Based on our verification of the Company’s books, papers, minute books, forms and returns filed and other records maintained by the Company and also the information provided by the Company, its officers, agents and authorized representatives during the conduct of secretarial audit, we hereby report that in our opinion, the Company has, during the audit period covering the financial year ended on 31 March 2021 complied with the statutory provisions listed hereunder and also that the Company has proper Board-processes and compliance-mechanism in place to the extent, in the manner and subject to the reporting made hereinafter:

We have examined the books, papers, minute books, forms and returns filed and other records maintained by the Company for the financial year ended on 31 March 2021 according to the provisions of:

- (i) The Companies Act, 2013 (the Act) and the rules made thereunder;
- (ii) RBI Act, 1934 and rules and regulations made thereunder;
- (iii) The Depositories Act, 1996 and the Regulations and Bye-laws framed thereunder;
- (iv) Foreign Exchange Management Act, 1999 and the rules and regulations made thereunder to the extent of Foreign Direct Investment, Overseas Direct Investment and External Commercial Borrowings;
- (v) As confirmed by the management, there are no other laws specifically applicable to the business of the Company.

We have also examined the compliance with the applicable clauses of the following:

- i. Secretarial Standards issued by The Institute of Company Secretaries of India, and
- ii. Listing Agreement, to the extent the provisions of the SEBI (Issue and Listing of Debt Securities) Regulations, 2008 and the SEBI (LODR) Regulations, 2015 which are applicable to listing of debt instruments.

During the period under review the Company has generally complied with the provisions of the Act, Old Act, Rules, Regulations, Guidelines, Standards, etc. mentioned above.

Other statutes, Acts, laws, Rules, Regulations, Guidelines and Standards, etc. as applicable to the Company are given below:

- (i) Labour Laws and other incidental laws related to labour and employees appointed by the Company either on its payroll or on contractual basis as related to wages, gratuity, provident fund, ESIC, compensation etc.;
- (ii) Acts as prescribed under Direct Tax and Indirect Tax;
- (iii) Stamp Acts and Registration Acts;

- (iv) Acts prescribed under prevention and control of pollution;
- (v) Acts prescribed under environmental protection;
- (vi) Labour Welfare Act; and
- (vii) Local laws as applicable to the factory and office of the Company.

We further report that the Board of Directors of the Company is duly constituted with proper balance of Directors and Executive Directors. The changes in the composition of the Board of Directors that took place during the period under review were carried out in compliance with the provisions of the Act.

Adequate notice is given to all directors to schedule the Board Meetings, agenda and detailed notes on agenda were sent at least seven days in advance, and a system exists for seeking and obtaining further information and clarifications on the agenda items before the meeting and for meaningful participation at the meeting. During the reporting period, the meetings (including committee meetings) were conducted through video conference complying with the provisions of Secretarial Standards issued by The Institute of Company Secretaries of India.

During the period under review, decisions were carried through unanimously and no dissenting views were observed, while reviewing the minutes.

We further report that there are adequate systems and processes in the Company commensurate with the size and operations of the company to monitor and ensure compliance with applicable laws, rules, regulations and guidelines.

We further report that during the audit period the company has undertaken significant & material corporate events/ actions having a major bearing on the Company's affairs in pursuance of the above referred laws, rules, regulations, guidelines, standards, etc. referred to above and which are provided in Annexure B annexed to this report.

K PRATIK & ASSOCIATES
Practicing Company Secretaries

PRATIK HARSHAD KALSARIYA
Proprietor
M. No.: 33502
C. P. No.: 12368
UDIN: A033502C000335089

Place: Mumbai
Date: 17 May 2021

Note 1: Unique Document Identification Number (UDIN) is generated for this certificate and same is reported to the Institute of Company Secretaries of India and the UDIN is issued in accordance with the applicable provisions of the ICSI Unique Document Identification Number (UDIN) Guidelines, 2019.

Note 2: This report is to be read with our letter of even date which is annexed as Annexure A and forms an integral part of this report.

Annexure – A

To,
The Members,
SBFC FINANCE PRVIATE LIMITED
Our report of even date is to be read along with this letter.

1. Maintenance of secretarial record is the responsibility of the management of the Company. Our responsibility is to express an opinion on these secretarial records based on our audit.
2. We have followed the audit practices and processes as were appropriate to obtain reasonable assurance about the correctness of the contents of the secretarial records. The verification was done on test basis to ensure that correct facts are reflected in secretarial records. We believe that the processes and practices, we followed provide a reasonable basis for our opinion.
3. We have not verified the correctness and appropriateness of financial records and Books of Accounts of the Company.
4. Wherever required, we have obtained the Management's representation about the compliance of laws, rules and regulations and happening of events etc.
5. The compliance of the Corporate and other applicable laws, rules, regulations, standards is the responsibility of the management. Our examination was limited to the verification of the procedures on test basis.
6. The Secretarial Audit report is neither an assurance as to the future viability of the Company nor of the efficacy or effectiveness with which the management has conducted the affairs of the Company.
7. Considering COVID-19 pandemic outbreak and adhering to safety guidelines issued by the Government during the conduct of the Audit of the Company, the verification of records of the company was limited to the information / documents accessible through online sources made available by the management of the Company and the report was made relying upon the information / documents made available by the Company.

Date: 17 May 2021
Place: Mumbai

K PRATIK & ASSOCIATES
Practicing Company Secretaries

PRATIK HARSHAD KALSARIYA
Proprietor
M. No.: 33502
C. P. No.: 12368

Annexure – B

List of material events of the Company occurred during the F.Y. 2020-21

During the reporting period, following significant & material corporate events/ actions had occurred which has a major bearing on the Company's affairs:

1. On 11 June 2020, the Board of Directors approved the issue of 54,875,856 (Five Crore Forty Eight Lakhs Seventy Five Thousand Eight Hundred and Fifty Six) equity shares of face value of ₹10/- (Rupees Ten only) at a premium of ₹9.08/- (Rupees Nine and Eight paise only) by way of right issue;
2. On 14 July 2020, the Board of Directors noted resolutions passed by way of Circulation as per following:
 - Circular Resolution dated 25 June 2020 for Allotment of 52,650,776 Equity Shares to the allottees as per the resolution passed in such board meeting;
 - Circular Resolution dated 03 July 2020 for availing Term Loan facility of Rupees 60 Crores from Small Industries Development Bank of India (SIDBI);
3. On 14 July 2020, the Board of Directors approved issue of Rated, Unlisted/ Listed, Secured, Redeemable, Non-Convertible, Debentures of an aggregate value of ₹5,000,000,000/- (Rupees Five Hundred Crores Only) and to make application to BSE Limited for listing of the Debentures on the WDM segment of BSE Limited;
4. On 14 July 2020, the members of Company approved issue of Non-Convertible Debentures of ₹500 Crores on Private Placement basis;
5. On 08 October 2020 the Board of Directors noted resolutions passed by way of Circulation as per following:
 - Circular Resolution dated 01 August 2020 for identification of investors for issuance of offer letters for issuance of upto 250 (Two Hundred and Fifty) secured, rated, listed, redeemable, non-convertible debentures bearing a face value of ₹1,000,000/- (Rupees Ten Lakh only) each, aggregating upto ₹250,000,000/- (Rupees Twenty Five Crore only)("Debentures");
 - Circular Resolution dated 03 August 2020 for Allotment of 250 (two hundred and fifty) secured, rated, listed, redeemable non-convertible debentures bearing a face value of ₹1,000,000/- (Rupees Ten Lakh only) each, aggregating upto ₹250,000,000/- (Rupees Twenty Five Crore only)("Debentures");
 - Circular Resolution dated 04 August 2020 for approval of the transfer of equity shares from Arpwood Partners Investment Advisors LLP to Arpwood Capital Private Limited;
 - Circular Resolution dated 10 August 2020 for identification of investors for issuance of offer letters for issuance of upto 500 (Five Hundred) secured, rated, listed, redeemable, non-convertible debentures bearing a face value of ₹1,000,000/- (Rupees Ten Lakh only) each, aggregating upto ₹500,000,000/- (Rupees Fifty Crore only)("Debentures") and to seek admission of securities of the Company in Depository system of Central Depository Services (India) Limited to dematerialize the certificates of the shareholders of the Company;
 - Circular Resolution dated 11 August 2020 for allotment of 500 (Five Hundred) Secured, Rated, Listed, Redeemable Non-Convertible Debentures bearing a face value of ₹1,000,000/- (Rupees Ten Lakh only) each, aggregating upto ₹500,000,000/- (Rupees Fifty Crore Only) ("Debentures");
 - Circular Resolution dated 14 August 2020 for identification of investors for issuance of offer letters for issuance of upto 250 (Two Hundred and Fifty) secured, rated, listed, redeemable, non-convertible debentures bearing a face value of ₹1,000,000/- (Rupees Ten Lakh only) each, aggregating upto ₹250,000,000/- (Rupees Twenty Five Crore only) ("Debentures");
 - Circular Resolution dated 17 August 2020 for allotment of 250 (Two Hundred Fifty) Secured, Rated, Listed, Redeemable Non-Convertible Debentures bearing a face value of ₹1,000,000/- (Rupees Ten Lakh only) each, aggregating upto ₹250,000,000/- (Rupees Twenty Five Crore Only) ("Debentures");
 - Circular Resolution dated 31 August 2020 for raising secured financing availing Term Loan Facility to the extent of INR ₹500,000,000/- (Rupees Fifty Crores Only) from AU Small Finance Bank Limited;

- Circular Resolution dated 11 September 2020 for identification of investors for issuance of offer letters for issuance of upto 500 (Five Hundred) secured, rated, listed, redeemable, non-convertible debentures bearing a face value of ₹1,000,000/- (Rupees Ten Lakh only) each, aggregating upto ₹500,000,000/- (Rupees Fifty Crore only)("Debentures");
 - Circular Resolution dated 14 September 2020 for allotment of 500 (Five Hundred) Secured, Rated, Listed, Redeemable Non-Convertible Debentures bearing a face value of ₹1,000,000/- (Rupees Ten Lakh only) each, aggregating upto ₹500,000,000/- (Rupees Fifty Crore Only) ("Debentures");
 - Circular Resolution dated 17 September 2020 for accepting resignation of Mr. Amitabh Mohanty from the directorship of the Company;
6. On 08 October 2020, the Board of Directors approved issue of 1,703,400 fully paid equity shares on preferential allotment/private placement basis;
 7. On 08 October 2020, the members of Company approved issue of 1,703,400 fully paid equity shares on Private Placement basis;
 8. On 11 November 2020 the Board of Directors noted resolutions passed by way of Circulation as per following:
 - Circular Resolution dated 13 October 2020 for allotment of 1,703,400 fully paid equity shares on preferential allotment/private placement basis;
 - Circular Resolution dated 23 October 2020 for availing Term Loan and Working Capital Demand Loan from ICICI Bank;
 - Circular Resolution dated 23 October 2020 for availing Cash Credit facility from Kotak Bank;
 - Circular Resolution dated 23 October 2020 for application for credit facility under Purchase Card with HDFC Bank;
 9. On 11 November 2020, the Board of Directors approved appointment of Mr. Rajesh Mannalal Agrawal, as an Independent Additional Director on the Board of the Company;
 10. On 17 March 2021, the Board of Directors approved the appointment Mr. Sanket Agrawal, Chartered Accountant, as an Internal Auditor of the Company;
 11. On 17 March 2021, the Board of Directors approved the resignation of Ms. Swati Amey Morajkar from the post of Company Secretary of the Company w.e.f 03 May 2021.

K PRATIK & ASSOCIATES
Practicing Company Secretaries

PRATIK HARSHAD KALSARIYA
Proprietor
M. No.: 33502
C. P. No.: 12368

Date: 17 May 2021
Place: Mumbai

INDEPENDENT AUDITORS' REPORT

To The Members of SBFC Finance Private Limited (Formerly Known as Small Business FinCredit India Private Limited) Report on the Audit of the Financial Statements

Opinion

We have audited the accompanying financial statements of SBFC Finance Private Limited (Formerly Known as Small Business FinCredit India Private Limited) (the "Company"), which comprise the Balance Sheet as at 31 March 2021, and the Statement of Profit and Loss including Other Comprehensive Income, the Statement of Cash Flows and the Statement of Changes in Equity for the year then ended, and a summary of significant accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid financial statements give the information required by the Companies Act, 2013 (the "Act") in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards prescribed under section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015, as amended, ("Ind AS") and other accounting principles generally accepted in India, of the state of affairs of the Company as at 31 March 2021, and its profit, total comprehensive income, its cash flows and the changes in equity for the year ended on that date.

Basis for Opinion

We conducted our audit of the financial statements in accordance with the Standards on Auditing specified under section 143(10)

of the Act (SAs). Our responsibilities under those Standards are further described in the Auditor's Responsibility for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India (ICAI) together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Act and the Rules made thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ICAI's Code of Ethics. We believe that the audit evidence obtained by us is sufficient and appropriate to provide a basis for our audit opinion on the financial statements.

Emphasis of Matter

We draw attention to Note 51.1.2.4 of the Financial Statements, which describes the continuing uncertainties arising from the COVID 19 pandemic and particularly the impairment provisions are dependent on future developments, which are highly uncertain.

Our opinion is not modified in respect of this matter.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the Financial Statements of the current year. These matters were addressed in the context of our audit of the Financial Statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. We have determined the matters described below to be the key audit matters to be communicated in our report.

Key Audit Matters	Auditor's Response
Impairment of Financial Assets Management estimates impairment provision using Expected Credit loss model (ECL) for the loan exposure. Measurement of loan impairment involves application of significant judgement by the management. The most significant judgements are: - Timely identification and classification of the impaired loans, and - Determination of probability of defaults (PD) and estimation of loss given defaults (LGD) based on the value of collaterals and relevant factors The estimation of Expected Credit Loss on financial instruments involve significant judgements and estimates. Following are points with increased level of audit focus: - Classification of assets to stage 1, 2, or 3 using criteria in accordance with Ind AS 109; - Key assumptions in respect of the probability of default and loss given default (including taking industry comparatives) assessed by the Company including consideration of collateral values	Principal audit procedure performed: - We examined Board Policy approving methodologies for computation of ECL that address policies, procedures and controls for assessing and measuring credit risk on all lending exposures, commensurate with the size, complexity and risk profile specific to the Company. The parameters and assumptions used and their rationale and basis are clearly documented. - We evaluated the design and operating effectiveness of controls across the processes relevant to ECL, including the judgements and estimates. - These controls, among others, included controls over the allocation of assets into stages including management's monitoring of stage effectiveness, model monitoring including the need for post model adjustments, model validation, credit monitoring, multiple economic scenarios, individual provisions and recording of journal entries and disclosures.

Key Audit Matters	Auditor's Response
- Inputs and Judgements used in determination of management overlay at various asset stages considering the current uncertain economic environment with the range of possible effects unknown to the country arising out of the COVID 19 Pandemic which also include considering the impact of recent RBI's Covid-19 regulatory circular and - The disclosures made in financial statements for ECL especially in relation to judgements and estimates made by the Management in determination of the ECL. Refer note 51.1.2.1 to the financial statements.	- We tested the completeness of loans and advances included in the Expected Credit Loss calculations as of 31 March 2021 by reconciling it with the balances as per loan balance register. - We tested assets in stage 1, 2 and 3 on sample basis to verify that they were allocated to the appropriate stage. For samples of exposure, we tested the appropriateness of determining EAD, PD and LGD test of details over calculation of impairment allowance for assessing completeness and accuracy of data. - For exposure determined to be individually impaired, we tested a samples of loans and advances and examined management's estimate of future cash flows, assessed their reasonableness and checked the resultant provision calculations. - We performed an overall assessment of the ECL provision levels at each stage including management's assessment on Covid-19 impact to determine if they were reasonable considering the Company's portfolio, risk profile, credit risk management practices and the macroeconomic environment. We assessed the adequacy and appropriateness of disclosures in compliance with the Ind AS 107 in relation to ECL especially in relation to judgements used in estimation of ECL provision.

Information Other than the Financial Statements and Auditor's Report Thereon

- The Company's Board of Directors is responsible for the other information. The other information comprises the information included in the Management Discussion and Analysis and Directors Report (the "Reports") but does not include the financial statements, and our auditor's report thereon. The Reports are expected to be made available to us after the date of this auditors' report.
- Our opinion on the financial statements does not cover the other information and we do not and will not express any form of assurance conclusion thereon.
- In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained during the course of our audit or otherwise appears to be materially misstated.
- If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

Management's Responsibility for the Financial Statements

The Company's Board of Directors is responsible for the matters stated in section 134(5) of the Act with respect to the preparation of these financial statements that give a true and fair view of the financial position, financial performance including other comprehensive income, cash flows and changes in equity of the Company in accordance with the Ind AS and other accounting principles generally accepted in India. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies;

making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statement that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those Board of Directors are also responsible for overseeing the Company's financial reporting process.

Auditor's Responsibility for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal financial control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Company has adequate internal financial controls system in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

Materiality is the magnitude of misstatements in the financial statements that, individually or in aggregate, makes it probable that the economic decisions of a reasonably knowledgeable user of the financial statements may be influenced. We consider quantitative materiality and qualitative factors in

- planning the scope of our audit work and in evaluating the results of our work; and
- to evaluate the effect of any identified misstatements in the financial statements.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical

requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

Report on Other Legal and Regulatory Requirements

- As required by Section 143(3) of the Act, based on our audit we report, that:
 - We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.
 - In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books.
 - The Balance Sheet, the Statement of Profit and Loss including Other Comprehensive Income, the Statement of Cash Flows and Statement of Changes in Equity dealt with by this Report are in agreement with the relevant books of account
 - In our opinion, the aforesaid financial statements comply with the Ind AS specified under Section 133 of the Act.
 - On the basis of the written representations received from the directors and taken on record by the Board of Directors, none of the directors is disqualified as on 31 March 2021 from being appointed as a director in terms of Section 164(2) of the Act.
 - With respect to the adequacy of the internal financial controls over financial reporting of the Company and the operating effectiveness of such controls, refer to our separate Report in "Annexure A". Our report expresses an unmodified opinion on the adequacy and operating effectiveness of the Company's internal financial controls over financial reporting.
 - In our opinion and to the best of our information and according to the explanations given to us, the Company being a private company, section 197 of the Act related to the managerial remuneration is not applicable.
 - With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, as amended in our opinion and to the best of our information and according to the explanations given to us:
 - The Company does not have any pending litigations which would impact its financial position as at 31 March 2021.

- The Company did not have any long-term contracts including derivative contracts, as at year end for which there were any material foreseeable losses.
- There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Company.

- As required by the Companies (Auditor's Report) Order, 2016 ("the Order") issued by the Central Government in terms of Section 143(11) of the Act, we give in "Annexure B" a statement on the matters specified in paragraphs 3 and 4 of the Order.

For **Deloitte Haskins & Sells LLP**

Chartered Accountants

(Firm's Registration No. 117366W/W-100018)

G. K. Subramaniam

(Partner)

(Membership No. 109839)

(UDIN: 21109839AAAAGI6006)

Place: Mumbai

Date: 26 May 2021

Annexure – A

TO THE INDEPENDENT AUDITOR’S REPORT

(Referred to in paragraph 1(f) under ‘Report on Other Legal and Regulatory Requirements’ section of our report of even date)

Report on the Internal Financial Controls Over Financial Reporting under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 (“the Act”)

We have audited the internal financial controls over financial reporting of **SBFC Finance Private Limited** (Formerly Known as Small Business FinCredit India Private Limited) (“the Company”) as of 31 March 2021 in conjunction with our audit of the financial statements of the Company for the year ended on that date.

Management’s Responsibility for Internal Financial Controls

The Company’s management is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India (the “Guidance Note”). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company’s policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditor’s Responsibility

Our responsibility is to express an opinion on the Company’s internal financial controls over financial reporting of the Company based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the “Guidance Note”) issued by the Institute of Chartered Accountants of India and the Standards on Auditing prescribed under Section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system over financial reporting and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor’s judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company’s internal financial controls system over financial reporting.

Meaning of Internal Financial Controls Over Financial Reporting

A company’s internal financial control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company’s internal financial control over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company’s assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls Over Financial Reporting

Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting to future periods are subject to the risk that the internal financial control over financial reporting may become inadequate

because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion, to the best of our information and according to the explanations given to us the Company has, in all material respects, an adequate internal financial controls system over financial reporting and such internal financial controls over financial reporting were operating effectively as at 31 March 2021, based on the criteria for internal financial control over financial reporting established by the Company considering the essential components of internal control stated in the Guidance Note.

For **Deloitte Haskins & Sells LLP**

Chartered Accountants

(Firm’s Registration No. 117366W/W-100018)

G. K. Subramaniam

(Partner)

(Membership No. 109839)

(UDIN: 21109839AAAAGI6006)

Place: Mumbai

Date: 26 May 2021

Annexure – B

TO THE INDEPENDENT AUDITOR'S REPORT

(Referred to in paragraph 2 under 'Report on Other Legal and Regulatory Requirements' section of our report of even date)

- i. (a) According to the information and explanations given to us, the Company has maintained proper records showing full particulars, including quantitative details and situation of fixed assets.
- (b) Some of the fixed assets were physically verified during the year by the Management in accordance with a programme of verification, which in our opinion provides for physical verification of all the fixed assets at reasonable intervals. According to the information and explanations given to us no material discrepancies were noticed on such verification.
- (c) According to the information and explanations given to us and the records examined by us, there are no immovable properties, included in property, plant and equipment of the Company. In respect of immovable properties of land and buildings that have been taken on lease, the lease agreements are in the name of the Company, where the Company is the lessee in the agreement.
- ii. To the best of our knowledge and according to the information and explanations given to us, the Company does not have any inventory and hence reporting under clause 3(ii) of the Order is not applicable.
- iii. To the best of our knowledge and according to the information and explanations given to us, the Company has not granted loans, secured or unsecured, to companies, firms, Limited Liability Partnerships or other parties covered in the register maintained under section 189 of the Companies Act, 2013.
- iv. To the best of our knowledge and according to information and explanation given to us the Company has not granted any loans, made investments or provided guarantees under the provisions of Sections 185 and 186 of the Act and hence reporting under clause 3(iv) of the CARO 2016 is not applicable.
- v. To the best of our knowledge and according to the information and explanations given to us, the Company has not accepted any public deposit during the year and no order in this respect has been passed by the Company Law Board or National Company Law Tribunal or the Reserve Bank of India or any Court or any other Tribunals with regard to the Company.
- vi. To the best of our knowledge and according to the information and explanations given to us the Central Government has not prescribed the maintenance of cost records under section 148(1) of the Companies Act, 2013 in respect of the services rendered by the Company.
- vii. To the best of our knowledge and according to the information and explanations given to us, in respect of statutory dues:
 - (a) The Company has generally been regular in depositing undisputed statutory dues, including Provident Fund, Employees' State Insurance, Income-tax, Goods and Service Tax and cess to the appropriate authorities.
 - (b) There were no undisputed amounts payable in respect of Provident Fund, Employees' State Insurance, Income-tax, Goods and Service Tax and cess and other material statutory dues in arrears as at 31 March 2021 for a period of more than six months from the date they became payable.
 - (c) There are no dues of Income tax and Goods and Service Tax as on 31 March 2021 on account of disputes.
- viii. To the best of our knowledge and according to the information and explanations given to us, the Company has not defaulted in the repayment of loans or borrowings to financial institutions, banks and dues to debenture holders. The Company has not taken any loans or borrowings from the government.
- ix. To the best of our knowledge and according to the information and explanations given to us, money raised by way of the term loans have been applied by the Company during the year for the purposes for which they were raised other than temporary deployment pending application of proceeds. The Company has not raised money by way of initial public offer/ further public offer including debt instruments.
- x. To the best of our knowledge and according to the information and explanations given to us, no fraud by the Company and no material fraud on the Company by its officers or employees has been noticed or reported during the year other than those reported under note 55.11.10 to the Financial Statements.
- xi. The Company is a private company and hence the provisions of section 197 of the Companies Act, 2013 do not apply to the Company.

xii. The Company is not a Nidhi Company and hence reporting under clause (xii) of the CARO 2016 Order is not applicable.

xiii. In our opinion and according to the information and explanations given to us the Company is in compliance with Section 188 of the Companies Act, 2013, where applicable, for all transactions with the related parties and the details of related party transactions have been disclosed in the financial statements etc. as required by the applicable accounting standards. The Company is a private company and hence the provisions of section 177 is not applicable to the Company.

xiv. According to the information and explanations given to us, the Company has made private placement of shares during the year under review and we report that:

- a) the requirement of Section 42 of the Companies Act, 2013, as applicable, have been complied with; and
- b) the amounts raised have been applied by the Company during the year for the purposes for which the funds were raised, other than temporary deployment pending application.

xv. To the best of our knowledge and according to the information and explanations given to us, during the year, the Company has not entered into any non-cash transactions with the directors or persons connected with the them, and hence provisions of section 192 of the Act are not applicable.

xvi. The Company is required to be registered under section 45-I of the Reserve Bank of India Act, 1934 and it has obtained the registration.

For **Deloitte Haskins & Sells LLP**

Chartered Accountants

(Firm's Registration No. 117366W/W-100018)

G. K. Subramaniam

(Partner)

(Membership No. 109839)

(UDIN: 21109839AAAAGI6006)

Place: Mumbai
Date: 26 May 2021

Balance Sheet

as at 31 March 2021

(₹ In Lakh)			
Particulars	Note No.	As at 31 March 2021	As at 31 March 2020
ASSETS			
I. Financial assets			
(a) Cash and cash equivalents	3	13,724.76	22,435.40
(b) Bank Balances other than (a) above	4	20,310.60	19,083.54
(c) Receivables			
(i) Trade Receivables	5	196.22	298.60
(ii) Other Receivables		-	-
(d) Loans	6	210,707.97	154,892.95
(e) Investments	7	148,424.91	187,907.67
(f) Other financial assets	8	647.45	237.06
Total Financial Assets		394,011.91	384,855.22
II. Non-Financial assets			
(a) Current Tax Assets (Net)	9	2,064.18	6,134.43
(b) Property, plant and equipment	10	3,795.36	3,140.36
(c) Intangible assets under development	11	33.32	-
(d) Goodwill	12	26,039.23	26,039.23
(e) Other intangible assets	13	172.15	102.24
(f) Other non-financial assets	14	471.92	531.88
Total Non-Financial Assets		32,576.16	35,948.14
Total Assets		426,588.07	420,803.36
LIABILITIES AND EQUITY			
LIABILITIES			
I. Financial Liabilities			
(a) Payables	15		
(A) Trade Payables			
(i) total outstanding dues of micro enterprises and small enterprises		-	-
(ii) total outstanding dues of creditors other than micro enterprises and small enterprises		1,836.74	1,441.00
(B) Other Payables			
(i) total outstanding dues of micro enterprises and small enterprises		-	-
(ii) total outstanding dues of creditors other than micro enterprises and small enterprises		705.26	873.81
(b) Debt Securities	16	15,000.00	32,428.68
(c) Borrowings (Other than Debt Securities)	17	262,775.80	273,643.69
(d) Other financial liabilities	18	23,211.03	8,591.57
Total Financial Liabilities		303,528.83	316,978.75
II. Non-Financial Liabilities			
(a) Current tax liabilities (Net)		-	-
(b) Provisions	19	22.53	-
(c) Deferred tax liabilities (Net)	20	2,337.12	2,445.68
(d) Other non-financial liabilities	21	158.95	130.72
Total Non-Financial Liabilities		2,518.60	2,576.40
Total Liabilities		306,047.43	319,555.15
EQUITY			
(a) Equity Share Capital	22	79,667.39	74,231.97
(b) Other Equity	23	40,873.25	27,016.24
Total Equity		120,540.64	101,248.21
Total Liabilities and Equity		426,588.07	420,803.36

Summary of Significant Accounting Policies (Refer Note 2)
The accompanying notes are an integral part of the Financial Statements

In terms of our report attached
For **Deloitte Haskins & Sells LLP**
Chartered Accountants
(Firm Registration No.117366W/W-100018)

G K Subramaniam
Partner
Membership No: 109839

Place: Mumbai
Date: 26 May 2021

For and on behalf of the Board of Directors of
SBFC Finance Private Limited
(Erstwhile Small Business FinCredit India Pvt. Ltd.)
CIN:U67190MH2008PTC178270

Mr. Aseem Dhru
CEO & Managing Director
DIN: 01761455

Mr. Narayan Barasia
Chief Financial Officer

Mr. John Mescall
Nominee Director
DIN: 08385575

Statement of Profit and Loss

for the year ended 31 March 2021

(₹ In Lakh)			
Particulars	Note No.	For the year ended 31 March 2021	For the year ended 31 March 2020
(I) Revenue from Operations			
Interest Income	24	46,334.11	40,971.05
Fees and commission Income	25	2,415.32	1,745.32
Net gain on Fair Value Changes	26	910.58	1,149.20
Net gain on derecognition of financial instruments under amortised cost category	27	396.82	-
Other Operating Income	28	670.56	604.17
Total Revenue from Operations		50,727.39	44,469.74
(II) Other Income	29	390.73	17.60
(III) Total Income (I+II)		51,118.12	44,487.34
Expenses			
Finance costs	30	23,845.54	24,403.73
Impairment on financial instruments (Expected Credit Loss)	31	2,817.91	2,830.46
Employee benefit expenses	32	8,418.27	7,362.87
Depreciation and amortisation expenses	10 to 13	930.06	793.71
Other expenses	33	3,693.23	3,245.37
(IV) Total expenses		39,705.01	38,636.14
(V) Profit before Tax (III - IV)		11,413.11	5,851.20
Tax expense			
- Current tax	34	3,006.79	-
- Deferred tax	35	(108.56)	2,308.57
(VI) Total tax expense		2,898.23	2,308.57
(VII) Profit for the year (V-VI)		8,514.88	3,542.63
(VIII) Other comprehensive income			
(A) Items that will not be reclassified to profit or loss	36		
- Remeasurement of Net defined benefit		17.58	(11.90)
- Income tax relating to items that will not be reclassified to profit or loss		(4.42)	2.99
(B) Items that will be reclassified to profit or loss		-	-
Other Comprehensive Income		13.16	(8.91)
(IX) Total comprehensive income for the year (VII + VIII)		8,528.04	3,533.72
(X) Earnings per equity share (Face value ₹10/- per share)			
Basic (₹)	46	1.09	0.48
Diluted (₹)		1.06	0.48

Summary of Significant Accounting Policies (Refer Note 2)
The accompanying notes are an integral part of the Financial Statements

In terms of our report attached
For **Deloitte Haskins & Sells LLP**
Chartered Accountants
(Firm Registration No.117366W/W-100018)

G K Subramaniam
Partner
Membership No: 109839

Place: Mumbai
Date: 26 May 2021

For and on behalf of the Board of Directors of
SBFC Finance Private Limited
(Erstwhile Small Business FinCredit India Pvt. Ltd.)
CIN:U67190MH2008PTC178270

Mr. Aseem Dhru
CEO & Managing Director
DIN: 01761455

Mr. Narayan Barasia
Chief Financial Officer

Mr. John Mescall
Nominee Director
DIN: 08385575

Cash Flow Statement

for the year ended 31 March, 2021

(₹ In Lakh)		
Particulars	For the year ended 31 March 2021	For the year ended 31 March 2020
Cash flow from Operating activities		
Profit before Tax	11,413.11	5,851.20
Adjustments for:		
Depreciation and amortisation expenses	930.06	793.71
Interest income on Loans	(27,756.75)	(21,455.19)
Interest income on Investment in PTC	(17,196.20)	(18,799.06)
Interest income on Fixed Deposits	(1,381.16)	(716.80)
Fees and Commission Income	(2,415.32)	(1,745.32)
Finance costs on Borrowings & Debt Securities	23,626.32	24,179.02
Finance costs on Lease Liability	196.75	221.33
Net gain on financial instruments at fair value through profit or loss	(910.58)	(1,149.20)
Impairment on Financial instruments	2,817.91	2,830.46
Gratuity Expense	77.88	45.98
Employee Share Based Payment	389.19	1,029.74
Net Gain on Termination of Lease Liability	(21.64)	-
Operational Cash Flows:		
Cash inflow from interest on loans	27,097.97	20,620.10
Cash inflow from Interest on Investment in PTC	17,757.90	17,560.71
Cash inflow from Interest on Fixed Deposits	1,045.22	106.44
Cash inflow from Fees and Commission Income	2,377.71	1,408.37
Cash outflow towards Finance cost on Borrowings & Debt Securities	(23,987.26)	(25,881.74)
Cash outflow towards Gratuity	(37.77)	(4.20)
Operating Profit before Working capital changes	14,023.34	4,895.55
Changes in working capital:		
Increase in Payables	227.19	899.31
Increase in Other financial liabilities	15,272.64	4,713.60
Increase in Other non-financial liabilities	28.23	10.98
(Increase)/ Decrease in Trade receivables	0.02	(4.51)
Increase in Loans and advances	(57,974.14)	(41,525.51)
Increase in Other financial assets	(270.41)	(7.30)
(Increase)/ Decrease in Other non-financial assets	59.95	(142.48)
Cash flows used in Operating activities	(28,633.18)	(31,160.36)
Income taxes refund/ (paid)	1,063.45	(7,267.16)
Net cash used in Operating activities	(27,569.73)	(38,427.52)
Cash flow from Investing activities		
Purchase of property, plant and equipment	(1,426.03)	(521.87)
Purchase of investments at fair value through profit and loss	(213,518.88)	(169,633.56)
Sale of investments at fair value through profit and loss	174,888.47	187,459.11
Purchase of Investment in PTC	-	(236,560.00)
Redemption/ Sale of Investment in PTC	78,462.04	49,890.68
Placement of Fixed deposits	(13,959.42)	(17,372.62)
Maturity/ Redemption of Fixed deposits	13,068.30	452.00
Net cash (used in)/ generated from Investing activities	37,514.48	(186,286.26)

(₹ In Lakh)		
Particulars	For the year ended 31 March 2021	For the year ended 31 March 2020
Cash flow from Financing activities		
Proceeds from issuance of equity share capital including securities premium	10,370.78	8,664.49
Borrowings other than debt securities issued	45,716.15	244,187.07
Borrowings other than debt securities repaid	(56,598.51)	(15,595.94)
Debt securities issued	15,000.00	-
Debt securities repaid	(32,500.00)	(7,500.00)
Lease liabilities repayment during the year	(447.06)	(393.54)
Finance Cost on Lease Liabilities	(196.75)	(221.33)
Net cash (used in)/ generated from Financing activities	(18,655.39)	229,140.75
Net increase in cash and cash equivalents	(8,710.64)	4,426.97
Cash and cash equivalents at beginning of year (Refer Note 3)	22,435.40	18,008.43
Cash and cash equivalents at end of year (Refer Note 3)	13,724.76	22,435.40
Cash and Cash Equivalents at the end of the year comprises of:-		
Cash in hand	673.51	502.50
Balance with Scheduled Bank on		
- In Current Accounts	8,950.80	5,144.75
- In Fixed Deposit with original maturity of less than 3 months	4,100.45	16,788.15
TOTAL	13,724.76	22,435.40

Notes :

- The above Cash Flow Statement has been prepared under the Indirect method set out in Indian Accounting Standard (Ind AS) 7 Cash Flow Statements
- Figures in brackets indicate cash outflow.
- Previous year's figures have been regrouped and reclassified wherever necessary to confirm to current year's classification.

Summary of Significant Accounting Policies (Refer Note 2)
The accompanying notes are an integral part of the Financial Statements

In terms of our report attached
For **Deloitte Haskins & Sells LLP**
Chartered Accountants
(Firm Registration No.117366W/W-100018)

G K Subramaniam
Partner
Membership No: 109839

Place: Mumbai
Date: 26 May 2021

For and on behalf of the Board of Directors of
SBFC Finance Private Limited
(Erstwhile Small Business FinCredit India Pvt. Ltd.)
CIN:U67190MH2008PTC178270

Mr. Aseem Dhru
CEO & Managing Director
DIN: 01761455

Mr. John Mescall
Nominee Director
DIN: 08385575

Mr. Narayan Barasia
Chief Financial Officer

Statement of Changes in Equity

for the year ended 31 March 2021

A. EQUITY SHARE CAPITAL

	(₹ In Lakh)	
	As at 1 April 2020	As at 31 March 2021
Changes in equity share capital during the year	74,231.97	79,667.39
As at 1 April 2019	67,600.00	74,231.97

B. OTHER EQUITY

	(₹ In Lakh)	
	As at 31 March 2021	As at 31 March 2020
Balance as at 1 April 2020	27,016.24	27,016.24
Addition during the year	13,857.01	13,857.01
Utilized during the year	-	-
Transfer to Statutory Reserve	-	-
Balance as at 31 March 2021	40,873.25	40,873.25

	(₹ In Lakh)	
	As at 31 March 2021	As at 31 March 2020
Balance as at 1 April 2019	20,423.25	20,423.25
Addition during the year	6,592.99	6,592.99
Utilized during the year	-	-
Transfer to Statutory Reserve	-	-
Balance as at 31 March 2020	27,016.24	27,016.24

For and on behalf of the Board of Directors of

SBFC Finance Private Limited

(Erstwhile Small Business FinCredit India Pvt. Ltd.)

CIN:U67190MH2008PTC178270

Mr. Aseem Dhru

CEO & Managing Director

DIN: 01761455

Mr. John Mescal

Nominee Director

DIN: 08385575

Mr. Narayan Barasia

Chief Financial Officer

Summary of Significant Accounting Policies (Refer Note 2)

The accompanying notes are an integral part of the Financial Statements

In terms of our report attached

For Deloitte Haskins & Sells LLP

Chartered Accountants

(Firm Registration No.117366W/W-100018)

G K Subramaniam

Partner

Membership No: 109839

Place: Mumbai

Date: 26 May 2021

Significant Accounting Policies Forming Part of Financial Statements

1. Corporate Information

SBFC Finance Private Limited ('the Company'), formerly known as Small Business FinCredit India Private Limited is a private limited company incorporated in India under the Companies Act, 2013, having its registered office at First Floor, C&B Square, Sangam Complex, Andheri Kurla Road, Chakala, Andheri (East), Mumbai- 400059, Maharashtra. The Company is registered with the Reserve Bank of India (RBI) as a "systemically important non-deposit taking" NBFC ND-SI.

The registration details are as follows:
Reserve Bank of India Registration no : N-13.01913
Corporate Identity Number (CIN) : U67190MH2008PTC178270

The Company is in the business of giving loans to Micro Enterprise secured by residential or commercial property. The Company also gives Loan against Gold, which offers the Company superior yields with almost liquid security assets. The Company also gives unsecured personal loans and unsecured business loans.

The financial statements for the year ended 31 March 2021 were authorised for issue in accordance with a resolution of the board of directors on 26 May 2021.

2. Significant accounting policies

2.1 Basis of preparation

The financial statements of the Company have been prepared in accordance with Indian Accounting Standards (Ind AS) notified under the Companies (Indian Accounting Standards) Rules, 2015 (as amended from time to time) and other accounting principles generally accepted in India mainly considering the Master Directions issued by the Reserve Bank of India ('RBI') as applicable to Non-Banking Finance Companies- NDSI. The financial statements have been prepared under the historical cost convention, as modified by the application of fair value measurements required or allowed by relevant Accounting Standards. Accounting policies have been consistently applied to all periods presented, unless otherwise stated.

The financial statements are prepared on a going concern basis, as the Management is satisfied that the Company shall be able to continue its business for the foreseeable future and no material uncertainty exists that may cast significant doubt on the going concern assumption. In making this assessment, the Management has considered a wide range of information relating to present and future conditions, including future projections of profitability, cash flows and capital resources. The outbreak of COVID-19 has not affected the going concern assumption of the Company.

The preparation of financial statements requires the use of certain critical accounting estimates and assumptions that affect the reported amounts of assets, liabilities, revenues and expenses and the disclosed amount of contingent liabilities. Areas involving a higher degree of judgement or complexity, or areas where assumptions are significant to the Company are discussed in Note 2.15- Significant accounting judgements, estimates and assumptions.

The financial statements are presented in Indian Rupees (₹) in Lakh and all values are rounded to the nearest Rupee in Thousands, except when otherwise indicated.

2.2. Presentation of financial statement

The financial statements of the Company are presented as per Schedule III (Division III) of the Companies Act, 2013, applicable to NBFCs as notified by the Ministry of Corporate Affairs (MCA). Financial assets and financial liabilities are generally reported on a gross basis except when, there is an unconditional legally enforceable right to offset the recognised amounts without being contingent on a future event and the parties intend to settle on a net basis in the following circumstances:

- i. The normal course of business
- ii. The event of default
- iii. The event of insolvency or bankruptcy of the Company and/ or its counterparties

2.3. Statement of compliance

The financial statements have been prepared in accordance with the Indian Accounting Standards (Ind AS) on the historical cost basis except for certain financial instruments that are measured at fair values at the end of each reporting period as explained in the accounting policies below and the relevant provisions of the Act.

Accounting policies have been consistently applied except where a newly-issued accounting standard is initially adopted or a revision to an existing accounting standard requires a change in the accounting policy hitherto in use.

2.4. Financial instruments

(i) Classification of financial instruments

The Company classifies its financial assets into the following measurement categories:

- 1. Financial assets to be measured at amortised cost
- 2. Financial assets to be measured at fair value through other comprehensive income

3. Financial assets to be measured at fair value through profit or loss account

The classification depends on the contractual terms of the financial assets' cash flows and the Company's business model for managing financial assets which are explained below:

Business model assessment

The Company determines its business model at the level that best reflects how it manages groups of financial assets to achieve its business objective.

The Company's business model is not assessed on an instrument-by-instrument basis, but at a higher level of aggregated portfolios and is based on observable factors such as:

- How the performance of the business model and the financial assets held within that business model are evaluated and reported to the entity's key management personnel
- The risks that affect the performance of the business model (and the financial assets held within that business model) and the way those risks are managed
- How managers of the business are compensated (for example, whether the compensation is based on the fair value of the assets managed or on the contractual cash flows collected)
- The expected frequency, value and timing of sales are also important aspects of the Company's assessment. The business model assessment is based on reasonably expected scenarios without taking 'worst case' or 'stress case' scenarios into account. If cash flows after initial recognition are realised in a way that is different from the Company's original expectations, the Company does not change the classification of the remaining financial assets held in that business model but incorporates such information when assessing newly originated or newly purchased financial assets going forward.

The Solely Payments of Principal and Interest (SPPI) test

As a second step of its classification process the Company assesses the contractual terms of financial assets to identify whether they meet the SPPI test.

'Principal' for the purpose of this test is defined as the fair value of the financial asset at initial recognition and may change over the life of the financial asset (for example, if there are repayments of principal or amortisation of the premium/discount).

In making this assessment, the Company considers whether the contractual cash flows are consistent with a basic lending arrangement i.e. interest includes only consideration for the time value of money, credit risk, other basic lending risks and a profit margin that is consistent with a basic lending arrangement. Where the contractual terms introduce exposure to risk or volatility that are inconsistent with a basic lending arrangement, the related financial asset is classified and measured at fair value through profit or loss.

The Company classifies its financial liabilities at amortised costs.

(ii) Financial assets measured at amortised cost

These financial assets comprise bank balances, receivables, investments and other financial assets.

These are measured at amortised cost where they have:

- contractual terms that give rise to cash flows on specified dates, that represent solely payments of principal and interest on the principal amount outstanding; and
- are held within a business model whose objective is achieved by holding to collect contractual cash flows.

These instruments are initially recognised at fair value plus directly attributable transaction costs and subsequently measured at amortised cost.

(iii) Items at fair value through profit or loss (FVTPL)

Items at fair value through profit or loss comprise:

- Investments (including equity shares) held for trading;
- Items specifically designated as FVTPL on initial recognition; and
- debt instruments with contractual terms that do not represent solely payments of principal and interest.

Financial instruments held at FVTPL are initially recognised at fair value, with transaction costs recognised in the statement of profit and loss as incurred. Subsequently, they are measured at fair value and any gains or losses are recognised in the statement of profit and loss as they arise.

(iv) Debt securities and other borrowed funds

After initial measurement, debt issued, and other borrowed funds are subsequently measured at amortised cost. Amortised cost is calculated by taking into account any discount or premium on issue funds, and costs that are an integral part of the EIR.

(v) Reclassification

If the business model under which the Company holds financial assets changes, the financial assets affected are reclassified. The classification and measurement requirements related to the new category apply prospectively from the first day of the first reporting period following the change in business model that result in reclassifying the Company's financial assets. Changes in contractual cash flows are considered under the accounting policy on Modification and derecognition of financial assets described below.

(vi) Recognition and Derecognition of financial assets and liabilities

Recognition:

- Loans and Advances are initially recognised when the Financial Instruments are transferred to the customers.
- Investments are initially recognised on the trade date.
- Debt securities, deposits and borrowings are initially recognised when funds reach the Company.
- Other Financial assets and liabilities are initially recognised on the trade date, i.e., the date that the Company becomes a party to the contractual provisions of the instrument.

Derecognition of financial assets

a) Financial assets:

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is derecognised when the rights to receive cash flows from the financial asset have expired. The Company also derecognises the financial asset if it has both transferred the financial asset and the transfer qualifies for derecognition.

The Company has transferred the financial asset if, the Company has transferred its contractual rights to receive cash flows from the financial asset.

A transfer only qualifies for derecognition if either:

- The Company has transferred substantially all the risks and rewards of the asset, or
- The Company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset

The Company considers control to be transferred if and only if, the transferee has the practical ability to sell the asset in its

entirety to an unrelated third party and is able to exercise that ability unilaterally and without imposing additional restrictions on the transfer.

When the Company has neither transferred nor retained substantially all the risks and rewards and has retained control of the asset, the asset continues to be recognised only to the extent of the Company's continuing involvement, in which case, the Company also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Company has retained.

a) Financial liabilities

A financial liability is derecognised when the obligation under the liability is discharged, cancelled or expires. Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability. The difference between the carrying value of the original financial liability and the consideration paid is recognised in Profit or Loss.

(vii) Impairment of financial assets

Overview of the ECL principles

The Company records allowance for expected credit losses for all loans, other debt financial assets not held at FVTPL, together with financial guarantee contracts, in this section all referred to as financial instruments. Equity instruments are not subject to impairment under Ind AS 109.

The ECL allowance is based on the credit losses expected to arise over the life of the asset (the lifetime expected credit loss), unless there has been no significant increase in credit risk since origination, in which case, the allowance is based on the 12 months' expected credit loss.

Lifetime ECL are the expected credit losses resulting from all possible default events over the expected life of a financial instrument. The 12-month ECL is the portion of Lifetime ECL that represent the ECLs that result from default events on a financial instrument that are possible within the 12 months after the reporting date.

Both Lifetime ECLs and 12-month ECLs are calculated on either an individual basis or a collective basis.

The Company has established a policy to perform an assessment, at the end of each reporting period,

of whether a financial instrument's credit risk has increased significantly since initial recognition, by considering the change in the risk of default occurring over the remaining life of the financial instrument. The Company does the assessment of significant increase in credit risk at a borrower level. If a borrower has various facilities having different past due status, then the highest days past due (DPD) is considered to be applicable for all the facilities of that borrower.

Based on the above, the Company categorises its loans into Stage 1, Stage 2 and Stage 3 as described below:

Stage 1

All exposures where there has not been a significant increase in credit risk since initial recognition or that has low credit risk at the reporting date and that are not credit impaired upon origination are classified under this stage. The Company classifies all standard advances and advances up to 0-29 days default under this category. Stage 1 loans also include facilities where the credit risk has improved, and the loan has been reclassified from Stage 2.

Stage 2

All exposures where there has been a significant increase in credit risk since initial recognition but are not credit impaired are classified under this stage. Financial assets past due for 30-89 days are classified under this stage. Stage 2 loans also include facilities where the credit risk has improved, and the loan has been reclassified from Stage 3.

Stage 3

All exposures assessed as credit impaired when one or more events that have a detrimental impact on the estimated future cash flows of that asset have occurred are classified in this stage. For exposures that have become credit impaired, a lifetime ECL is recognised and interest revenue is calculated by applying the effective interest rate to the amortised cost (net of provision) rather than the gross carrying amount. 90 days Past Due is considered as default for classifying a financial instrument as credit impaired. If an event warrants a provision higher than as mandated under ECL methodology, the Company may classify the financial asset in Stage 3 accordingly.

Credit-impaired financial assets:

At each reporting date, the company assesses whether financial assets carried at amortised cost and debt financial assets carried at FVTOCI are credit-impaired. A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

Evidence that a financial asset is credit-impaired includes the following observable data:

- Significant financial difficulty of the borrower or issuer;
- A breach of contract such as a default or past due event;
or
- The disappearance of an active market for a security because of financial difficulties.

The mechanics of ECL:

The Company calculates ECLs based on probability-weighted scenarios to measure the expected cash shortfalls, discounted at an approximation to the EIR. A cash shortfall is the difference between the cash flows that are due to the Company and the cash flows that the Company expects to receive.

The mechanics of the ECL calculations are outlined below and the key elements are, as follows:

Probability of Default (PD) - The Probability of Default is an estimate of the likelihood of default over a given time horizon. A default may only happen at a certain time over the assessed period, if the facility has not been previously derecognised and is still in the portfolio.

- The Company has applied 12 months PD to Stage 1 Advances
- The Lifetime PD is computed using basic exponentiation technique after considering the residual maturity of the respective loan for Stage 2 Advances.
- PD of 100% is considered for Stage 3 Advances.

Exposure at Default (EAD) - EAD is taken as the gross exposure under a facility upon default of an obligor. The amortized principal and the interest accrued is considered as EAD for the purpose of ECL computation

Loss Given Default (LGD) - The Loss Given Default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the lender would expect to receive, including from the realisation of any collateral. It is usually expressed as a percentage of the EAD.

Collateral Valuation

To mitigate its credit risks on financial assets, the Company seeks to use collateral, where possible.

The collateral comes in various forms, such as the underlying asset financed, cash, securities, etc. However, the fair value of collateral affects the calculation of ECLs. To the extent possible, the Company uses active market data for valuing financial assets held as collateral. Other financial assets which do not have readily determinable market values are valued using models.

Collateral repossessed

In its normal course of business, the Company does not physically repossess properties or other assets in its retail portfolio, but engages its employees to recover funds, to settle outstanding debt. Any surplus funds are returned to the customers/obligors. As a result of this practice, assets under legal repossession processes are not recorded on the balance sheet. These repossessed assets which are intended to be realised by way of sale are considered as Stage 3 assets and the ECL allowance is determined based on the estimated net realisable value of the repossessed asset.

(viii) Write-offs

The Company reduces the gross carrying amount of a financial asset when the Company has no reasonable expectations of recovering a financial asset in its entirety or a portion thereof. This is generally the case when the Company determines that the borrower does not have assets or sources of income that could generate sufficient cash flows to repay the amounts subjected to write-offs. Any subsequent recoveries against such loans are credited to the Statement of Profit and Loss.

(ix) Determination of fair value

On initial recognition, all the financial instruments are measured at fair value. For subsequent measurement, the Company measures certain categories of financial instruments (as explained in Note 2.4) at fair value on each balance sheet date.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible by the Company.

The fair value of an asset or a liability is measured using the assumptions that market participants

would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

In order to show how fair values have been derived, financial instruments are classified based on a hierarchy of valuation techniques, as summarised below:

Level 1 financial instruments - Those where the inputs used in the valuation are unadjusted quoted prices from active markets for identical assets or liabilities that the Company has access to at the measurement date. The Company considers markets as active only if there are sufficient trading activities with regards to the volume and liquidity of the identical assets or liabilities and when there are binding and exercisable price quotes available on the balance sheet date.

Level 2 financial instruments - Those where the inputs that are used for valuation and are significant, are derived from directly or indirectly observable market data available over the entire period of the instrument's life. Such inputs include quoted prices for similar assets or liabilities in active markets, quoted prices for identical instruments in inactive markets and observable inputs other than quoted prices such as interest rates and yield curves, implied volatilities, and credit spreads. In addition, adjustments may be required for the condition or location of the asset or the extent to which it relates to items that are comparable to the valued instrument. However, if such adjustments are based on unobservable inputs which are significant to the entire measurement, the Company will classify the instruments as Level 3.

Level 3 financial instruments - Those that include one or more unobservable input that is significant to the measurement as whole.

The Company recognises transfers between levels of the fair value hierarchy at the end of the reporting period during which the change has occurred.

Difference between transaction price and fair value at initial recognition

The best evidence of the fair value of a financial instrument at initial recognition is the transaction price (i.e. the fair value of the consideration given or received) unless the fair value of that instrument is evidenced by comparison with other observable current market transactions in the same instrument (i.e. without modification or repackaging) or based on a valuation technique whose variables include only data from observable markets. When such evidence exists, the Company recognises the difference between the transaction price and the fair value in profit or loss on initial recognition (i.e. on day one).

When the transaction price of the instrument differs from the fair value at origination and the fair value is based on a valuation technique using only inputs observable in market transactions, the Company recognises the difference between the transaction price and fair value in net gain on fair value changes. In those cases where fair value is based on models for which some of the inputs are not observable, the difference between the transaction price and the fair value is not recognised at the initial recognition stage.

2.5. Revenue from operations

(i) Interest Income

Interest income is recognised by applying (EIR) to the gross carrying amount of financial assets other than credit-impaired assets and financial assets classified as measured at FVTPL, taking into account the amount outstanding and the applicable interest rate. Interest income is recognised on non-performing assets at net of ECL.

The EIR is computed

- As the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial asset to the gross carrying amount of a financial asset.
- By considering all the contractual terms of the financial instrument (for example, prepayment, extension, call and similar options) in estimating the cash flows.
- Including all fees paid or received between parties to the contract that are an integral part of the effective interest rate, transaction costs, and all other premiums or discounts.

Any subsequent changes in the estimation of the future cash flows are recognised in interest income with the corresponding adjustment to the carrying amount of the assets.

Delayed payment interest (penal interest) levied on customers for delay in repayments/ non payment of contractual cashflows is recognised on realisation.

(ii) Dividend Income

Dividend income is recognised when the right to receive the payment is established.

(iii) Fees & Commission Income

Fees and commissions are recognised when the Company satisfies the performance obligation, at fair value of the consideration received or receivable based on a five-step model as set out below, unless included in the effective interest calculation:

Step 1: Identify contract(s) with a customer: A contract is defined as an agreement between two or more parties that creates enforceable rights and obligations and sets out the criteria for every contract that must be met.

Step 2: Identify performance obligations in the contract: A performance obligation is a promise in a contract with a customer to transfer a good or service to the customer.

Step 3: Determine the transaction price: The transaction price is the amount of consideration to which the Company expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third parties.

Step 4: Allocate the transaction price to the performance obligations in the contract: For a contract that has more than one performance obligation, the Company allocates the transaction price to each performance obligation in an amount that depicts the amount of consideration to which the Company expects to be entitled in exchange for satisfying each performance obligation.

Step 5: Recognise revenue when (or as) the Company satisfies a performance obligation

Foreclosure charges are collected from loan customers for early payment/ closure of loan and are recognized on realization.

Initial money Deposit charges are collected from customers for document processing, which is non refundable in the nature and are recognized on realization basis

(iv) Net gain on Fair value changes

Any differences between the fair values of financial assets classified as FVTPL held by the Company on the balance sheet date is recognised as an unrealised gain/ loss. In cases there is a net gain in the aggregate, the same is recognised in "Net gains on fair value changes" under Revenue from operations and if there is a net loss the same is disclosed as "Net loss on fair value changes" under Expenses in the Statement of Profit and Loss.

Similarly, any realised gain or loss on sale of financial instruments measured at FVTPL and debt instruments measured at FVOCI is recognised in net gain/ loss on fair value changes.

However, Net gain/ loss on derecognition of financial instruments classified as amortised cost is presented separately under the respective head in the Statement of Profit and Loss.

(v) Loan Processing Fees

Processing fees on loans is collected towards processing of loan, this is amortised on EIR basis over the contractual life of the loan.

(vi) Other Operating Income

The Company recognises income on recoveries of financial assets written off on realisation or when the right to receive the same without any uncertainties of recovery is established.

2.6 Expenses

(i) Finance costs

Finance costs on borrowings is paid towards availing of loan, is amortised on EIR basis over the contractual life of loan.

The EIR in case of a financial liability is computed

- As the rate that exactly discounts estimated future cash payments through the expected life of the financial liability to the gross carrying amount of the amortised cost of a financial liability.
- By considering all the contractual terms of the financial instrument in estimating the cash flows
- Including all fees paid between parties to the contract that are an integral part of the effective interest rate, transaction costs, and all other premiums or discounts.

Any subsequent changes in the estimation of the future cash flows are recognised in interest expense with the corresponding adjustment to the carrying amount of the liability.

Interest expense includes issue costs that are initially recognized as part of the carrying value of the financial liability and amortized over the expected life using the effective interest method. These include fees and commissions payable to advisers and other expenses such as external legal costs, Rating Fee etc, provided these are incremental costs that are directly related to the issue of a financial liability.

(ii) Retirement and other employee benefits

Short term employee benefit

All employee benefits payable wholly within twelve months of rendering the service are classified as

short-term employee benefits. These benefits include short term compensated absences such as paid annual leave. The undiscounted amount of short-term employee benefits expected to be paid in exchange for the services rendered by employees is recognised as an expense during the period. Benefits such as salaries and wages, etc. and the expected cost of the bonus/ ex-gratia are recognised in the period in which the employee renders the related service.

Post-employment employee benefits

a) Defined contribution schemes

All the eligible employees of the Company who have opted to receive benefits under the Provident Fund and Employees State Insurance scheme, defined contribution plans in which both the employee and the Company contribute monthly at a stipulated rate. The Company has no liability for future benefits other than its annual contribution and recognises such contributions as an expense in the period in which employee renders the related service. If the contribution payable to the scheme for service received before the Balance Sheet date exceeds the contribution already paid, the deficit payable to the scheme is recognised as a liability after deducting the contribution already paid. If the contribution already paid exceeds the contribution due for services received before the Balance Sheet date, then excess is recognised as an asset to the extent that the pre-payment will lead to, for example, a reduction in future payment or a cash refund.

b) Defined Benefit schemes

The Company provides for the gratuity, a defined benefit retirement plan covering all employees. The plan provides for lump sum payments to employees upon death while in employment or on separation from employment after serving for the stipulated years mentioned under 'The Payment of Gratuity Act, 1972'. The present value of the obligation under such defined benefit plan is determined based on actuarial valuation, carried out by an independent actuary at each Balance Sheet date, using the Projected Unit Credit Method, which recognizes each period of service as giving rise to an additional unit of employee benefit entitlement and measures each unit separately to build up the final obligation.

The obligation is measured at the present value of the estimated future cash flows. The discount rates used for determining the present value of the obligation under defined benefit plan are based on the market yields on Government Securities as at the Balance Sheet date.

Net interest recognized in profit or loss is calculated by applying the discount rate used to measure the defined benefit obligation to the net defined benefit liability or asset. The actual return on the plan assets above or below the discount rate is recognized as part of re-measurement of net defined liability or asset through other comprehensive income. An actuarial valuation involves making various assumptions that may differ from actual developments in the future. These include the determination of the discount rate, attrition rate, future salary increases and mortality rates. Due to the complexities involved in the valuation and its long-term nature, these liabilities are highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date.

The Company fully contributes all ascertained liabilities to The Trustees – “SBFC Finance Private Limited employees group gratuity cash accumulation scheme”. Trustees administer contributions made to the trust and contributions are invested in a scheme of insurance with the IRDA approved Insurance Company- Life Insurance Corporation of India.

Re-measurement, comprising of actuarial gains and losses and the return on plan assets (excluding amounts included in net interest on the net defined benefit liability), are recognized immediately in the balance sheet with a corresponding debit or credit to retained earnings through OCI in the period in which they occur. Re-measurements are not reclassified to profit and loss in subsequent periods.

Other employee benefits

Company's liabilities towards compensated absences to employees are accrued on the basis of valuations, as at the Balance Sheet date, carried out by an independent actuary using Projected Unit Credit Method. Actuarial gains and losses comprise experience adjustments and the effects of changes in actuarial assumptions and are recognised immediately in the Statement of Profit and Loss.

The Company presents the Provision for compensated absences under provisions in the Balance Sheet.

Share-based payment arrangements

The stock options granted to employees pursuant to the Company's Stock Options Schemes, are measured at the fair value of the options at the grant date using Black Scholes Model. The fair value of the options

determined at grant date is treated as discount and accounted as employee compensation cost over the vesting period on a straight line basis over the period of option, based on the number of grants expected to vest, with corresponding increase in equity. The employee stock option outstanding account is shown under reserves.

(iii) Leases:

The Company evaluates if an arrangement qualifies to be a lease as per the requirements of Ind AS 116. Identification of a lease requires significant judgment. The Company uses significant judgement in assessing the lease term (including anticipated renewals) and the applicable discount rate. The Company determines the lease term as the non-cancellable period of a lease, together with both periods covered by an option to extend the lease if the Company is reasonably certain to exercise that option; and periods covered by an option to terminate the lease if the Company is reasonably certain not to exercise that option. In assessing whether the Company is reasonably certain to exercise an option to extend a lease, or not to exercise an option to terminate a lease, it considers all relevant facts and circumstances that create an economic incentive for the Company to exercise the option to extend the lease, or not to exercise the option to terminate the lease. The Company revises the lease term if there is a change in the non-cancellable period of a lease. The discount rate is generally based on the incremental borrowing rate. The Company makes assessment on the expected lease term on lease by lease basis and thereby assesses whether it is reasonably certain that any option to extend or terminate the contract will be exercised. In evaluating the lease term, the Company considers factors such as any significant leasehold improvements undertaken over the lease term, costs relating to termination of lease and the importance of the underlying to the Company's operation taking into account the location of the underlying asset and the availability of the suitable alternatives. The lease term in future periods is reassessed to ensure that the lease term reflect the current economic circumstances.

The right-of-use assets is subsequently measured at cost less accumulated depreciation, accumulated impairment losses, if any, and adjusted for any remeasurement of the lease liability.

The right-of-use assets is depreciated using the straight-line method from the commencement date over the shorter of lease term or useful life of right-of-use asset. Right-of-use assets are tested for impairment whenever there is any indication that their carrying amounts may not be recoverable. Impairment loss, if any, is recognised in the statement of profit and loss.

The company recognises the amount of the re-measurement of lease liability due to modification as an adjustment to the right-of-use asset and statement of profit and loss depending upon the nature of modification. Where the carrying amount of the right-of-use asset is reduced to zero and there is a further reduction in the measurement of the lease liability, the Company recognises any remaining amount of the re-measurement in statement of profit and loss.

The Company has elected not to apply the requirements of Ind AS 116 Leases to short-term leases of all assets that have a lease term of 12 months or less and leases for which the underlying asset is of low value. The lease payments associated with these leases are recognized as an expense on a straight-line basis over the lease term.

(iv) Other income and expenses

All Other income and expense are recognized in the period they occur.

(v) Impairment of non-financial assets

The carrying amount of assets is reviewed at each balance sheet date if there is any indication of impairment based on internal/ external factors. An impairment loss is recognized wherever the carrying amount of an asset exceeds its recoverable amount. The recoverable amount is the greater of the assets, net selling price and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and risks specific to the asset.

In determining net selling price, recent market transactions are taken into account, if available. If no such transactions can be identified, an appropriate valuation model is used. After impairment, depreciation is provided on the revised carrying amount of the asset over its remaining useful life.

(vi) Taxes

Current Tax

Current tax assets and liabilities for the current and prior years are measured at the amount expected to be recovered from, or paid to, the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted, or substantively enacted, by the reporting date in the countries where the Company operates and generates taxable income.

Current income tax relating to items recognised outside profit or loss is recognised outside profit or loss (either in other comprehensive income or in equity). Current tax items are recognised in

correlation to the underlying transaction either in OCI or directly in equity. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

Deferred tax

Deferred tax assets and liabilities are recognised for temporary differences arising between the tax bases of assets and liabilities and their carrying amounts. Deferred income tax is determined using tax rates (and laws) that have been enacted or substantively enacted by the reporting date and are expected to apply when the related deferred income tax asset is realised or the deferred income tax liability is settled.

Deferred tax assets are only recognised for temporary differences, unused tax losses and unused tax credits if it is probable that future taxable amounts will arise to utilise those temporary differences and losses. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

Deferred tax assets and liabilities are offset where there is a legally enforceable right to offset current tax assets and liabilities and they relate to income taxes levied by the same tax authority on the same taxable entity.

Minimum Alternate Tax (MAT)

Minimum alternate tax (MAT) paid in a year is charged to the statement of profit and loss as current tax. The Company recognizes MAT credit available as an asset only to the extent that it is probable that the Company will pay normal income tax during the specified period, i.e., the period for which MAT credit is allowed to be carried forward. In the year in which the Company recognizes MAT credit as an asset in accordance with the Guidance Note on Accounting for Credit Available in respect of Minimum Alternative Tax under the Income-tax Act, 1961, the said asset is created by way of credit to the statement of profit and loss and shown as “MAT Credit Entitlement.”

Pursuant to recently inserted section 115BAA of the Income Tax Act, 1961 the Company has intended to exercise the option permitted under section 115BAA of the Income Tax Act, 1961 to compute Income tax at the reduced rate (i.e. 25.17%) from the current financial year and also the Company has written off the MAT credit in compliance with the provisions of the above section.

Goods and services tax/service tax/value added taxes paid on acquisition of assets or on incurring expenses:

Expenses and assets are recognised net of the goods and services tax/ service tax/ value added taxes paid, except:

- i. When the tax incurred on a purchase of assets or services is not recoverable from the taxation authority, in which case, the tax paid is recognised as part of the cost of acquisition of the asset or as part of the expense item, as applicable
- ii. When receivables and payables are stated with the amount of tax included

The net amount of tax recoverable from, or payable to, the taxation authority is included as part of receivables or payables in the balance sheet.

2.7. Cash and cash equivalents

Cash and cash equivalents comprise the net amount of short-term, highly liquid investments that are readily convertible to known amounts of cash (short-term deposits with an original maturity of three months or less) and are subject to an insignificant risk of change in value. They are held for the purposes of meeting short-term cash commitments (rather than for investment or other purposes).

For the purpose of the statement of cash flows, cash and cash equivalents consist of cash and short-term deposits, as defined above.

2.8. Property, plant and equipment

Property, plant and equipment (PPE) are measured at cost less accumulated depreciation and accumulated impairment, (if any). The total cost of assets comprises its purchase price, freight, duties, taxes and any other incidental expenses directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by the management. Changes in the expected useful life are accounted for by changing the amortisation period or methodology, as appropriate, and treated as changes in accounting estimates.

Subsequent expenditure related to an item of tangible asset are added to its gross value only if it increases the future benefits of the existing asset, beyond its previously assessed standards of performance and cost can be measured reliably. Other repairs and maintenance costs are expensed off as and when incurred.

Depreciation

Depreciation is calculated using the written down value method to write down the cost of property and equipment to their residual values over their estimated useful lives which is in line with the estimated useful life as specified in Schedule II of the Act. The estimated useful lives are as prescribed by Schedule II of the Act. The residual values, useful lives and methods of depreciation of property, plant and equipment

are reviewed at each financial year end and adjusted prospectively, if appropriate.

Property plant and equipment is derecognised on disposal or when no future economic benefits are expected from its use. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognised in other income/ expense in the statement of profit and loss in the year the asset is derecognised. The date of disposal of an item of property, plant and equipment is the date the recipient obtains control of that item in accordance with the requirements for determining when a performance obligation is satisfied in Ind AS 115.

2.9. Intangible assets

An intangible asset is recognised only when its cost can be measured reliably, and it is probable that the expected future economic benefits that are attributable to it will flow to the Company.

Intangible assets acquired separately are measured on initial recognition at cost. The cost of an intangible asset comprises its purchase price and any directly attributable expenditure on making the asset ready for its intended use and net of any trade discounts and rebates. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and any accumulated impairment losses.

The useful lives of intangible assets are assessed to be either finite or indefinite. Intangible assets with finite lives are amortised over the useful economic life. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at each financial year-end. Changes in the expected useful life, or the expected pattern of consumption of future economic benefits embodied in the asset, are accounted for by changing the amortisation period or methodology, as appropriate, which are then treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is presented as a separate line item in the statement of profit and loss. Amortisation on assets acquired/ sold during the year is recognised on a pro-rata basis to the Statement of Profit and Loss from/ upto the date of acquisition/ sale.

Amortisation is calculated using the straight-line method to write down the cost of intangible assets to their residual values over their estimated useful lives. Intangible assets comprising of software are amortised on a straight-line basis over a period of 5 years, unless it has a shorter useful life.

Intangible assets with indefinite useful life is tested for impairment at each reporting period.

Gains or losses from derecognition of intangible assets are measured as the difference between the net disposal

proceeds and the carrying amount of the asset are recognised in the Statement of Profit and Loss when the asset is derecognised.

2.10. Provisions

Provisions are recognised when the enterprise has a present obligation (legal or constructive) as a result of past events, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and a reliable estimate can be made of the amount of the obligation.

When the effect of the time value of money is material, the enterprise determines the level of provision by discounting the expected cash flows at a pre-tax rate reflecting the current rates specific to the liability. The expense relating to any provision is presented in the Statement of Profit and Loss net of any reimbursement.

2.11. Contingent Liabilities

A contingent liability is a possible obligation that arises from past events whose existence will be confirmed by the occurrence or non-occurrence of one or more uncertain future events beyond the control of the Company or a present obligation that is not recognized because it is not probable that an outflow of resources will be required to settle the obligation. A contingent liability also arises in extremely rare cases where there is a liability that cannot be recognized because it cannot be measured reliably. The Company does not recognize a contingent liability but discloses its existence in the financial statements.

Commitments

Commitments are future liabilities for contractual expenditure, classified and disclosed as follows:

- estimated amount of contracts remaining to be executed on capital account and not provided for;
- Other non-cancellable commitments, if any, to the extent they are considered material and relevant in the opinion of management.

2.12. Earnings Per Share

The Company reports basic and diluted earnings per share in accordance with Ind AS 33 on Earnings per share. Basic EPS is calculated by dividing the net profit or loss for the year attributable to equity shareholders (after deducting preference dividend and attributable taxes) by the weighted average number of equity shares outstanding during the year.

For the purpose of calculating diluted earnings per share, the net profit or loss for the year attributable to equity shareholders and the weighted average number of shares outstanding during the year are adjusted for the effects of all dilutive potential equity shares. Dilutive potential equity shares are deemed converted as of the beginning of the period, unless they have been issued at a later date. In computing the dilutive earnings per share, only potential equity shares that are dilutive and

that either reduces the earnings per share or increases loss per share are included.

2.13. Segments

Based on "Management Approach" as defined by Ind AS 108, The Chief Operating Decision Maker (CODM) evaluates the "Operating Segments". Operating segments are reported in a manner consistent with the internal reporting provided to the CODM. The accounting policies adopted for segment reporting are in conformity with the accounting policies adopted for the Company.

2.14. Significant accounting judgements, estimates and assumptions

The preparation of financial statements in conformity with the Ind AS requires the management to make judgments, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities and the accompanying disclosure and the disclosure of contingent liabilities, at the end of the reporting period. Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised, and future periods are affected. Although these estimates are based on the management's best knowledge of current events and actions, uncertainty about these assumptions and estimates could result in the outcomes requiring a material adjustment to the carrying amounts of assets or liabilities in future periods.

In particular, information about significant areas of estimation, uncertainty and critical judgments in applying accounting policies that have the most significant effect on the amounts recognized in the financial statements is included in the following notes:

2.14.1 Impairment of loans portfolio

The measurement of impairment losses across all categories of financial assets requires judgement, in particular, the estimation of the amount and timing of future cash flows and collateral values when determining impairment losses and the assessment of a significant increase in credit risk. These estimates are driven by a number of factors, changes in which can result in different levels of allowances.

It has been the Company's policy to regularly review its models in the context of actual loss experience and adjust when necessary.

2.14.3 Share-Based Payments

The Company's EIR methodology, recognises interest income/ expense using a rate of return that represents the best estimate of a constant rate of return over the expected behavioural life of loans given/ taken and recognises the effect of potentially different interest rates at various stages and other characteristics of the product life cycle (including prepayments and penalty interest and charges).

This estimation, by nature, requires an element of judgement regarding the expected behaviour and life-cycle of the instruments, as well expected changes to the base rate and other fee income/ expense that are integral parts of the instrument.

2.14.3 Share-Based Payments

Estimating fair value for share-based payment transactions requires use of an appropriate valuation model. The Company measures the cost of equity-settled transactions with employees using Black-Scholes Model to determine the fair value of the options on the grant date.

Inputs into the valuation model, includes assumption such as the expected life of the share option, volatility and dividend yield.

Further details used for estimating fair value for share-based payment transactions are disclosed in Note 42.

2.15 Operating Cycle

Based on the nature of products/ activities of the company and the normal time between acquisition of assets and their realisation in cash or cash equivalents, the company has determined its operating cycle as 12 months.

3 Cash And Cash Equivalents

(₹ In Lakh)		
Particulars	As at 31 March 2021	As at 31 March 2020
(i) Cash in hand	673.51	502.50
(ii) Balances with banks:		
- In Current Accounts	8,950.80	5,144.75
- In Fixed Deposit with original maturity of less than 3 months	4,100.00	16,780.00
- Interest Accrued but not due	0.45	8.15
Total	13,724.76	22,435.40

Short-term deposits are made for varying periods of between one day and three months, depending on the immediate cash requirements of the Company, and earn interest at the respective short-term deposit rates.

4 Bank balances other than cash and cash equivalents

(₹ In Lakh)		
Particulars	As at 31 March 2021	As at 31 March 2020
In other Deposit accounts		
- original maturity more than 3 months	19,363.74	18,472.62
- Interest Accrued but not due	946.86	610.92
Total	20,310.60	19,083.54

The amount of ₹19,363.74 Lakh (Previous Year ₹18,472.62 Lakh) above includes:-
 - ₹1,768.40 Lakh (Previous Year ₹1,523.73 Lakh) kept as Credit Enhancement in Securitisation transactions.
 - ₹13,652.89 Lakh (Previous Year ₹13,652.89 Lakh) kept as lien in connection with borrowings in the form of term loans from SBI.
 - ₹3,501.58 Lakh (Previous Year ₹3,296 Lakh) kept as deposit with trust in connection with Investment in Pass Through Certificates.

5 Trade Receivables

(₹ In Lakh)		
Particulars	As at 31 March 2021	As at 31 March 2020
Receivable Considered good- Unsecured		
- Outstanding for a period exceeding six months from the due date of payment	4.50	4.96
- Outstanding for a period less than six months	191.72	293.64
Total	196.22	298.60

Note:

1. No trade or other receivable are due from directors or other officers of the Company either severally or jointly with any other person. Nor any trade or other receivable are due from firms or private companies respectively in which any director is a partner, a director or a member.
2. There are no receivables for which there has been a significant increase in credit risk or which have become credit impaired.
3. No ECL provision is required due to the short term nature of these receivables.

6 Loans

Particulars	As at 31 March 2021		As at 31 March 2020	
	Amortised cost	Total	Amortised cost	Total
Loan against Property	137,764.56	137,764.56	100,881.10	100,881.10
Loan against Gold	57,605.95	57,605.95	37,684.32	37,684.32
Unsecured Loan	21,708.19	21,708.19	19,924.33	19,924.33
Staff Loans	154.13	154.13	110.14	110.14
Total (A)- Gross	217,232.83	217,232.83	158,599.89	158,599.89
Less: Expected Credit Loss	(6,524.86)	(6,524.86)	(3,706.94)	(3,706.94)
Total (A)- Net	210,707.97	210,707.97	154,892.95	154,892.95
(a) Secured by tangible assets	195,370.51	195,370.51	138,565.42	138,565.42
(b) Unsecured	21,862.32	21,862.32	20,034.47	20,034.47
Total (B)- Gross	217,232.83	217,232.83	158,599.89	158,599.89
Less: Expected Credit Loss	(6,524.86)	(6,524.86)	(3,706.94)	(3,706.94)
Total (B)- Net	210,707.97	210,707.97	154,892.95	154,892.95
Loans in India				
(i) Public Sector	-	-	-	-
(ii) Others	217,232.83	217,232.83	158,599.89	158,599.89
Total (C)- Gross	217,232.83	217,232.83	158,599.89	158,599.89
Less: Expected Credit Loss	(6,524.86)	(6,524.86)	(3,706.94)	(3,706.94)
Total (C)- Net	210,707.97	210,707.97	154,892.95	154,892.95

The Company's business model is to collect contractual cash flows, being the payment of Principal and Interest and accordingly the loans are measured at amortized cost.

Loans granted by the Company aggregating to ₹195,370.51 Lakh (Previous Year ₹138,565.42 Lakh) are secured or partly secured by one or a combination of the following securities:- Registered/ equitable mortgage of property, Hypothecation of assets including Gold.

Loans where fraud has been committed/ reported: ₹266.04 Lakh (Previous year: Nil) [Refer Note 55.11.10]

Unsecured Loans includes unsecured Business Loans which is guaranteed by Credit Guarantee Fund Trust for Micro and Small Enterprises amounting to ₹3,773.29 Lakh (Previous year ₹5,928.36 Lakh)

The COVID -19 pandemic continues to spread across the globe and India, which has contributed to a significant volatility in global and Indian financial markets and a significant decrease in global and local economic activities. The financial statements, includes the potential impact of the COVID-19 pandemic on the Company's financial statements which are dependent on future developments, which are highly uncertain, including, among other things, any new information concerning the severity of the second wave of COVID-19 pandemic and any action to contain its spread or mitigate its impact whether Government mandated or elected by the Company and its subsequent impact on the recoverability's on the Company's assets. The Company has, based on current available information and based on the policy approved by the board, determined the provision for impairment of financial assets including the additional overlay for uncertainty over the potential macro-economic impact of the pandemic. Based on the current indicators of future economic conditions, the Company considers this provision to be adequate and expects to recover the carrying amount of these financial assets. Given the uncertainty over the potential macro-economic condition, the impact of the global health pandemic may be different from that estimated as at the date of approval of these financial statements and the Company will continue to closely monitor any material changes to future economic conditions. The Company holds a management overlay of ₹1,925.46 Lakh as at 31 March 2021 (₹1,499.00 Lakh as at 31 March 2020) in addition to expected credit loss provision for loans aggregating to ₹4,599.40 Lakh as on 31 March 2021 (₹2,207.94 Lakh as at 31 March 2020).

7 Investments

Particulars	As at	
	31 March 2021	31 March 2020
<u>At Fair value through profit or loss</u>		
Investment in Mutual funds	39,540.98	-
<u>At Amortized Cost</u>		
Investment in Pass Through certificates (PTC)	108,883.93	187,907.67
Total (A)	148,424.91	187,907.67
(i) Investments outside India	-	-
(ii) Investments in India	148,424.91	187,907.67
Total (B)	148,424.91	187,907.67
Less: Allowance for Impairment loss (C)	-	-
Total - Net (D)= (A)-(C)	148,424.91	187,907.67

During the year, the Company has sold Investment in Pass Through Certificates amounting to ₹14,409.57 Lakh and recognized gain of ₹396.82 Lakh on this transaction. (Refer Note 27)

There is no credit loss provision in the books for existing Investment in Pass Through Certificates considering the performance of the underlying loans and the risk cover.

8 Others Financial Assets

Particulars	As at	
	31 March 2021	31 March 2020
Security Deposits - Unsecured	226.34	194.20
Accrued Fee Income	421.11	42.86
Total	647.45	237.06

9 Current Tax Assets (Net)

Particulars	As at	
	31 March 2021	31 March 2020
Advance tax [Net of Current Tax Liability of ₹3,006.79 Lakh (Previous year ₹ Nil)]	2,064.18	6,134.43
Total	2,064.18	6,134.43

10 Property, plant and equipment

March 2021	GROSS BLOCK			DEPRECIATION AND AMORTISATION			NET BLOCK	
	As at 1 April 2020	Additions	Deductions	As at 1 April 2020	For the Year	Deductions	As at 31 March 2021	As at 1 April 2020
Computers	245.02	117.45	9.31	111.85	81.30	9.22	183.93	133.17
Furniture and Fittings	1,050.01	959.09	16.30	196.12	196.06	9.31	382.87	853.89
Office Equipment	240.29	173.60	28.10	118.85	56.83	26.45	149.23	121.44
Motor Car	-	29.13	-	-	1.56	-	1.56	-
Right to Use Assets	2,554.60	489.00	226.75	522.74	542.04	-	1,064.78	2,031.86
TOTAL	4,089.92	1,768.27	280.46	949.56	877.79	44.98	1,782.37	3,140.36

(₹ In Lakh)

March 2020	GROSS BLOCK			DEPRECIATION AND AMORTISATION			NET BLOCK	
	As at 1 April 2019	Additions	Deductions	As at 1 April 2019	For the Year	Deductions	As at 31 March 2020	As at 1 April 2019
Computers	148.67	96.35	-	59.52	52.33	-	111.85	89.15
Furniture and Fittings	735.62	314.39	-	68.29	127.83	-	196.12	667.33
Office Equipment	174.07	66.22	-	70.76	48.09	-	118.85	103.31
Right to Use Assets	2,432.29	122.31	-	2,554.60	522.74	-	522.74	2,432.29
TOTAL	3,490.65	599.27	-	198.57	750.99	-	949.56	3,140.36
								3,292.08

11 Intangible Assets Under Development

March 2021	GROSS BLOCK			DEPRECIATION AND AMORTISATION			NET BLOCK	
	As at 1 April 2020	Additions	Deductions	As at 1 April 2020	For the Year	Deductions	As at 31 March 2021	As at 1 April 2020
Computer Software	-	33.32	-	-	-	-	-	-
								33.32

(₹ In Lakh)

12 Goodwill

March 2021	GROSS BLOCK			DEPRECIATION AND AMORTISATION			NET BLOCK	
	As at 1 April 2020	Additions	Deductions	As at 1 April 2020	For the Year	Deductions	As at 31 March 2021	As at 1 April 2020
Goodwill	26,039.23	-	-	-	-	-	-	26,039.23
								26,039.23

(₹ In Lakh)

March 2020	GROSS BLOCK			DEPRECIATION AND AMORTISATION			NET BLOCK	
	As at 1 April 2019	Additions	Deductions	As at 1 April 2019	For the Year	Deductions	As at 31 March 2020	As at 1 April 2019
Goodwill	26,039.23	-	-	-	-	-	-	26,039.23
								26,039.23

(₹ In Lakh)

13 Other Intangible assets

March 2021	GROSS BLOCK			DEPRECIATION AND AMORTISATION			NET BLOCK	
	As at 1 April 2020	Additions	Deductions	As at 1 April 2020	For the Year	Deductions	As at 31 March 2021	As at 1 April 2020
Computer Software	227.96	122.17	25.79	129.33	50.89	25.79	154.43	98.63
Trademark and Patent	6.86	-	-	3.25	1.37	-	4.62	3.61
TOTAL	234.82	122.17	25.79	132.58	52.26	25.79	159.05	102.24
								172.15

(₹ In Lakh)

March 2020	GROSS BLOCK			DEPRECIATION AND AMORTISATION			NET BLOCK	
	As at 1 April 2019	Additions	Deductions	As at 1 April 2019	For the Year	Deductions	As at 31 March 2020	As at 1 April 2019
Computer Software	183.05	44.91	-	87.99	41.34	-	129.33	95.06
Trademark and Patent	6.86	-	-	1.87	1.38	-	3.25	4.99
TOTAL	189.91	44.91	-	89.86	42.72	-	132.58	100.05
								102.24

(₹ In Lakh)

14 Other Non-Financial Assets

(₹ In Lakh)		
Particulars	As at 31 March 2021	As at 31 March 2020
Prepaid Expenses	184.39	124.18
Gratuity Asset (Net)	-	7.47
Balance with Government Authority	10.39	66.76
Deferred Lease Rentals	104.73	101.24
Other Assets	172.41	232.23
Total	471.92	531.88

15 Payables**(A) Trade Payables**

(₹ In Lakh)		
Particulars	As at 31 March 2021	As at 31 March 2020
Total outstanding dues of micro enterprises and small enterprises	-	-
Total outstanding dues of creditors other than micro enterprises and small enterprises	1,836.74	1,441.00
Total	1,836.74	1,441.00

The information as required to be disclosed under the Micro, Small and Medium Enterprises Development Act, 2006 has been determined to the extent such parties have been identified on the basis of Information available with the Company. The amount of principal and interest outstanding during the year is given below:

Particulars	As at 31 March 2021	As at 31 March 2020
a) Amount outstanding but not due as at year end	-	-
b) Amount due but unpaid as at the year end	-	-
c) Amounts paid after appointed date during the year	-	-
d) Amount of interest accrued and unpaid as at year end	-	-
e) The amount of further interest due and payable even in the succeeding year	-	-

(B) Other payables

(₹ In Lakh)		
Particulars	As at 31 March 2021	As at 31 March 2020
Total outstanding dues of micro enterprises and small enterprises	-	-
Total outstanding dues of creditors other than micro enterprises and small enterprises	705.26	873.81
Total	705.26	873.81

16 Debt Securities - At Amortized Cost

(₹ In Lakh)		
Particulars	As at 31 March 2021	As at 31 March 2020
<u>Secured</u>		
Non Convertible Debentures	15,000.00	32,428.68
Total (A)	15,000.00	32,428.68
Debt securities in India	15,000.00	32,428.68
Debt securities outside India	-	-

Terms of Repayment	As at 31 March 2021		As at 31 March 2020	
Tenure (from the date of Balance Sheet)	Rate of Interest	Amount	Rate of Interest	Amount
Due within 3 years	9.25% - 9.30%	15,000.00	9.40%	32,500.00
Total		15,000.00		32,500.00
Effective interest rate adjustment		-		(71.32)
Net Amount		15,000.00		32,428.68

These debentures are redeemable at the end of 18 months from the date of allotment. The debentures are secured by way of first pari passu charge against the book debts, Investment in PTC and loan assets of the Company which are standard.

17 Borrowings (Other Than Debt Securities)

(₹ In Lakh)		
Particulars	As at 31 March 2021	As at 31 March 2020
<u>At Amortized Cost</u>		
Secured		
Term Loans ¹		
- Indian rupee loan from banks		
Gross Amount	252,549.14	257,489.05
Less: Effective interest rate adjustment	(1,423.73)	(1,654.96)
Net Amount	251,125.41	255,834.09
- Indian rupee loan from other parties		
Gross Amount	3,000.00	-
Less: Effective interest rate adjustment	(10.32)	-
Net Amount	2,989.68	-
Collateralized Borrowings ²	6,706.10	15,648.54
Lease Liability ³	1,954.61	2,161.06
Total (A)	262,775.80	273,643.69
Borrowings in India	262,775.80	273,643.69
Borrowings outside India	-	-
Total (B) to tally with (A)	262,775.80	273,643.69

The Company has not defaulted in repayment of principal and interest during the year and as at balance sheet date 31 March 2021.

1 Term loans

Indian rupee loan from banks: These are secured by way of First Pari Passu charge by way of hypothecation of standard loan receivables of the Company, Investments in PTC and on all other book debts and current assets of the company.

Indian rupee loan from other parties: These are secured by way of First Pari Passu charge by way of hypothecation of standard loan receivables of the Company, Investments in PTC and on all other book debts and current assets of the company.

2 Secured against pool of Loan Assets. Refer Note 52 for more details.**3 Effective 1 April 2019 the company has adopted Ind AS 116- Leases and applied it to all lease contracts existing on 1 April 2019 using the modified retrospective approach under which the company recognise Lease Liabilities at the initial date of application. At the date of commencement of the lease, the Company has recognised a Lease Liability, except for leases with a term of 12 months or less (short-term leases) and low value leases. Refer Note 45 for more details.****As at 31 March 2021**

(₹ In Lakh)						
Terms of Repayment	Indian rupee loan from banks		Indian rupee loan from others		Collateralized Borrowings	
Tenure (from the date of Balance Sheet)	Rate of Interest	Amount	Rate of Interest	Amount	Rate of Interest	Amount
Due within 3 years	6.32% - 9.20%	141,635.83	8.00%	3,000.00	9.20% - 9.52%	1,208.66
Due within 3-5 years	6.32% - 9.20%	68,729.55	-	-	9.20% - 9.52%	989.58
Above 5 years	6.32% - 9.20%	42,183.76	-	-	9.20% - 9.52%	4,507.86
Total		252,549.14		3,000.00		6,706.10
Effective interest rate adjustment		(1,423.73)		(10.32)		-
Net Amount		251,125.41		2,989.68		6,706.10

As at 31 March 2020

(₹ In Lakh)

Terms of Repayment	Indian rupee loan from banks		Indian rupee loan from others		Collateralized Borrowings	
Tenure (from the date of Balance Sheet)	Rate of Interest	Amount	Rate of Interest	Amount	Rate of Interest	Amount
Due within 3 years	8.35% - 9.85%	113,879.05	-	-	9.52% - 9.85%	8,783.18
Due within 3-5 years	8.35% - 9.85%	67,600.00	-	-	9.52% - 9.85%	1,045.00
Above 5 years	8.35% - 9.85%	76,010.00	-	-	9.52% - 9.85%	5,820.36
Total		257,489.05		-		15,648.54
Effective interest rate adjustment		(1,654.96)		-		-
Net Amount		255,834.09		-		15,648.54

18 Other Financial Liabilities

(₹ In Lakh)

Particulars	As at 31 March 2021	As at 31 March 2020
Interest accrued but not due on borrowings	996.13	1,649.31
Employee Benefits Payable	10.68	-
Book Overdraft	12,713.20	-
Payable on account of PTC Pool	9,470.58	6,839.20
Payable to Trusts	20.44	99.12
Other Liabilities	-	3.94
Total	23,211.03	8,591.57

19 Provisions

(₹ In Lakh)

Particulars	As at 31 March 2021	As at 31 March 2020
Provision for Employee Benefits		
Gratuity (Net)	22.53	-
Total	22.53	-

20 Deferred Tax Liabilities (Net)

(₹ In Lakh)

Particulars	As at 31 March 2021	As at 31 March 2020
Deferred Tax Liabilities (Net)	2,337.12	2,445.68
Total	2,337.12	2,445.68

Deferred Tax Assets / Liabilities

The major components of deferred tax assets and liabilities are :

(₹ In Lakh)

Particulars	As at 31 March 2021		As at 31 March 2020	
	Assets	Liabilities	Assets	Liabilities
a) Depreciation	-	3,730.37	-	3,744.31
b) Provisions and Contingencies	1,457.94	-	1,016.96	-
c) Others (Net)				
Unamortized Processing Fees	470.89	-	351.03	-
Deferred Lease Rental	2.60	-	2.27	-
Impact on account of Lease Liabilities	50.98	-	32.51	-
Unabsorbed Depreciation b/f	-	-	429.20	-
Unamortized Debenture Cost	-	-	-	17.95
Unamortized Processing Fees on Term Loan	-	360.92	-	416.52
Mark to Market Gain on Mutual Funds	-	94.15	-	-
Unamortized File Processing Cost	-	134.09	-	98.87
Total	1,982.41	4,319.53	1,831.97	4,277.65
Net Deferred Tax Liability		2,337.12		2,445.68

Movements in deferred tax Liabilities

(₹ In Lakh)

Particulars	Property, plant and equipment	Provisions	Financial assets at fair value through profit or loss	Others	Total
As at 1 April 2019	1,498.73	(164.55)	4.76	(1,201.83)	137.11
Charged/(credited)					
- to profit or loss	1,816.38	(852.41)	(4.76)	1,349.36	2,308.57
As at 31 March 2020	3,315.11	(1,016.96)	-	147.53	2,445.68
Charged/(credited)					
- to profit or loss	415.26	(440.98)	94.15	(176.99)	(108.56)
As at 31 March 2021	3,730.37	(1,457.94)	94.15	(29.46)	2,337.12

21 Other Non-Financial Liabilities

(₹ In Lakh)

Particulars	As at 31 March 2021	As at 31 March 2020
Statutory dues	158.95	130.72
Total	158.95	130.72

22 Share Capital

(₹ In Lakh)

	As at 31 March 2021	As at 31 March 2020
Authorized		
985,000,000 Equity Shares of ₹10 each	98,500.00	98,500.00
(Previous Year 985,000,000 Equity Shares of ₹10 each)		
15,000,000 Compulsory Convertible Preference Shares of ₹10 each	1,500.00	1,500.00
(Previous year 15,000,000 Compulsory Convertible Preference Shares of ₹10 each)		
	100,000.00	100,000.00
Issued, subscribed and fully paid-up:		
806,759,395 Equity Shares of ₹10 each, fully paid up	80,675.94	75,240.52
(Previous Year 752,405,219 Equity Shares of ₹10 each, fully paid up)		
15,089,287 Equity Shares of ₹10 each, ₹0.50 paid up	75.45	75.45
(Previous Year 15,089,287 Equity Shares of ₹10 each, ₹0.50 paid up)		
10,840,000 Equity Shares of ₹10 each, fully paid up. (Loan to Employee Welfare Trust)	(1,084.00)	(1,084.00)
(Previous Year 10,840,000 Equity Shares of ₹10 each, fully paid up)		
	79,667.39	74,231.97

Reconciliation of number of shares outstanding at the beginning and at the end of the reporting period:

Particulars	As at 31 March 2021		As at 31 March 2020	
	No. of shares	₹ in Lakh	No. of shares	₹ in Lakh
Equity shares outstanding as at the beginning of the year	767,494,506	75,315.97	686,840,000	68,684.00
Equity shares issued during the year	54,354,176	5,435.42	80,654,506	6,631.97
Equity shares outstanding as at the end of the year	821,848,682	80,751.39	767,494,506	75,315.97

Details of shareholders holding more than five percent shares in the Company:

Particulars	As at 31 March 2021			As at 31 March 2020		
	No. of shares	₹ in Lakh	% of Holding	No. of shares	₹ in Lakh	% of Holding
Arpwood Partners Investment Advisors LLP	130,873,506	13,087.35	15.92	134,573,506	13,457.35	17.53
SBFC Holdings PTE Ltd.	600,040,000	60,004.00	73.01	560,000,000	56,000.00	72.96

Terms and rights attached to equity shares

The Company has single class equity shares having a par value of ₹10 per equity share. Accordingly, all equity shares rank equally with regard to dividends and share in the company's residual assets. The equity shares are entitled to receive dividend as declared from time to time subject to payment of dividend to preference shareholders if any. In the event of liquidation of the Company, the holders of equity shares will be entitled to receive the residual assets of the Company, remaining after distribution of all preferential amounts in proportion to the number of equity shares held. Upon show of hands, every Member present in person and holding any equity share capital therein, shall have one vote, in respect of such capital, on every resolution placed before the company.

The holders of equity shares are entitled to dividends, if any, proposed by the Board of Directors and approved by Shareholders at the Annual General Meeting.

23 OTHER EQUITY

(₹ In Lakh)		
Particulars	As at 31 March 2021	As at 31 March 2020
Statutory Reserve u/s 45-IC of the RBI Act, 1934		
Balance as at the beginning of the year	1,207.43	498.90
Add: Amount transferred from surplus balance in the Statement of Profit and Loss	1,702.98	708.53
Balance as at the end of the year	2,910.41	1,207.43
Employee Share Option Outstanding		
Balance as at the beginning of the year	1,778.76	749.02
Add: Additions during the year	389.19	1,029.74
Balance as at the end of the year	2,167.95	1,778.76
Securities Premium		
Balance as at the beginning of the year	18,881.27	16,848.75
Add: Additions during the year	4,935.36	2,032.52
Less: Loan to Employee Welfare Trust	-	-
Balance as at the end of the year	23,816.63	18,881.27
Retained Earnings		
Surplus in Statement of Profit and Loss as at the beginning of the year	5,140.06	2,305.96
Add: Profit for the year	8,514.88	3,542.63
Less: Transfer to Statutory Reserve	(1,702.98)	(708.53)
Balance as at the end of the year	11,951.96	5,140.06
Other Comprehensive Income		
Balance as at the beginning of the year	8.72	20.62
Add: Additions during the year	17.58	-
Less: Deletions during the year	-	(11.90)
Balance as at the end of the year	26.30	8.72
TOTAL	40,873.25	27,016.24

Statutory Reserve: It is a free reserve which is created by appropriation from profits of the current year and/or undistributed profits of previous years, before declaration of dividend duly complying with any regulations in this regard.

Employee Share Option Outstanding: The Company has a share option scheme under which options to subscribe for the Company's shares have been granted to certain employees including key management personnel. The share-based payment reserve is used to recognize the value of equity-settled share-based payments provided to employees, as part of their remuneration.

Securities Premium Reserve: Securities premium reserve is credited when shares are issued at premium.

Retained Earnings: It represents the surplus in profit and loss account and appropriations.

Other Comprehensive Income: It represents the gains / (losses) arising on account of actuarial valuation of defined benefit obligation.

24 Interest Income

(₹ In Lakh)		
Particulars	For the year ended 31 March 2021 On Financial Assets measured at Amortized Cost	For the year ended 31 March 2020 On Financial Assets measured at Amortized Cost
Interest on Loans	27,756.75	21,455.19
Interest on deposits from Banks	1,381.16	716.80
Interest on Investment in Pass Through certificates (PTC)	17,196.20	18,799.06
Total	46,334.11	40,971.05

25 Fees and Commission Income

(₹ In Lakh)		
Particulars	For the year ended 31 March 2021	For the year ended 31 March 2020
Fee Income	2,415.32	1,745.32
Total	2,415.32	1,745.32

Note: Fee Income includes Loan Management Services fee, Processing Fee on loan against Gold (not subject to EIR), Initial Money Deposit fees and Co-origination fees.

26 Net Gain on Fair Value Changes

(₹ In Lakh)		
Particulars	For the year ended 31 March 2021	For the year ended 31 March 2020
(A) Total Net gain on fair value changes	910.58	1,149.20
(B) Fair Value changes:		
- Realized	536.50	1,149.20
- Unrealized	374.08	-
Total Net gain on fair value changes	910.58	1,149.20

27 Net gain on derecognition of financial instruments under amortised cost category

(₹ In Lakh)		
Particulars	For the year ended 31 March 2021	For the year ended 31 March 2020
Income on Sale of Investment in Pass Through certificates (PTC)	396.82	-
Total	396.82	-

28 Other Operating Income

(₹ In Lakh)		
Particulars	For the year ended 31 March 2021	For the year ended 31 March 2020
Advertisement Income	-	100.00
Other Charges	670.56	504.17
Total	670.56	604.17

Note: Other Charges includes Prepayment charges recovered from the customer amounting to ₹424.68 Lakh (Previous Year ₹408.53 Lakh)

29 Other Income

(₹ In Lakh)		
Particulars	For the year ended 31 March 2021	For the year ended 31 March 2020
Interest on Income Tax Refund	327.65	-
Others	63.08	17.60
Total	390.73	17.60

30 Finance Costs (On Financial liabilities measured at Amortized Cost)

(₹ In Lakh)		
Particulars	For the year ended 31 March 2021	For the year ended 31 March 2020
Interest on borrowings	21,203.89	20,228.93
Interest on lease liability	196.75	221.33
Interest on debt securities	2,422.43	3,950.09
Other Interest Expenses	22.47	3.38
Total	23,845.54	24,403.73

31 Impairment on Financial Instruments

(₹ In Lakh)		
Particulars	For the year ended 31 March 2021	For the year ended 31 March 2020
Loans and advances to customers	2,817.91	2,830.46
Total impairment loss	2,817.91	2,830.46

32 Employee Benefit Expenses

(₹ In Lakh)		
Particulars	For the year ended 31 March 2021	For the year ended 31 March 2020
Salaries and Bonus	7,547.62	5,965.52
Contribution to Provident Fund and Other Funds	338.25	261.64
Gratuity	77.88	45.98
Employee Share Based Payment (Refer Note 42)	389.19	1,029.74
Staff Training and Welfare Expenses	65.33	59.99
Total	8,418.27	7,362.87

33 Other Expenses

(₹ In Lakh)		
Particulars	For the year ended 31 March 2021	For the year ended 31 March 2020
Travelling and Conveyance	154.97	193.33
Printing and Stationery	106.49	85.57
Postage, Telephone and Fax	165.45	113.46
Business Promotion Expenses	165.10	99.22
Property, plant and equipment write off	8.72	-
Bad Debts write off	546.12	396.82
Loss on sale of repossessed assets	-	1.10
Repairs and Maintenance	419.33	311.94
Office Maintenance	686.81	552.84
Legal & Professional Expenses	723.83	692.79
Auditors' Remuneration	26.26	20.29
Expenditure towards Corporate Social Responsibility activities	13.86	13.86
Rent (Refer Note 45)	0.83	108.55
Rates and Taxes	394.16	473.03
Electricity Charges	90.87	111.43
Insurance Charges	32.34	15.99
Miscellaneous Expenses	158.09	55.15
Total	3,693.23	3,245.37

Disclosures:**i. Payments to auditors**

(₹ In Lakh)		
Particulars	For the year ended 31 March 2021	For the year ended 31 March 2020
Audit Fees	20.00	18.00
Tax Audit	2.00	2.00
Other Tax Matters and Certification	4.24	-
Reimbursement of Expenses	0.02	0.29
Total	26.26	20.29

Note: Auditors' Remuneration above is excluding Goods and Service Tax.

ii. Corporate Social Responsibility expenditure

Particulars	For the year ended 31 March 2021	For the year ended 31 March 2020
(a) Gross amount required to be spent by the company during the year	65.79	26.74
(b) Amount spent in cash during the year on:		
(i) Construction/acquisition of any asset	-	-
(ii) On purpose other than (i) above	13.86	13.86

Note: Unspent Amount of ₹64.81 Lakh has been deposited in separate bank account on 29 April 2021. The entire amount was subsequently spent on 14 May 2021.

34 Income Taxes relating to continuing operations**1. Income Tax recognized in profit or loss:**

(₹ In Lakh)		
Particulars	For the year ended 31 March 2021	For the year ended 31 March 2020
Current Tax		
In respect of the current year	3,006.79	-
Deferred Tax		
In respect of the current year	(108.56)	2,308.57
Total Income tax expense recognized in the current year relating to continuing operations	2,898.23	2,308.57

2. Reconciliation of income tax expense of the year:

Particulars	For the year ended 31 March 2021	For the year ended 31 March 2020
Standalone Profit before tax	11,413.11	5,851.20
Adjustments of allowable and non-allowable income and expenses:		
Tax Effect of non-deductible expenses	3,239.57	3,449.02
Tax Effect of deductible expenses	-	(3.18)
Tax Effect of Ind AS adjustments	703.24	(769.21)
Tax Effect on Unrealized Mutual fund gain	(374.09)	-
Tax Effect of Depreciation as per Income Tax Act, 1961	(341.35)	(3,889.68)
Tax Effect of Deduction u/s 36(1)(viiia)	(732.02)	-
Unabsorbed depreciation set off	(1,961.60)	(4,638.15)
Total Taxable Profits / (loss)	11,946.86	-
Tax Expenses	3,006.79	-
Add: Deferred Tax Liability	(108.56)	2,308.57
Income tax expense recognized in statement of profit and loss	2,898.23	2,308.57

3. Income tax rate is as follows:

(tax rates in %)		
Particulars	For the year ended 31 March 2021	For the year ended 31 March 2020
Normal Tax Rate	22.00	22.00
Surcharge (@10% of Normal Tax Rate)	2.20	2.20
Health and Education cess (@4% of Normal Tax Rate)	0.97	0.97
Total Tax Rate	25.17	25.17

35 Deferred Tax

The following table shows deferred tax recorded in the Balance sheet and changes recorded in the Income tax expense:

(₹ In Lakh)			
Particulars	Deferred Tax Assets As at 31 March 2021	Deferred Tax Liabilities As at 31 March 2021	Income Statement For the year ended 31 March 2021
Provisions	-	-	83.99
Depreciation	-	3,730.37	415.26
Impairment allowance for financial assets	1,457.94	-	(524.97)
Fair value of financial instruments held for trading	-	94.15	94.15
Other temporary differences	524.47	495.01	(176.99)
Total	1,982.41	4,319.53	(108.56)

The following table shows deferred tax recorded in the Balance sheet and changes recorded in the Income tax expense:

Particular	Deferred Tax Assets	Deferred Tax Liabilities	Income Statement
	As at 31 March 2020	As at 31 March 2020	For the year ended 31 March 2020
Provisions	83.99	-	(58.94)
Depreciation	429.20	3,744.31	1,816.38
Impairment allowance for financial assets	932.97	-	(793.47)
Fair value of financial instruments held for trading	-	-	(4.76)
Other temporary differences	385.81	533.34	200.83
MAT Credit Entitlement written off	-	-	1,148.53
Total	1,831.97	4,277.65	2,308.57

36 Other Comprehensive Income

Particulars	For the year ended 31 March 2021	For the year ended 31 March 2020
Other comprehensive income		
Items that will not be reclassified to profit or loss		
Remeasurement of defined benefit costs	17.58	(11.90)
Income tax relating to these items	(4.42)	2.99
Other comprehensive income for the year (Net of tax)	13.16	(8.91)

Note 37.1- Loan Against Property

1.1 Credit quality of assets

Particulars	As at 31 March 2021			As at 31 March 2020		
	Stage 1	Stage 2	Stage 3	Stage 1	Stage 2	Stage 3
Internal rating grade*						
Performing						
High grade	124,226.72	-	-	94,576.93	-	-
Medium grade	-	8,087.78	-	-	2,476.16	-
Non-performing						
Individually impaired	-	-	4,576.35	-	-	2,947.72
Total	124,226.72	8,087.78	4,576.35	94,576.93	2,476.16	2,947.72

1.2 An analysis of changes in the gross carrying amount (excluding interest) and the corresponding Expected Credit Loss allowances in relation to lending is as follows:

Particulars	As at 31 March 2021			As at 31 March 2020		
	Stage 1	Stage 2	Stage 3	Stage 1	Stage 2	Stage 3
Gross carrying amount opening balance	94,576.93	2,476.16	2,947.72	82,288.95	1,434.70	409.58
New assets originated/Assets derecognized/repaid (excluding write offs)	36,611.05	859.09	(451.47)	16,836.10	(151.72)	(424.38)
Transfers to Stage 1	948.13	(617.88)	(330.25)	280.85	(280.85)	-
Transfers to Stage 2	(5,838.10)	5,838.10	-	(1,889.16)	1,889.16	-
Transfers to Stage 3	(2,026.35)	(461.73)	2,488.08	(2,939.81)	(415.13)	3,354.94
Amounts written off	(44.94)	(5.96)	(77.73)	-	-	(392.42)
Gross carrying amount closing balance	124,226.72	8,087.78	4,576.35	94,576.93	2,476.16	2,947.72

Reconciliation of Expected Credit Loss (ECL) balance is given below:

Particulars	As at 31 March 2021			As at 31 March 2020		
	Stage 1	Stage 2	Stage 3	Stage 1	Stage 2	Stage 3
ECL allowance - opening balance	635.75	84.01	949.71	560.53	19.85	124.35
New assets originated/Assets derecognized/repaid (excluding write offs)	878.18	698.15	(3.70)	1,019.12	176.05	7.07
Transfers to Stage 1	5.91	(3.86)	(2.05)	1.68	(1.68)	-
Transfers to Stage 2	(79.67)	79.67	-	(27.78)	27.78	-
Transfers to Stage 3	(616.19)	(144.11)	760.30	(917.80)	(137.99)	1,055.79
Amounts written off	(0.30)	(0.07)	(21.25)	-	-	(237.50)
ECL allowance - closing balance	823.68	713.79	1,683.01	635.75	84.01	949.71

Note: Provision above is excluding additional provision for COVID-19.

Internal Rating Grade are classified on below basis:

Grade	Classification Basis	Stage
High grade	0-29 DPD	Stage 1
Medium grade	30-89 DPD	Stage 2
Individually impaired	>=90 DPD & Restructured	Stage 3

Note 37.2- Loan Against Gold

1.1 Credit quality of assets

Particulars	Stage 1	As at 31 March 2021 Stage 2	Stage 3	Total	Stage 1	As at 31 March 2020 Stage 2	Stage 3	Total
Internal rating grade*								
Performing								
High grade	42,168.62	-	-	42,168.62	33,256.34	-	-	33,256.34
Medium grade	-	12,998.63	-	12,998.63	-	2,890.03	-	2,890.03
Non-performing								
Individually impaired	-	-	837.77	837.77	-	-	505.97	505.97
Total	42,168.62	12,998.63	837.77	56,005.02	33,256.34	2,890.03	505.97	36,652.34

1.2 An analysis of changes in the gross carrying amount (excluding interest) and the corresponding Expected Credit Loss allowances in relation to lending is as follows:

Particulars	Stage 1	As at 31 March 2021 Stage 2	Stage 3	Total	Stage 1	As at 31 March 2020 Stage 2	Stage 3	Total
Gross carrying amount opening balance	33,256.34	2,890.03	505.97	36,652.34	24,303.13	2,468.18	92.45	26,863.76
New assets originated/Assets derecognized/repaid (excluding write offs)	9,172.41	9,877.45	302.82	19,352.68	9,216.18	229.15	343.25	9,788.58
Transfers to Stage 1	1.29	(1.29)	-	-	1.01	(1.01)	-	-
Transfers to Stage 2	(234.16)	237.64	(3.48)	-	(205.33)	205.33	-	-
Transfers to Stage 3	(27.26)	(5.20)	32.46	-	(58.65)	(11.62)	70.27	-
Amounts written off	-	-	-	-	-	-	-	-
Gross carrying amount closing balance	42,168.62	12,998.63	837.77	56,005.02	33,256.34	2,890.03	505.97	36,652.34

Reconciliation of Expected Credit Loss (ECL) balance is given below:

Particulars	Stage 1	As at 31 March 2020 Stage 2	Stage 3	Total	Stage 1	As at 31 March 2019 Stage 2	Stage 3	Total
ECL allowance - opening balance	76.79	6.54	54.77	138.10	49.56	5.81	9.72	65.09
New assets originated/Assets derecognized/repaid (excluding write offs)	16.85	24.93	273.80	315.58	34.18	2.16	36.67	73.01
Transfers to Stage 1	-	-	-	-	-	-	-	-
Transfers to Stage 2	(0.62)	0.63	(0.01)	-	(0.52)	0.52	-	-
Transfers to Stage 3	(2.88)	(0.83)	3.71	-	(6.43)	(1.95)	8.38	-
Amounts written off	-	-	-	-	-	-	-	-
ECL allowance - closing balance	90.14	31.27	332.27	453.68	76.79	6.54	54.77	138.10

Note: Provision above is excluding additional provision for COVID-19

* Internal rating grades are classified on below basis

Grade	Classification Basis	Stage
High grade	0-29 DPD	Stage 1
Medium grade	30-89 DPD	Stage 2
Individually impaired	>=90 DPD & Restructured	Stage 3

Note 37.3- Personal Loan

1.1 Credit quality of assets

Particulars	Stage 1	As at 31 March 2021 Stage 2	Stage 3	Total	Stage 1	As at 31 March 2020 Stage 2	Stage 3	Total
Internal rating grade*								
Performing								
High grade	19,401.75	-	-	19,401.75	19,864.49	-	-	19,864.49
Medium grade	-	1,212.73	-	1,212.73	-	154.96	-	154.96
Non-performing								
Individually impaired	-	-	1,251.34	1,251.34	-	-	114.95	114.95
Total	19,401.75	1,212.73	1,251.34	21,865.82	19,864.49	154.96	114.95	20,134.40

1.2 An analysis of changes in the gross carrying amount (excluding interest) and the corresponding Expected Credit Loss allowances in relation to lending is as follows:

Particulars	Stage 1	As at 31 March 2021 Stage 2	Stage 3	Total	Stage 1	As at 31 March 2020 Stage 2	Stage 3	Total
Gross carrying amount opening balance	19,864.49	154.96	114.95	20,134.40	4,265.05	-	-	4,265.05
New assets originated/Assets derecognized/repaid (excluding write offs)	2,070.01	84.54	(5.64)	2,148.91	15,730.63	107.01	31.71	15,869.35
Transfers to Stage 1	11.58	(11.58)	-	-	-	-	-	-
Transfers to Stage 2	(1,118.16)	1,118.16	-	-	(47.95)	47.95	-	-
Transfers to Stage 3	(1,158.89)	(84.12)	1,243.01	-	(83.24)	-	83.24	-
Amounts written off	(267.28)	(49.23)	(100.98)	(417.49)	-	-	-	-
Gross carrying amount closing balance	19,401.75	1,212.73	1,251.34	21,865.82	19,864.49	154.96	114.95	20,134.40

Reconciliation of Expected Credit Loss (ECL) balance is given below:

Particulars	Stage 1	As at 31 March 2021 Stage 2	Stage 3	Total	Stage 1	As at 31 March 2020 Stage 2	Stage 3	Total
ECL allowance - opening balance	301.24	4.31	94.82	400.37	106.65	-	-	106.65
New assets originated/Assets derecognized/repaid (excluding write offs)	523.99	92.56	(0.77)	615.78	266.26	2.99	24.47	293.72
Transfers to Stage 1	0.15	(0.15)	-	-	-	-	-	-
Transfers to Stage 2	(72.27)	72.27	-	-	(1.32)	1.32	-	-
Transfers to Stage 3	(487.02)	(38.61)	525.63	-	(70.35)	-	70.35	-
Amounts written off	(4.03)	(1.51)	(85.37)	(90.91)	-	-	-	-
ECL allowance - closing balance	262.06	128.87	534.31	925.24	301.24	4.31	94.82	400.37

Note: Provision above is excluding additional provision for COVID-19.

* Internal rating grades are classified on below basis

Grade	Classification Basis	Stage
High grade	0-29 DPD	Stage 1
Medium grade	30-89 DPD	Stage 2
Individually impaired	>=90 DPD & Restructured	Stage 3

38 Change in liabilities arising from financing activities

(₹ In Lakh)

Particulars	As at 1 April 2020	Cash Flow	Changes in fair values	Exchange Difference	Other	As at 31 March 2021
Debt securities	32,500.00	(17,500.00)	-	-	-	15,000.00
Borrowings other than debt securities*	273,137.60	(10,882.36)	-	-	-	262,255.24
Total liabilities from financing activities	305,637.60	(28,382.36)	-	-	-	277,255.24

Particulars	As at 1 April 2019	Cash Flow	Changes in fair values	Exchange Difference	Other	As at 31 March 2020
Debt securities	40,000.00	(7,500.00)	-	-	-	32,500.00
Borrowings other than debt securities*	44,546.47	228,591.13	-	-	-	273,137.60
Total liabilities from financing activities	84,546.47	221,091.13	-	-	-	305,637.60

*Note: It is excluding Lease liability.

39 Maturity analysis of assets and liabilities

The table below shows an analysis of assets and liabilities analyzed according to when they are expected to be recovered or settled. They have been classified to mature and / or be repaid within 12 months or after 12 months. With regard to loans and advances to customers, the Company uses the same basis of expected repayment as used for estimating the Effective Interest Rate (EIR).

(₹ In Lakh)

PARTICULARS	As at 31 March 2021			As at 31 March 2020		
	Within 12 months	After 12 months	Total	Within 12 months	After 12 months	Total
ASSETS						
Cash and cash equivalents	13,724.76	-	13,724.76	22,435.40	-	22,435.40
Bank Balance other than (a) above	19,033.33	1,277.28	20,310.61	12,423.80	6,659.74	19,083.54
Trade Receivables	196.22	-	196.22	298.60	-	298.60
Loans	71,707.03	145,525.79	217,232.82	48,156.17	110,443.72	158,599.89
Investments	69,534.69	78,890.22	148,424.91	18,807.48	169,100.19	187,907.67
Other financial asset	442.39	205.06	647.45	42.86	194.20	237.06
Total Assets	174,638.42	225,898.35	400,536.77	102,164.31	286,397.85	388,562.16
LIABILITIES						
Financial Liabilities						
Trade Payables						
(ii) total outstanding dues of creditors other than micro enterprises and small enterprises	1,836.74	-	1,836.74	1,441.00	-	1,441.00
Other Payables						
(ii) total outstanding dues of creditors other than micro enterprises and small enterprises	705.26	-	705.26	873.81	-	873.81
Debt Securities	15,000.00	-	15,000.00	32,428.68	-	32,428.68
Borrowings (Other than debt securities)	54,001.69	208,774.11	262,775.80	42,856.85	230,786.84	273,643.69
Other financial liabilities	23,211.03	-	23,211.03	8,591.57	-	8,591.57
Total liabilities	94,754.72	208,774.11	303,528.83	86,191.91	230,786.84	316,978.75
Net	79,883.70	17,124.24	97,007.94	15,972.40	55,611.01	71,583.41

Capital Management

The primary objectives of the Company's capital management policy are to ensure that the Company complies with externally imposed capital requirements and maintains strong credit ratings and healthy capital ratios in order to support its business and to maximize shareholder value. The Company manages its capital structure and makes adjustments to it according to changes in economic conditions and the risk characteristics of its activities. Capital Management Policy, objectives and processes are under constant review by the Board. For details of Capital to Risk Assets Ratio (CRAR) refer Note 55.1

40 Fair value measurements**Financial instruments by category**

(₹ In Lakh)

Particulars	As at 31 March 2021			As at 31 March 2020		
	Fair Value through Profit or Loss	Amortized cost	Total	Fair Value through Profit or Loss	Amortized cost	Total
Financial Assets						
Investments						
- Mutual funds	39,540.98	-	39,540.98	-	-	-
- Pass-through Certificates	-	108,883.93	108,883.93	-	187,907.67	187,907.67
Trade receivables	-	196.22	196.22	-	298.60	298.60
Loans	-	210,707.97	210,707.97	-	154,892.95	154,892.95
Cash and cash equivalents	-	13,724.76	13,724.76	-	22,435.40	22,435.40
Bank Balances other than Cash and cash equivalents	-	20,310.60	20,310.60	-	19,083.54	19,083.54
Other Financial Assets	-	647.45	647.45	-	237.06	237.06
Total Financial Assets	39,540.98	354,470.93	394,011.91	-	384,855.22	384,855.22
Financial Liabilities						
Borrowings	-	262,775.80	262,775.80	-	273,643.69	273,643.69
Debt Securities	-	15,000.00	15,000.00	-	32,428.68	32,428.68
Trade payables	-	1,836.74	1,836.74	-	1,441.00	1,441.00
Other payables	-	705.26	705.26	-	873.81	873.81
Other Financial Liabilities	-	23,211.03	23,211.03	-	8,591.57	8,591.57
Total Financial Liabilities	-	303,528.83	303,528.83	-	316,978.75	316,978.75

(i) Fair value hierarchy

This section explains the judgements and estimates made in determining the fair values of the financial instruments that are (a) recognized and measured at fair value and (b) measured at amortized cost and for which fair values are disclosed in the financial statements. To provide an indication about the reliability of the inputs used in determining fair value, the Company has classified its financial instruments into the three levels prescribed under the accounting standard. An explanation of each level follows underneath the table.

Financial assets and liabilities measured at fair value - recurring fair value measurements

(₹ In Lakh)

	Note No.	Carrying Amount	Level 1	Level 2	Level 3	Total
As at 31 March 2021						
Financial assets						
Financial Investments at Fair Value Through Profit or Loss						
Mutual funds	7	39,540.98	39,540.98	-	-	39,540.98
Financial Assets at Amortized Cost						
Investment in Pass-through Certificates	7	108,883.93	-	-	108,883.93	108,883.93
Cash and cash equivalents	3	13,724.76	-	-	13,724.76	13,724.76
Bank Balances other than Cash and cash equivalents	4	20,310.60	-	-	20,310.60	20,310.60
Trade Receivables	5	196.22	-	-	196.22	196.22
Loans	6	210,707.97	-	-	210,707.97	210,707.97
Other Financial Assets	8	647.45	-	-	647.45	647.45
Total financial assets		394,011.91	39,540.98	-	354,470.93	394,011.91
Financial liabilities						
Financial Liabilities at Amortized Cost						
Trade payables	15	1,836.74	-	-	1,836.74	1,836.74
Other payables	15	705.26	-	-	705.26	705.26
Other Financial Liabilities	18	23,211.03	-	-	23,211.03	23,211.03
Debt Securities	16	15,000.00	-	-	15,000.00	15,000.00
Borrowings	17	262,775.80	-	-	262,775.80	262,775.80
Total financial liabilities		303,528.83	-	-	303,528.83	303,528.83

Financial assets and liabilities measured at fair value - recurring fair value measurements

(₹ In Lakh)

	Note No.	Carrying Amount	Level 1	Level 2	Level 3	Total
As at 31 March 2020						
Financial assets						
Financial Investments at Fair Value Through Profit or Loss						
Mutual funds	7	-	-	-	-	-
Financial Assets at Amortized Cost						
Investment in Pass-through Certificates	7	187,907.67	-	-	187,907.67	187,907.67
Cash and cash equivalents	3	22,435.40	-	-	22,435.40	22,435.40
Bank Balances other than Cash and cash equivalents	4	19,083.54	-	-	19,083.54	19,083.54
Trade Receivables	5	298.60	-	-	298.60	298.60
Loans	6	154,892.95	-	-	154,892.95	154,892.95
Other Financial Assets	8	237.06	-	-	237.06	237.06
Total financial assets		384,855.22	-	-	384,855.22	384,855.22
Financial liabilities						
Financial Liabilities at Amortized Cost						
Trade payables	15	1,441.00	-	-	1,441.00	1,441.00
Other payables	15	873.81	-	-	873.81	873.81
Other Financial Liabilities	18	8,591.57	-	-	8,591.57	8,591.57
Debt Securities	16	32,428.68	-	-	32,428.68	32,428.68
Borrowings	17	273,643.69	-	-	273,643.69	273,643.69
Total financial liabilities		316,978.75	-	-	316,978.75	316,978.75

(ii) Valuation technique used to determine fair value

The following table provides an analysis of financial instruments that are measured subsequent to initial recognition at fair value, grouped into Level 1 to Level 3, as described below.

Quoted prices in an active market (Level 1): This level of hierarchy includes financial assets that are measured by reference to quoted prices (adjusted/unadjusted) for identical assets. This category consists of quoted equity shares.

Valuation techniques with observable inputs (Level 2): This level of hierarchy includes financial assets, measured using inputs other than quoted prices included within Level 1 that are observable for the asset, either directly (i.e.; as prices) or indirectly (i.e.; derived from prices). This category includes venture fund units, mutual fund units and security receipts.

Valuation techniques with significant unobservable inputs (Level 3): This level of hierarchy includes financial assets measured using inputs that are not based on observable market data. Fair values are determined in whole or in part, using a valuation model based on assumptions that are neither supported by prices from observable current market transactions in the same instrument nor are they based on available market data. This category includes unlisted equity shares, preference shares and debentures.

There has been no transfer between level 1, level 2 and level 3 for the year ended 31 March 2021 and 31 March 2020.

The carrying amounts of trade receivables, trade payables and cash and cash equivalents are considered to be the same as their fair values, due to their short-term nature.

The fair value of Loan approximates the carrying amount.

For financial assets and liabilities measured at fair value, the carrying amounts approximates the fair values.

41 Employee Benefits**(A) Defined Contribution plans****Provident Fund**

The Company makes Provident Fund contributions to defined contribution retirement benefit plans for eligible employees. Under the schemes, the Company is required to contribute a specified percentage of the payroll costs to fund the benefits. The contributions as specified under the law are paid to the Employee Provident Fund Organization (Government). The Company is liable for annual contributions and any deficiency in interest cost compared to interest computed based on the rate of interest declared by the Central Government under the Employees' Provident Fund Scheme, 1952 and recognizes such deficiency as an expense in the year it is determined.

The Company recognized expense as contribution to provident fund amounting to ₹316.46 Lakh (Previous Year ₹243.16 Lakh) in the statement of profit and loss. The contributions payable to these plans by the Company are at rates specified in the rules of the schemes.

(B) Defined benefit plans**Gratuity Fund****Characteristics of defined benefit plan**

The Company has a defined benefit gratuity plan in India (funded). The Company's defined benefit gratuity plan is a final salary plan for employees, which requires contributions to be made to SBFC Finance Private Limited employees group gratuity cash accumulation scheme.

Risks associated with defined benefit plan

Gratuity is a defined benefit plan and Company is exposed to the following risks:

A. Actuarial Risk: It is the risk that benefits will cost more than expected. This can arise due to one of the following reasons:

Adverse Salary Growth Experience: Salary hikes that are higher than the assumed salary escalation will result into an increase in Obligation at a rate that is higher than expected.

Variability in mortality rates: If actual mortality rates are higher than assumed mortality rate assumption than the Gratuity Benefits will be paid earlier than expected. Since there is no condition of vesting on the death benefit, the acceleration of cashflow will lead to an actuarial loss or gain depending on the relative values of the assumed salary growth and discount rate.

Variability in withdrawal rates: If actual withdrawal rates are higher than assumed withdrawal rate assumption than the Gratuity Benefits will be paid earlier than expected. The impact of this will depend on whether the benefits are vested as at the resignation date.

B. Investment Risk: For funded plans that rely on insurers for managing the assets, the value of assets certified by the insurer may not be the fair value of instruments backing the liability. In such cases, the present value of the assets is independent of the future discount rate. This can result in wide fluctuations in the net liability or the funded status if there are significant changes in the discount rate during the inter-valuation period.

C. Liquidity Risk: Employees with high salaries and long durations or those higher in hierarchy, accumulate significant level of benefits. If some of such employees resign/ retire from the company there can be strain on the cashflows.

D. Market Risk: Market risk is a collective term for risks that are related to the changes and fluctuations of the financial markets. One actuarial assumption that has a material effect is the discount rate. The discount rate reflects the time value of money. An increase in discount rate leads to decrease in Defined Benefit Obligation of the plan benefits & vice versa. This assumption depends on the yields on the corporate/ government bonds and hence the valuation of liability is exposed to fluctuations in the yields as at the valuation date.

E. Legislative Risk: Legislative risk is the risk of increase in the plan liabilities or reduction in the plan assets due to change in the legislation / regulation. The government may amend the Payment of Gratuity Act thus requiring the companies to pay higher benefits to the employees. This will directly affect the present value of the Defined Benefit Obligation and the same will have to be recognized immediately in the year when any such amendment is effective.

During the year, there were no plan amendments, curtailments and settlements.

The Life Insurance Corporation is managing the Gratuity Plan and the contributions to it is done as guided by rule 103 of Income Tax Rules, 1962.

Other Post Retirement Benefit Plan

The details of the Company's post-retirement benefit plans for its employees including whole-time directors are given below which is as certified by the actuary and relied upon by the auditors:

(C) Code on Social Security

The Indian parliament has approved Code on Social Security, 2020 ("the Code") which would impact the contributions by the Company towards Provident Fund and Gratuity. The Ministry of Labour and Employment has released draft rules for the Code on Social Security, 2020 on 13 November 2020 and has invited suggestions from stakeholders which are under active consideration by the Ministry. The Company will assess the impact and its evaluation once the subject rules are notified and will give appropriate impact in its financial statements in the period in which, the Code becomes effective and the related rules to determine the financial impact are published.

(₹ In Lakh)		
Particulars	For the year ended 31 March 2021	For the year ended 31 March 2020
Change in the Benefit Obligations:		
Liability at the beginning of the year	149.35	91.34
Current Service Cost	81.05	52.72
Interest Cost	9.59	6.81
Benefits Paid	(14.36)	(6.49)
Actuarial Gains - Due to change in Financials Assumptions	1.54	11.95
Actuarial Gains - Due to change in Demographic Assumptions	-	(0.04)
Actuarial Losses - Due to Experience	(25.76)	(6.94)
Liability at the end of the year	201.41	149.35
The Liability at the end of the year ₹201.41 Lakh (Previous Year: ₹149.35 Lakh) in respect of funded plan.		
Fair Value of Plan Assets:		
Fair Value of Plan Assets at the beginning of the year	156.82	152.49
Interest Income	12.76	13.55
Expected Return on Plan Assets	(6.64)	(6.93)
Contributions	30.30	4.20
Benefits paid	(14.36)	(6.49)
Fair Value of Plan Assets at the end of the year	178.88	156.82
Actual Return on Plan Assets:		
Expected Return on Plan Assets	-	-
Actuarial loss on Plan Assets	-	-
Actual Return on Plan Assets	(6.64)	(6.93)
Reconciliation of the Liability Recognized in the Balance Sheet:		
Opening Net Liability/ (Asset)	(7.47)	(61.15)
Transfer In Obligation	-	-
Expense recognized in Profit or Loss	77.88	45.98
Expense recognized in Other Comprehensive Income	(17.58)	11.90
Contribution by the Company	(30.30)	(4.20)
Benefits paid by the Company / Insurance Companies	-	-
Amount recognized in the Balance Sheet under "Liabilities- Provisions" ₹22.53 Lakh (Previous Year Nil) and under "Assets- Other Non Financial Assets" Nil (Previous Year ₹7.47 Lakh).	22.53	(7.47)

(₹ In Lakh)		
Particulars	For the year ended 31 March 2021	For the year ended 31 March 2020
Expense Recognized in the Statement of Profit and Loss:		
Current Service Cost	81.05	52.72
Interest Cost	(3.17)	(6.74)
Expense recognized in the Statement of Profit and Loss	77.88	45.98

(₹ In Lakh)		
Particulars	For the year ended 31 March 2021	For the year ended 31 March 2020
Expense Recognized in the Statement of Other Comprehensive Income:		
Due to Change in Financial Assumptions	1.54	11.95
Due to Change in Demographic Assumptions	-	(0.04)
Due to Experience Adjustments	(25.76)	(6.94)
Return on Plan Assets, Excluding Interest Income	6.64	6.93
Net (Income)/ Expense for the year Recognized in Statement of Other Comprehensive Income	(17.58)	11.90

Amount Recognized in the Balance Sheet:

(₹ In Lakh)		
Particulars	31 March 2021	31 March 2020
Liability at the end of the year	201.41	149.35
Fair Value of Plan Assets at the end of the year	178.88	156.82
Amount recognized in the Balance Sheet	22.53	(7.47)
Experience Adjustment :		
On Plan Liabilities	-	-
On Plan Assets	-	-
Estimated Contribution for next year	22.53	81.05

Investment Pattern:

% Invested		
Particulars	Current Year %	Previous Year %
Policy of Insurance	100%	100%
Total	100%	100%

Based on the above allocation and the prevailing yields on these assets, the long term estimate of the expected rate of return on fund assets has been arrived at 6.50% (Previous Year 6.60%).

Principal Assumptions:

(% p.a.)		
Particulars	For the year ended 31 March 2021	For the year ended 31 March 2020
Discount Rate	6.50%	6.60%
Return on Plan Assets	6.50%	6.60%
Salary Escalation	7.50%	7.50%
Withdrawal Rate (at all ages)	12.00%	12.00%

The estimate of future salary increase, considered in the actuarial valuation takes account of inflation, seniority, promotion and other relevant factors.

Sensitivity Analysis:

(₹ In Lakh)		
Particulars	For the year ended 31 March 2021	For the year ended 31 March 2020
Projected Benefit Obligation on Current Assumptions		
Delta Effect of +0.50% Change in Rate of Discounting	193.91	143.73
Delta Effect of -0.50% Change in Rate of Discounting	209.39	155.34
Delta Effect of +0.50% Change in Rate of Salary Increase	207.66	154.15
Delta Effect of -0.50% Change in Rate of Salary Increase	195.19	144.81
Delta Effect of +10% Change in Withdrawal Rate	196.89	146.00
Delta Effect of -10% Change in Withdrawal Rate	206.02	152.78

The sensitivity analysis have been performed by varying a single parameter while keeping all other parameters unchanged.

The sensitivity analysis presented above fails to focus on the inter-relationship between underlying parameters. Hence the results may vary if two or more variables are changed simultaneously.

Furthermore, in presenting the above sensitivity analysis, the present value of the projected benefit obligation has been calculated using the projected unit credit method at the end of the reporting period, which is the same method as applied in calculating the projected benefit obligation as recognized in the balance sheet.

Maturity Analysis of the Benefit Payments from the Fund:

(₹ In Lakh)		
Projected Benefits Payable in Future Years From the Date of Reporting	For the year ended 31 March 2021	For the year ended 31 March 2020
1 st Following Year	8.48	8.10
2 nd Following Year	10.38	8.66
3 rd Following Year	18.81	9.79
4 th Following Year	21.85	15.82
5 th Following Year	28.52	17.78
Sum of Years 6 to 10	106.60	83.30

42 Employee Stock Option

The Company has granted Employee Stock Options (ESOP) under the Small Business Fincredit Stock Option Policy I 2018 spread over a period 1 to 4 years & Small Business Fincredit Stock Option Policy II 2018 spread over a period 1 to 4 years to employees of the Company.

Employee Stock Option Plans

A Summary of the general terms of grants under stock options plans are as under: -

Name of Plan	31 March 2021		31 March 2020	
	Number of options under the Plan	Range of Exercise Price	Number of options under the Plan	Range of Exercise Price
Small Business Fincredit Stock Option Policy I 2018	10,840,000	12.50	10,840,000	12.50
Small Business Fincredit Stock Option Policy II 2018	40,560,000	12.50	40,560,000	12.50

The activity of the Stock Plans is summarised below

	Year ended 31 March 2021		Year ended 31 March 2020	
	Numbers	Exercise Price/ Vesting Price (₹)	Numbers	Exercise Price/ Vesting Price (₹)
Outstanding at the beginning of the year	10,095,000	12.50	9,865,000	-
	40,560,000	12.50	40,560,000	-
Granted	1,190,000	12.50	1,660,000	12.50
	-	-	-	12.50
Exercised	-	-	-	-
Forfeited, expired and cancelled	634,500	12.50	1,430,000	12.50
	-	-	-	-
Outstanding at the end of the year	10,650,500	12.50	10,095,000	12.50
	40,560,000	12.50	40,560,000	12.50

The following table summarizes information about stock option plans:-

Exercise Price (₹)	Year ended As at 31 March 2021		Year ended As at 31 March 2020	
	Numbers	Weighted Average Remaining Life (Months)*	Numbers	Weighted Average Remaining Life (Months)*
Small Business Fincredit Stock Option Policy I 2018 @ ₹12.50	10,650,500	9.27	10,095,000	10.36
Small Business Fincredit Stock Option Policy II 2018 @ ₹12.50	40,560,000	-	40,560,000	5.43

Notes:-

*Weighted Average Remaining life represents the life for vesting. Exercise period life is in addition to the vesting life.

During the year 2018-19, the Company has provided loan to the Employee welfare trust for purchase of shares issued by the Company. These shares will be vested to the employee and will be settled through issue of own equity instrument. The fair values disclosed above is determined using the black scholes method.

The charge for the period as an employee benefit expense amounted to ₹389.19 Lakh (P.Y. ₹1,029.74 Lakh)

43- Segment Information

Operating Segment

The Company operates mainly in the business segment of fund based financing activity. All other activities revolve around the main business. Further, all activities are carried out within India. As such, there are no separate reportable segments as per the provisions of Ind AS 108 on 'Operating Segments'.

44- Related party disclosures

(a) Compensation of key management personnel of the Company

Key management personnel are those individuals who have the authority and responsibility for planning and exercising power to directly or indirectly control the activities of the Company and its employees. The Company includes the members of the Board of Directors which include independent directors (and its sub-committees) and Executive Committee to be key management personnel for the purposes of Ind AS 24 Related Party Disclosures.

(₹ In Lakh)		
Particulars	For the year ended 31 March 2021	For the year ended 31 March 2020
Short-term employee benefits	640.57	491.56
ESOP Expenses	234.80	615.39
Gratuity	8.82	8.82
Total	884.19	1,115.77

(b) Key management personnel of the Company:

Sr No	Name of Key Management Personnel	Designation
1	Mr. Aseem Dhru	Chief Executive Officer & Managing Director
2	Mr. Rajeev Gupta	Director
3	Mr. Amol Krishna Jain	Director
4	Mr. Narayan Barasia	Chief Financial Officer
5	Mrs. Swati Amey Morajkar	Company Secretary (w.e.f. 10 April 2019)
6	Mr. John Mescall	Nominee Director (w.e.f. 29 May 2019)
7	Mr. Jonathan Tadeusz Tatur	Nominee Director (w.e.f. 17 December 2019)
8	Mr. Arjun Sakhuja	Nominee Director (w.e.f. 5 February 2020)
9	Mr. Neeraj Swaroop	Independent Director
10	Mr. Rajesh Mannalal Agrawal	Additional Independent Director (w.e.f. 11 November 2020)
11	Mr. Amitabh Mohanty	Additional Independent Director (w.e.f. 24 September 2019 upto 17 September 2020)
12	Mr. Sridhar Srinivasan	Independent Director (upto 11 June 2019)

(c) Related parties where control exists:

1 Holding Company	SBFC Holdings Pte. Limited (from 29 May 2019) Lyra Partners Limited (from 17 May 2017 upto 28 May 2019)
2 Ultimate Beneficiary Owner*	Mr. Aseem Dhru
3 Entities in which KMP Exercise Significant Influence	Arpwood Partners Investment Advisors LLP Arpwood Capital Private Limited Arpwood Consultants LLP Eight45 Services LLP

* There is no Individual Ultimate Beneficiary Owner u/s 90 of Companies Act, 2013 hence MD & CEO will be Ultimate Individual Beneficial Owner.

(d) Related party transactions

The details of related party transaction and balances with the Company are available with the Company Secretary of the Company.

45 Leases

The changes in the carrying value of right of use assets are as follows:

(₹ In Lakh)		
Particulars	For the year ended 31 March 2021	For the year ended 31 March 2020
Balance as of 1 April 2020	2,031.86	2,432.29
Addition during the year	489.00	122.31
Deletion during the year	226.75	-
Depreciation charge for the year	542.04	522.74
Balance as of 31 March 2021	1,752.07	2,031.86

The following is the movement in lease liabilities:

(₹ In Lakh)		
Particulars	For the year ended 31 March 2021	For the year ended 31 March 2020
Balance as of 1 April 2020	2,161.06	2,432.29
Addition during the year	489.00	122.31
Deletion during the year	248.39	-
Finance cost accrued during the year	196.75	221.33
Payment made during the year	643.81	614.87
Balance as of 31 March 2021	1,954.61	2,161.06

The table below provides details regarding the contractual maturities of lease liabilities on an undiscounted basis:

(₹ In Lakh)		
Particulars	For the year ended 31 March 2021	For the year ended 31 March 2020
Less than one year	560.79	428.14
One to five years	1,156.65	1,476.12
More than five years	237.17	256.80
Total	1,954.61	2,161.06

Rental expense recorded for short-term leases was ₹17.47 Lakh for the year ended 31 March 2021 (Previous Year: ₹72.50 Lakh)

The company had received waivers on Rent ₹52.68 Lakh in the year during COVID-19 pandemic.

The aggregate depreciation on Right to use assets has been included under depreciation and amortisation expense in the Statement of Profit and Loss.

The aggregate interest on Lease liabilities has been included under Finance costs in the Statement of Profit and Loss.

46 In accordance with Ind AS 33- Earnings per Share, the computation of earnings per share is set out below:

			For the year ended 31 March 2021	For the year ended 31 March 2020
Particulars				
Net Profit after tax as per Statement of Profit and Loss	(A)	₹ in Lakh	8,514.88	3,542.63
Weighted average number of equity shares for calculating Basic EPS	(B)	Nos.	783,358,435	731,810,007
Weighted average number of equity shares for calculating Diluted EPS	(C)	Nos.	801,019,080	735,562,229
Basic earnings per equity share (in Rupees) (Face value of ₹10/- per share)	(A)/(B)	₹ per share	1.09	0.48
Diluted earnings per equity share (in Rupees) (Face value of ₹10/- per share)	(A)/(C)	₹ per share	1.06	0.48

			For the year ended 31 March 2021	For the year ended 31 March 2020
Particulars				
Weighted average number of equity shares for calculating Basic EPS	Nos.		783,358,435	731,810,007
Add: Equity shares for no consideration arising on grant of stock options under ESOP	Nos.		17,660,644	3,752,222
Add: Equity shares for shares against Share Warrants	Nos.		-	-
Weighted average number of equity shares in calculation of Diluted EPS	Nos.		801,019,080	735,562,229

47 The Company believes that no impairment of assets arises during the year as per the recommendations of Ind AS 36 “Impairment of Assets”.

The Company has carried impairment testing by discounting the projected future cash flows and has enough head room against the carrying amount of ₹26,039.23 Lakh Considering the head room that the Company has, there is no need for impairment. Therefore, there is no Impairment of Goodwill in the books as on 31 March 2021.

48 CONTINGENT LIABILITIES

Particulars	For the year ended 31 March 2021	For the year ended 31 March 2020
Claims against the Company not acknowledged as Debts	-	-

49 Capital and other commitment

- a) Estimated amount of contracts remaining to be executed on capital account and not provided for ₹44.76 Lakh (31 March 2020: ₹506.26 Lakh)
- b) Other Commitments: Nil (31 March 2020: Nil)

50 Based on the intimation received by the Company, none of the suppliers have confirmed to be registered under “The Micro, Small and Medium Enterprises Development (‘MSMED’) Act, 2006”. Accordingly, no disclosures relating to amounts unpaid as at the year end together with interest paid/ payable are required to be furnished.**51.1.1 Risk Disclosures**

Company's risk is managed through an integrated risk management framework, including ongoing identification, measurement and monitoring, subject to risk limits and other controls. This process of risk management is critical to the Company's continuing profitability and each individual within the Company is accountable for the risk exposures relating to his or her responsibilities. The Company is exposed to credit risk, liquidity risk and interest rate risk. It is the Company's policy to ensure that a robust risk awareness is embedded in its organizational risk culture.

51.1.2 Credit risk

Credit risk is the risk that the Company will incur a loss because its customers or counterparties fail to discharge their contractual obligations. The Company manages and controls credit risk by setting limits on the amount of risk it is willing to accept for individual counterparties.

51.1.2.1 Impairment assessment**51.1.2.1.1 Exposure at Default**

EAD is taken as the gross exposure under a facility upon default of an obligor. The amortized principal and the interest accrued is considered as EAD for the purpose of ECL computation.

The advances have been bifurcated into following three stages:

Stage 1 – Advances with low credit risk and where there is no significant increase in credit risk. Hence, the advances up to 0-29 days are classified as Stage 1

Stage 2 – Advances with significant increase in credit risk. Hence the advances up to 30 to 89 days are classified as Stage 2

Stage 3 – Advances that have defaulted/ Credit impaired advances. Hence the advances with 90 days past due are classified as Stage 3

Further, the RBI on 27 March 2020, 17 April 2020 and 23 May 2020, announced COVID-19 Regulatory Package on asset classification and provisioning. In terms of these RBI guidelines, the Company granted a moratorium on the repayment of all installments and/or interest, as applicable, due between 1 March 2020 to 31 August 2020 to all eligible borrowers. In respect of such accounts that were granted moratorium, the moratorium period has been excluded from determining overdue days.

51.1.2.1.2 Significant increase in credit risk

The Company continuously monitors all assets subject to ECLs. In order to determine whether an instrument or a portfolio of instruments is subject to 12 months ECL or lifetime ECL, the Company assesses whether there has been a significant increase in credit risk since initial recognition. The Company considers an exposure to have significant increase in credit risk if contractual payments are more than 30 days past due.

Company is continuously monitoring the situation post COVID-19 and its impact on the portfolio. The company has done detailed internal portfolio risk assessment and ECL estimate basis which one time exceptional loss provision in lieu of COVID impact has been taken in FY 2019-20 and FY 2020-21.

51.1.2.1.3 Definition of default and cure

The Company considers a financial instrument defaulted and therefore Stage 3 (credit impaired) for ECL calculations in all cases when the borrower becomes 90 days past due on its contractual payments.

As a part of a qualitative assessment of whether a customer is in default, the Company also considers a variety of instances that may indicate unlikeness to pay. When such events occur, the Company carefully considers whether the event should result in treating the customer as defaulted and therefore assessed as Stage 3 for ECL calculations or whether Stage 2 is appropriate. Such events include:

- a) Significant financial difficulty of the borrower or issuer;
- b) A breach of contract such as a default or past due event;
- c) The restructuring of a loan or advance by the company on terms that the company would not consider otherwise."

It is the Company's policy to consider a financial instrument as 'cured' and therefore re-classified out of Stage 3 when the borrower makes necessary payments & the borrower is not 90 days past due over such payments. The decision whether to classify an asset as Stage 2 or Stage 1 once cured depends on the updated credit grade, at the time of the cure, and whether this indicates there has been a significant increase in credit risk compared to initial recognition.

51.1.2.1.4 PD estimation process

The probability of default is an estimate of the likelihood of default over a given time horizon. A default may only happen at a certain time over the assessed period, if the facility has not been previously derecognized and is still in the portfolio.

Probability of Default computation :-

- a) The Company has applied 12 months PD to Stage 1 Advances
- b) The Lifetime PD is computed using basic exponentiation technique after considering the residual maturity of the respective loan.
- c) PD of 100% is considered for Stage 3 assets.

In cases where data for estimation of PD is not available, the company has used industry benchmarks for computation of PD.

51.1.2.1.5 Loss given default

The loss given default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that would be expected to receive, including from realization of any prime/ collateral security. For LGD computation, the rates used from the foundation internal rating based approach and dynamic loan loss provisioning model is also taken into account. In cases where data for estimation of LGD is not available, the company has used industry benchmarks.

51.1.2.2 Analysis of risk concentration - Refer Note 55.11.6

51.1.2.3 Collateral and other credit enhancements

The amount and type of collateral required depends on an assessment of the credit risk of the counterparty. Company has Guidelines in place covering the acceptability and valuation of each type of collateral. The Company also adheres to the RBI guidelines in respect of maintenance of adequate Loan to Value Ratios.

The main types of collateral for loans are Registered/ equitable mortgage of property, Hypothecation of assets including Gold. Management monitors the market value of collateral and requests additional collateral in accordance with the underlying agreement. In case of defaults by customers, where the Company is unable to recover the dues, the Company through a legal process enforces the security and recover the dues.

51.1.2.4 Impact of COVID-19

(a) Expected Credit Loss

The COVID-19 pandemic continues to spread across the globe and India, which has contributed to a significant volatility in global and Indian financial markets and a significant decrease in global and local economic activities. The financial statements, includes the potential impact of the COVID-19 pandemic on the Company's financial statements which are dependent on future

developments, which are highly uncertain, including, among other things, any new information concerning the severity of the second wave of COVID-19 pandemic and any action to contain its spread or mitigate its impact whether Government mandated or elected by the Company and its subsequent impact on the recoverability's on the Company's assets. The Company has, based on current available information and based on the policy approved by the board, determined the provision for impairment of financial assets including the additional overlay for uncertainty over the potential macro-economic impact of the pandemic. Based on the current indicators of future economic conditions, the Company considers this provision to be adequate and expects to recover the carrying amount of these financial assets. Given the uncertainty over the potential macro-economic condition, the impact of the global health pandemic may be different from that estimated as at the date of approval of these financial statements and the Company will continue to closely monitor any material changes to future economic conditions. The Company holds a management overlay of ₹1,925.46 Lakh as at 31 March 2021 (₹1,499.00 Lakh as at 31 March 2020) in addition to expected credit loss provision for loans aggregating to ₹4,599.40 Lakh as on 31 March 2021 (₹2,207.94 Lakh as at 31 March 2020).

(b) Payment of Ex-gratia benefit

The Government of India, Ministry of Finance, vide its notification dated 23 October 2020, had announced COVID-19 Relief scheme for grant of ex-gratia payment of difference between compound interest and simple interest ("differential amount") for six months to borrowers in specified loan accounts ("the Scheme"), as per the eligibility criteria and other aspects specified therein and irrespective of whether RBI moratorium was availed or not. During the year, the company has charged differential amount of ₹332.09 Lakh from 28,965 customers out of which ₹288.67 Lakh was credited to 21,216 customers to their individual accounts and balance not credited as on 31 March 2021 ₹43.42 Lakh of 7,749 individual customers where loan has been closed and the amount has been parked under Trade Payables in the Financial Statements.

(c) Interest on Interest

In accordance with the instructions in the Circular RBI/2021-22/17 DOR.STR.REC.4/21.04.046/2021-22 dated 7 April 2021, the Company shall refund/ adjust "interest on interest" to all borrowers during the moratorium period, irrespective of whether moratorium had been fully or partially availed, or not availed. Pursuant to these instructions, the methodology for calculation of the amount of such 'interest on interest' has been finalized by the Indian Banks Association (IBA) in consultation with other industry participants/ bodies on 19 April 2021. The Company has adjusted ₹18.99 Lakh pertaining to 235 individual customers in the Financial Statements as at 31 March 2021 and shall subsequently credit the amount to individual customer accounts.

51.1.3. Liquidity risk and funding management

Liquidity risk is defined as the risk that the Company will encounter difficulty in meeting obligations associated with financial liabilities that are settled by delivering cash or another financial asset. Liquidity risk arises because of the possibility that the Company might be unable to meet its payment obligations when they fall due as a result of mismatches in the timing of the cash flows under both normal and stress circumstances. Such scenarios could occur when funding needed for illiquid asset positions is not available to the Company on acceptable terms. To limit this risk, management has arranged for diversified funding sources and adopted a policy of managing assets with liquidity in mind and monitoring future cash flows and liquidity on a daily basis. Liquidity risk is managed in accordance with our Asset Liability Management Policy. This policy is framed as per the current regulatory guidelines and is approved by the Board of Directors. The Asset Liability Management Policy is reviewed periodically to incorporate changes as required by regulatory stipulation or to realign the policy with changes in the economic landscape. The Asset Liability Committee (ALCO) of the Company formulates and reviews strategies and provides guidance for management of liquidity risk within the framework laid out in the Asset Liability Management Policy.

Analysis of financial assets and liabilities by remaining contractual maturities is provided in Note 39

51.1.4. Interest rate risk

Interest rate risk arises from the possibility that changes in interest rates will affect future cash flows or the fair values of financial instruments.

The core business of the company is providing loan against property, loan against gold and personal loans. The company borrows through various financial instruments to finance its core lending activity. These activities expose the company to interest rate risk. Interest rate risk is measured through earnings at risk from an earnings perspective and through duration of equity from an economic value perspective. Further, exposure to fluctuations in interest rates is also measured by way of gap analysis, providing a static view of the maturity and re-pricing characteristic of Balance sheet positions. An interest rate sensitivity gap report is prepared by classifying all rate sensitive assets and rate sensitive liabilities into various time period categories according to contracted/ behavioral maturities or anticipated re-pricing date. The difference in the amount of rate sensitive assets and rate sensitive liabilities maturing or being re-priced in any time period category, gives an indication of the extent of exposure to the risk of potential changes in the margins on new or re-priced assets and liabilities. The interest rate risk is monitored on a quarterly basis.

The following table demonstrates the sensitivity to a reasonably possible change in interest rates (all other variables being considered as constant) of the Company's statement of profit and loss and equity.

(₹ In Lakh)

Currency of borrowing	Increase/ (decrease) in basis points 2020-21	Sensitivity of profit or loss		Sensitivity of equity	
		2020-21	2020-21	2020-21	2020-21
Borrowings (₹)	25 Basis point Up	Impact on Profit before Tax	(730.28)	Impact on equity	(546.48)
	50 Basis point Up		(1,460.56)		(1,092.97)
	25 Basis point Down		730.28		546.48
	50 Basis point Down		1,460.56		1,092.97
Loans (₹)	25 Basis point Up	Impact on Profit before Tax	423.23	Impact on equity	316.71
	50 Basis point Up		846.46		633.42
	25 Basis point Down		(423.23)		(316.71)
	50 Basis point Down		(846.46)		(633.42)
Investments (₹)	25 Basis point Up	Impact on Profit before Tax	390.57	Impact on equity	292.27
	50 Basis point Up		781.15		584.55
	25 Basis point Down		(390.57)		(292.27)
	50 Basis point Down		(781.15)		(584.55)
2019-20		2019-20	2019-20		
Borrowings (₹)	25 Basis point Up	Impact on Profit before Tax	(559.86)	Impact on equity	(418.95)
	50 Basis point Up		(1,119.71)		(837.90)
	25 Basis point Down		559.86		418.95
	50 Basis point Down		1,119.71		837.90
Loans (₹)	25 Basis point Up	Impact on Profit before Tax	340.71	Impact on equity	254.96
	50 Basis point Up		681.43		509.93
	25 Basis point Down		(340.71)		(254.96)
	50 Basis point Down		(681.43)		(509.93)
Investments (₹)	25 Basis point Up	Impact on Profit before Tax	424.66	Impact on equity	317.78
	50 Basis point Up		849.33		635.57
	25 Basis point Down		(424.66)		(317.78)
	50 Basis point Down		(849.33)		(635.57)

52. Transferred financial assets that are not derecognized in their entirety

During the year, the Company has entered into a securitization arrangement to transfer the part of its portfolio of Gold Loans. The terms of the arrangement include over collateralization of the assets of the Company through lien on Fixed deposits. Since the company has retained significant risk in the transfer of the portfolio, the asset is retained in the books. Consequently, the amount received as sale consideration is shown as Collateralized borrowings in the financial statements. The Carrying amount of the aforesaid transferred asset is ₹6,684.03 Lakh for Gold Loan portfolio (Previous Year ₹8,474.52 Lakh for Gold loan portfolio)

53. Schedule to the Balance Sheet under Annex IV of Master Direction - Non-Banking Financial Company - Systemically Important Non-Deposit taking Company and Deposit taking Company (Reserve Bank) Directions, 2016

Liabilities Side

1 Loans and advances availed by the non banking financial company inclusive of interest accrued thereon but not paid:

(₹ In Lakh)

Particulars	As at 31 March 2021		As at 31 March 2020	
	Amount Outstanding	Amount Overdue	Amount Outstanding	Amount Overdue
a) Debentures:				
Secured	15,844.68	-	32,428.68	-
Unsecured	-	-	-	-
(other than falling within the meaning of public deposits)				
b) Deferred Credits	-	-	-	-
c) Term Loans	255,676.93	-	255,834.09	-
d) Inter Corporate loans and borrowings	-	-	-	-
e) Commercial Paper	-	-	-	-
f) Other Loans				
Collateralized Borrowings	6,729.76	-	15,648.54	-
Total	278,251.37	-	303,911.31	-

Assets Side

2 Breakup of Loans and Advances including bills receivables (other than those included in (3) below):

Particulars	As at 31 March 2021	As at 31 March 2020
	Amount Outstanding	Amount Outstanding
a) Secured	190,165.05	135,502.85
b) Unsecured	20,542.92	19,390.10

3 Breakup of Leased Assets and stock on hire and other assets counting towards asset financing activities:

Particulars	As at 31 March 2021	As at 31 March 2020
	Amount Outstanding	Amount Outstanding
i) Lease assets including lease rentals under sundry debtors:		
a) Financial Lease	-	-
b) Operating Lease	-	-
ii) Stock on hire including hire charges under sundry debtors:		
a) Assets on hire	-	-
b) Repossessed Assets	-	-
iii) Other loans counting towards asset financing activities		
a) Loans where assets have been repossessed	-	-
b) Loans other than (a) above	-	-

4 Breakup of Investments:

Particulars	As at 31 March 2021 Amount Outstanding	As at 31 March 2020 Amount Outstanding
Current Investments:		
1. Quoted:		
i) Shares: (a) Equity	-	-
(b) Preference	-	-
ii) Debentures and Bonds	-	-
iii) Units of mutual funds	39,540.98	-
iv) Government Securities	-	-
v) Others (please specify)	-	-
2. Unquoted:		
i) Shares: (a) Equity	-	-
(b) Preference	-	-
ii) Debentures and Bonds	-	-
iii) Units of mutual funds	-	-
iv) Government Securities	-	-
v) Others	-	-
Investment in Pass Through certificates (PTC)	29,993.71	18,807.48
Long Term investments:		
1. Quoted:		
i) Shares: (a) Equity	-	-
(b) Preference	-	-
ii) Debentures and Bonds	-	-
iii) Units of mutual funds	-	-
iv) Government Securities	-	-
v) Others (please specify)	-	-
2. Unquoted:		
i) Shares: (a) Equity	-	-
(b) Preference	-	-
ii) Debentures and Bonds	-	-
iii) Units of mutual funds	-	-
iv) Government Securities	-	-
v) Others	-	-
Investment in Pass Through certificates (PTC)	78,890.22	169,100.19

5 Borrower groupwise classification of assets financed as in (2) and (3) above:

(₹ In Lakh)

Category	As at 31 March 2021 Amount net of Provisions			As at 31 March 2020 Amount net of Provisions		
	Secured	Unsecured	Total	Secured	Unsecured	Total
1. Related Parties						
a) Subsidiaries	-	-	-	-	-	-
b) Companies in the same group	-	-	-	-	-	-
c) Other related parties	-	-	-	-	-	-
2. Other than related parties	190,165.05	20,542.92	210,707.97	135,502.85	19,390.10	154,892.95
Total	190,165.05	20,542.92	210,707.97	135,502.85	19,390.10	154,892.95

6 Investor groupwise classification of all investments (current and long term) in shares and securities (both quoted and unquoted):

(₹ In Lakh)

Category	As at 31 March 2021		As at 31 March 2020	
	Market Value/ Break up or fair value or NAV	Book Value (Net of Provisions)	Market Value/ Break up or fair value or NAV	Book Value (Net of Provisions)
1. Related Parties				
a) Subsidiaries	-	-	-	-
b) Companies in the same group	-	-	-	-
c) Other related parties	-	-	-	-
2. Other than related parties	148,424.91	148,424.91	187,907.67	187,907.67
Total	148,424.91	148,424.91	187,907.67	187,907.67

7 Other information:

(₹ In Lakh)

Particulars	As at 31 March 2021 Amount	As at 31 March 2020 Amount
i) Gross Non Performing Assets		
a) Related Parties	-	-
b) Other than related parties	6,665.46	3,568.64
ii) Net Non Performing Assets		
a) Related Parties	-	-
b) Other than related parties	4,115.87	2,469.34
iii) Assets acquired in satisfaction of debt	-	-

54- Disclosure of Restructured Accounts as per Appendix 4 of Master Direction - Non-Banking Financial Company - Systemically Important Non-Deposit taking Company and Deposit taking Company (Reserve Bank) Directions, 2016

(₹ In Lakh)

Sl No.	Type of Restructuring	Asset Classification Details	Under CDR Mechanism				Under SME Debt Restructuring Mechanism				Others				Total																	
			Standard	Sub-Standard	Doubtful	Loss	Total	Standard	Sub-Standard	Doubtful	Loss	Total	Standard	Sub-Standard		Doubtful	Loss															
1	Restructured Accounts as on 1 April 2020	No. of borrowers Amount outstanding Provision thereon	-	-	-	-	5	-	-	5	-	-	-	-	5	-	352.93	-	-	-	352.93	-	-	-	19.06	756	536.00	4,728.96	44.00	283.10	-	283.10
2	Fresh restructuring during the year	No. of borrowers Amount outstanding Provision thereon	-	-	-	-	471	-	-	471	285	-	-	-	285	756	-	-	-	-	536.00	4,728.96	-	-	-	-	4,728.96	-	-	-	283.10	
3	Upgradations to restructured standard category during the FY	No. of borrowers Amount outstanding Provision thereon	-	-	-	-	239.10	-	-	239.10	44.00	-	-	-	44.00	283.10	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
4	Restructured standard advances which cease to attract higher provisioning and/or additional risk weight at the end of the FY and hence need not be shown as restructured standard advances at the beginning of the next FY	No. of borrowers Amount outstanding Provision thereon	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
5	Downgradations of restructured accounts during the FY	No. of borrowers Amount outstanding Provision thereon	-	-	-	-	(4)	4	-	-	(2)	2	-	-	-	(6)	6	-	-	-	(192.18)	192.18	-	-	-	-	-	-	-	-	-	
6	Write-offs of restructured accounts during the FY	No. of borrowers Amount outstanding Provision thereon	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
7	Restructured Accounts as on 31 March 2021	No. of borrowers Amount outstanding Provision thereon	-	-	-	-	472	4	-	-	476	283	2	-	285	755	6	-	-	-	536.00	4,889.71	192.18	-	-	-	-	5,081.89	-	-	-	320.61

(₹ In Lakh)

Sl No.	Type of Restructuring	Under CDR Mechanism												Under SME Debt Restructuring Mechanism					Others			Total		
Asset Classification		Standard	Sub-Standard	Doubtful	Loss	Total	Standard	Sub-Standard	Doubtful	Loss	Total	Standard	Sub-Standard	Doubtful	Loss	Total	Standard	Sub-Standard	Doubtful	Loss	Total			
Details																								
1	Restructured Accounts as on 1 April 2019	No. of borrowers	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-			
		Amount outstanding	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-			
		Provision thereon	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-			
2	Fresh restructuring during the year	No. of borrowers	-	-	-	-	5	-	-	-	5	-	-	-	-	-	5	-	-	-	5			
		Amount outstanding	-	-	-	-	-	352.93	-	-	-	352.93	-	-	-	-	-	352.93	-	-	-	352.93		
		Provision thereon	-	-	-	-	-	19.06	-	-	-	19.06	-	-	-	-	-	19.06	-	-	-	19.06		
3	Upgradations to restructured standard category during the FY	No. of borrowers	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-			
		Amount outstanding	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-			
		Provision thereon	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-			
4	Restructured standard advances which cease to attract higher provisioning and / or additional risk	No. of borrowers	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-			
		Amount outstanding	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-			
		Provision thereon	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-			
5	Downgradations of restructured accounts during the FY	No. of borrowers	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-			
		Amount outstanding	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-			
		Provision thereon	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-			
6	Write-offs of restructured accounts during the FY	No. of borrowers	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-			
		Amount outstanding	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-			
		Provision thereon	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-			
7	Restructured Accounts as on 31 March 2020	No. of borrowers	-	-	-	-	5	-	-	-	5	-	-	-	-	-	5	-	-	-	5			
		Amount outstanding	-	-	-	-	-	352.93	-	-	-	352.93	-	-	-	-	-	352.93	-	-	-	352.93		
		Provision thereon	-	-	-	-	-	19.06	-	-	-	19.06	-	-	-	-	-	19.06	-	-	-	19.06		

55 Disclosure as required in terms of Annexure XIV of Non-Banking Financial Company - Systemically Important Non-Deposit taking Company and Deposit taking Company (Reserve Bank) Directions, 2016

55.1 Disclosure on CRAR

(₹ in Lakh except %)

Particulars	As at 31 March 2021	As at 31 March 2020
(i) CRAR (%)	26.25%	21.89%
(ii) CRAR - Tier I Capital (%)	25.62%	21.36%
(iii) CRAR - Tier II Capital (%)	0.63%	0.53%
(iv) Amount of subordinated debt raised as Tier-II capital	-	-
(v) Amount raised by issue of Perpetual Debt Instruments	-	-

55.2 Investments

	As at 31 March 2021	As at 31 March 2020
Value of Investments		
(i) Gross Value of Investments		
(a) In India	148,424.91	187,907.67
(b) Outside India	-	-
(ii) Provisions for Depreciation		
(a) In India	-	-
(b) Outside India	-	-
(iii) Net Value of Investments		
(a) In India	148,424.91	187,907.67
(b) Outside India	-	-
Movement of provisions held towards depreciation on investments		
(i) Opening balance	-	-
(ii) Add : Provisions made during the year	-	-
(iii) Less : Write-off / write-back of excess provisions during the year	-	-
(v) Closing balance	-	-

55.3 Derivatives

55.3.1 Forward Rate Agreement / Interest Rate Swap

	As at 31 March 2021	As at 31 March 2020
(i) The notional principal of swap agreements	-	-
(ii) Losses which would be incurred if counterparties failed to fulfill their obligations under the agreements	-	-
(iii) Collateral required by the NBFC upon entering into swaps	-	-
(iv) Concentration of credit risk arising from the swaps	-	-
(v) The fair value of the swap book	-	-

55.3.2 Exchange Traded Interest Rate (IR) Derivatives

	As at 31 March 2021	As at 31 March 2020
(i) Notional principal amount of exchange traded IR derivatives undertaken during the year (instrument-wise)	-	-
(ii) Notional principal amount of exchange traded IR derivatives o/s as on 31 March 2021 (instrument-wise)	-	-
(iii) Notional principal amount of exchange traded IR derivatives o/s and not "highly effective" (instrument-wise)	-	-
(iv) Mark-to-market value of exchange traded IR derivatives o/s and not "highly effective" (instrument-wise)	-	-

55.3.3 Disclosures on Risk Exposure in Derivatives

Qualitative Disclosures

Not applicable as there are no derivatives.

Quantitative Disclosures

	As at 31 March 2021		As at 31 March 2020	
	Currency Derivatives	Interest Rate Derivatives	Currency Derivatives	Interest Rate Derivatives
(i) Derivatives (Notional Principal Amount)				
For Hedging	-	-	-	-
(ii) Marked to Market Positions				
a) Asset (+)	-	-	-	-
b) Liability (-)	-	-	-	-
(iii) Credit Exposure	-	-	-	-
(iv) Unhedged Exposures	-	-	-	-

55.4.1 Disclosures relating to Securitisation

	As at 31 March 2021	As at 31 March 2020
1 No of SPVs sponsored by the NBFC for securitisation transactions	2	2
2 Total amount of securitized assets as per books of the SPVs sponsored	6,706.10	15,648.54
3 Total amount of exposures retained by the NBFC to comply with MRR as on the date of balance sheet:		
(a) Off-balance sheet exposures		
First loss	-	-
Others	-	-
(b) On-balance sheet exposures		
First loss	1,768.40	1,523.73
Others	1,568.00	1,947.56
4 Amount of exposures to securitisation transactions other than MRR		
(a) Off-balance sheet exposures		
i) Exposure to own securitisations		
First loss	-	-
Others	-	-
ii) Exposure to third party securitisations		
First loss	-	-
Others	-	-
(b) On-balance sheet exposures		
i) Exposure to own securitisations		
First loss	-	-
Others	-	-
ii) Exposure to third party securitisations		
First loss	-	-
Others	-	-

55.4.2 Details of Financial Assets sold to Securitisation/ Reconstruction Company for Asset Reconstruction

	As at 31 March 2021	As at 31 March 2020
No. of accounts	-	-
Aggregate value (net of provisions) of accounts sold to SC/ RC	-	-
Aggregate consideration	-	-
Additional consideration realized in respect of accounts transferred in earlier years	-	-
Aggregate gain/ loss over net book value	-	-

55.4.3 Details of Assignment transactions undertaken by NBFCs

	As at 31 March 2021	As at 31 March 2020
No. of accounts	-	-
Aggregate value (net of provisions) of accounts sold to SC/ RC	-	-
Aggregate consideration	-	-
Additional consideration realized in respect of accounts transferred in earlier years	-	-
Aggregate gain/ loss over net book value	-	-

55.4.4 Details of non-performing financial assets purchased/ sold *

	As at 31 March 2021	As at 31 March 2020
(A) Details of non-performing financial assets purchased:		
No. of accounts purchased during the year	-	-
Aggregate outstanding	-	-
Of these, number of accounts restructured during the year	-	-
Aggregate outstanding	-	-
(B) Details of non-performing financial assets sold:		
No. of accounts sold during the year	-	16
Aggregate outstanding	-	853.47
Aggregate consideration received	-	393.00

55.5 Asset Liability Management Maturity pattern of certain items of Assets and Liabilities as on 31 March 2021:

(₹ In Lakh)

	1 to 7 days	8 to 14 days	15 to 30/ 31 days	Over 1 month and upto 2 months	Over 2 months and upto 3 months	Over 3 months and upto 6 months	Over 6 months and upto 1 year	Over 1 year and upto 3 years	Over 3 years and upto 5 years	Over 5 years	Total
Advances	4,332.38	13.23	993.64	2,873.86	2,784.98	16,600.76	43,765.19	29,074.88	27,680.96	89,907.46	218,027.34
Investments	39,540.98	3,003.88	-	2,347.46	2,368.25	7,232.52	15,041.59	53,672.49	25,217.74	-	148,424.91
Borrowings	152.67	1,583.33	121.38	880.37	10,811.47	14,358.27	42,036.65	91,897.70	69,719.14	46,690.39	278,251.37

Asset Liability Management Maturity pattern of certain items of Assets and Liabilities as on 31 March 2020:

(₹ In Lakh)

	1 to 7 days	8 to 14 days	15 to 30/ 31 days	Over 1 month and upto 2 months	Over 2 months and upto 3 months	Over 3 months and upto 6 months	Over 6 months and upto 1 year	Over 1 year and upto 3 years	Over 3 years and upto 5 years	Over 5 years	Total
Advances	4,085.33	12.48	936.98	1,595.21	1,699.72	8,278.33	31,422.13	23,506.19	22,286.06	65,503.08	159,325.50
Investments	-	2,629.98	-	1,404.30	1,417.47	4,331.11	9,024.62	41,094.77	49,975.23	78,030.19	187,907.67
Borrowings	99.91	-	622.01	1,258.83	2,140.52	47,635.48	25,256.88	79,797.91	68,645.00	81,830.36	307,286.90

Note:-

- Income/ expenses accrued but not due on above assets and liabilities are included.
- Borrowing include interest accrued and due and interest accrued but not due.
- Maturity pattern of assets and liability has been compiled by management on contractual payment basis and relied upon by the auditors.

55.6 Exposures**55.6.1 Exposure to Real Estate Sector**

	As at 31 March 2021	As at 31 March 2020
Direct Exposure:		
(i) Residential Mortgages		
Lending fully secured by mortgages on residential property that is or will be occupied by the borrower or that is rented	115,495.17	82,177.30
(ii) Commercial Real Estate		
Lending secured by mortgages on commercial real estates (office buildings, retail space, multipurpose commercial premises, multi-family residential buildings, multi-tenanted commercial premises, industrial or warehouse space, hotels, land acquisition, development and construction, etc.). Exposure would also include non-fund based limits	23,204.35	19,195.43
(iii) Investments in Mortgage Backed Securities (MBS) and other securitised exposures-		
a. Residential	-	-
b. Commercial Real Estate	-	-
Indirect Exposure:		
Fund based and non-fund based exposures on National Housing Bank (NHB) and Housing Finance Companies (HFCs).	108,883.93	187,907.67

55.6.2 Exposures to Capital Market

Particulars	As at 31 March 2021	As at 31 March 2020
(i) Direct investment in equity shares, convertible bonds, convertible debentures and units of equity-oriented mutual funds the corpus of which is not exclusively invested in corporate debt;	-	-
(ii) Advances against shares/ bonds/ debentures or other securities or on clean basis to individuals for investment in shares (including IPOs/ ESOPs), convertible bonds, convertible debentures, and units of equity-oriented mutual funds;	-	-
(iii) Advances for any other purposes where shares or convertible bonds or convertible debentures or units of equity oriented mutual funds are taken as primary security;	-	-
(iv) Advances for any other purposes to the extent secured by the collateral security of shares or convertible bonds or convertible debentures or units of equity oriented mutual funds i.e. where the primary security other than shares/ convertible bonds/ convertible debentures/ units of equity oriented mutual funds 'does not fully cover the advances;	-	-
(v) Secured and unsecured advances to stockbrokers and guarantees issued on behalf of stockbrokers and market makers;	-	-
(vi) Loans sanctioned to corporates against the security of shares/ bonds/ debentures or other securities or on clean basis for meeting promoter's contribution to the equity of new companies in anticipation of raising resources;	-	-
(vii) Bridge loans to companies against expected equity flows/ issues;	-	-
(viii) All exposures to Venture Capital Funds (both registered and unregistered) Total Exposure to Capital Market	-	-

55.6.3 Details of financing of parent company products

The Company does not finance parent company products

55.6.4 Details of Single Borrower Limit (SGL)/ Group Borrower Limit (GBL) exceeded by the NBFC

The Company has not exceeded Single Borrower Limit (SGL)/ Group Borrower Limit (GBL) during the year

55.6.5 Unsecured Advances

The Company has financed Unsecured Loans amounting to ₹21,865.82 Lakh as on 31 March 2021 (₹20,134.40 Lakh as on 31 March 2020).

55.7 Registration obtained from other financial sector regulators

The company has not engaged into any business activity which are governed by other financial sector regulator. Hence, no registration was obtained.

55.8 Disclosure of Penalties imposed by RBI and other regulators

There is no instance of penalty or stricture imposed on the Company by RBI or any other regulatory on matter during the current or previous year.

55.9 Related Party Transactions

Refer Note 44

55.10 Ratings assigned by credit rating agencies and migration of ratings during the year ended 31 March 2021:**(a) Rating Assigned by ICRA Limited**

Date of rating	Products	Rating Assigned
16 October 2020	Bank Loan & Non - Convertible Debentures Rating	[ICRA]A(Stable)

(b) Rating Assigned by India Ratings & Research Private Limited

Date of rating	Products	Rating Assigned
05 March 2021	Bank Loan & Non - Convertible Debentures Rating	IND A / Stable

There was no migration of rating during the year

Ratings assigned by credit rating agencies and migration of ratings during the year ended 31 March 2020:**(a) Rating Assigned by ICRA Limited**

Date of rating	Products	Rating Assigned
29 August 2019	Bank Loan & Non - Convertible Debentures Rating	[ICRA]A(Stable)

(b) Rating Assigned by India Ratings & Research Private Limited

Date of rating	Products	Rating Assigned
25 October 2019	Bank Loan & Non - Convertible Debentures Rating	IND A / Stable

55.11 Additional disclosures**55.11.1 Net Profit or Loss for the period, prior period items and changes in accounting policies**

There are no prior period transactions included in the current year's statement of profit and loss and also there is no change in accounting policy during the current year.

55.11.2 Revenue Recognition (Refer Note 2.5)

There is no transaction in which the Revenue recognition has been postponed or pending the resolution of significant uncertainty

55.11.3 Indian Accounting Standard 110 -Consolidated Financial Statements (CFS)

The Company does not have any subsidiary.

55.11.4 Provisions and Contingencies

Break up of 'Provisions and Contingencies' shown under the head Expenditure in Statement of Profit and Loss

₹ In Lakh)		
Particulars	31 March 2021	31 March 2020
(a) Provisions for depreciation on Investment	-	-
(b) Provision towards NPA	1,450.29	1,018.12
(c) Provision made towards income tax	3,006.79	-
(d) Other provisions and Contingencies	-	-
(e) Provision for gratuity	77.88	45.98
(f) Provision for leave encashment	-	-
(g) Provision for depreciation	930.06	793.71
(h) Contingent provision for standard assets	1,367.61	1,812.34

55.11.5 Draw Down from Reserves

The Company has not drawn down any reserves during the current year/ previous year.

55.11.6 Concentration of Deposits, Advances, Exposures and NPAs**(a) Concentration of Deposits (for deposit taking NBFCs)**

Particulars	31 March 2021	31 March 2020
Total Deposits of twenty largest depositors	-	-
Percentage of Deposits of twenty largest depositors to Total Deposits of the NBFC	-	-

Note: The Company is not a deposit taking NBFC and has not obtained any deposits from public

(b) Concentration of Advances

Particulars	31 March 2021	31 March 2020
Total Advances to twenty largest borrowers	3,805.57	3,659.36
Percentage of Advances to twenty largest borrowers to Total Advances of the NBFC	1.77%	2.33%

(c) Concentration of Exposures

Particulars	31 March 2021	31 March 2020
Total Exposure to twenty largest borrowers / customers	3,805.57	3,659.36
Percentage of Exposures to twenty largest borrowers / customers to Total Exposure of the NBFC on borrowers / customers	1.77%	2.33%

(d) Concentration of NPAs

Particulars	31 March 2021	31 March 2020
Total Exposure to top four NPA accounts	566.79	573.14

(e) Sector wise NPAs

Sector	Percentage of NPAs to Total Advances in that sector	
	31 March 2021	31 March 2020
1 Agriculture & allied activities	-	-
2 MSME	4.10%	2.30%
3 Corporate borrowers	-	-
4 Services	3.24%	3.00%
5 Unsecured personal loans	5.72%	0.57%
6 Auto loans	99.00%	22.01%
7 Other loans	1.50%	1.38%

(f) Disclosure for restructured advances

Refer Note 54

(g) Movement of NPAs

Particulars	31 March 2021	31 March 2020
Net NPAs to Net Advances (%)	1.94%	1.59%
Movement of NPAs (Gross)		
(a) Opening balance	3,568.64	502.03
(b) Additions during the year	4,066.37	3,883.41
(c) Reductions during the year	969.55	816.80
(d) Closing balance	6,665.46	3,568.64
Movement of Net NPAs		
(a) Opening balance	2,469.34	367.96
(b) Additions during the year	2,502.93	2,680.68
(c) Reductions during the year	856.40	579.30
(d) Closing balance	4,115.87	2,469.34
Movement of provisions for NPAs (excluding provisions on standard assets)		
(a) Opening balance	1,099.30	134.07
(b) Provisions made during the year	1,563.44	1,202.73
(c) Write-off / write-back of excess provisions	113.15	237.50
(d) Closing balance	2,549.59	1,099.30

55.11.7 Overseas Assets

The Company does not have any overseas assets.

55.11.8 Off Balance sheet SPVs sponsored (which are required to be consolidated as per accounting norms)

The Company does not have SPVs sponsored (which are required to be consolidated as per accounting norms)

55.11.9 Customer Complaints

	As at 31 March 2021	As at 31 March 2020
(a) No. of complaints pending at the beginning of the year	-	-
(b) No. of complaints received during the year	134	89
(c) No. of complaints redressed during the year	134	89
(d) No. of complaints pending at the end of the year	-	-

55.11.10 Disclosure of Frauds reported during the year vide DNBS.PD.CC NO.256/03.10.042/2011-12 Dated 2 March 2012

Particulars	1 April 2020 to 31 March 2021	1 April 2019 to 31 March 2020
a. Persons involved		
Employee	-	-
Total	-	-
b. Type of Fraud		
Misappropriation and criminal breach of trust	-	-
Fraudulent encashment/ manipulation of books of account	-	-
Cheating and forgery	-	-

Note: The company has identified fraud during the year ended 31 March 2021 which was subsequently reported to RBI on 5 May 2021. The company has classified these loans amounting to ₹266.04 Lakh as Loss assets and made provision for entire exposure of ₹266.04 Lakh against the same.

56.1 Disclosure of provisions required under IRACP and impairment allowances made under Ind AS 109 as per Appendix to RBI Circular: DOR (NBFC).CC.PD.No. 109/22.10.106/2019-20 dated 13 March 2020

(₹ In Lakh)

Asset Classification as per RBI Norms as at 31 March 2021	Asset classification as per Ind AS 109	Gross Carrying Amount as per Ind AS	Loss Allowances (Provisions) as required under Ind AS 109	Net Carrying Amount	Provisions required as per IRACP norms	Difference between Ind AS 109 provisions and IRACP norms
(1)	(2)	(3)	(4)	(5)=(3)-(4)	(6)	(7) = (4)-(6)
Performing Assets						
Standard	Stage 1	185,797.09	1,175.88	184,621.21	743.19	432.69
	Stage 2	22,299.14	873.93	21,425.21	361.22	512.71
	Additional Provision	-	1,925.46	-	-	1,925.46
Subtotal		208,096.23	3,975.27	206,046.42	1,104.41	2,870.86
Non-Performing Assets (NPA)						
Substandard	Stage 3	4,695.22	1,483.66	3,211.56	479.33	1,004.33
Doubtful						
up to 1 year	Stage 3	1,569.23	723.11	846.12	317.16	405.95
1 to 3 years	Stage 3	148.39	76.78	71.61	44.52	32.26
More than 3 years	Stage 3	-	-	-	-	-
Subtotal for doubtful		1,717.62	799.89	917.73	361.68	438.21
Loss	Stage 3	252.62	266.04	(13.42)	266.04	-
Subtotal for NPA		6,665.46	2,549.59	4,115.87	1,107.05	1,442.54

(₹ In Lakh)

Asset Classification as per RBI Norms as at 31 March 2021	Asset classification as per Ind AS 109	Gross Carrying Amount as per Ind AS	Loss Allowances (Provisions) as required under Ind AS 109	Net Carrying Amount	Provisions required as per IRACP norms	Difference between Ind AS 109 provisions and IRACP norms
Other items such as guarantees, loan commitments, etc. which are in the scope of Ind AS 109 but not covered under current Income Recognition, Asset Classification and Provisioning (IRACP) norms.	Stage 1	-	-	-	-	-
	Stage 2	-	-	-	-	-
	Stage 3	-	-	-	-	-
Subtotal		-	-	-	-	-
Total	Stage 1	185,797.09	1,175.88	184,621.21	743.19	432.69
	Stage 2	22,299.14	873.93	21,425.21	361.22	512.71
	Stage 3	6,665.46	2,549.59	4,115.87	1,107.05	1,442.54
	Additional Provision	-	1,925.46	-	-	1,925.46
Total		214,761.69	6,524.86	210,162.29	2,211.46	4,313.40

Asset Classification as per RBI Norms as at 31 March 2020	Asset classification as per Ind AS 109	Gross Carrying Amount as per Ind AS	Loss Allowances (Provisions) as required under Ind AS 109	Net Carrying Amount	Provisions required as per IRACP norms	Difference between Ind AS 109 provisions and IRACP norms
(1)	(2)	(3)	(4)	(5)=(3)-(4)	(6)	(7) = (4)-(6)
Performing Assets						
Standard	Stage 1	147,697.76	1,013.78	146,683.98	590.79	422.99
	Stage 2	5,521.14	94.86	5,426.28	134.11	(39.25)
	Additional Provision	-	1,499.00	-	-	1,499.00
Subtotal		153,218.90	2,607.64	152,110.26	724.90	1,882.74
Non-Performing Assets (NPA)						
Substandard	Stage 3	3,275.43	993.00	2,282.43	327.54	665.46
Doubtful						
up to 1 year	Stage 3	292.48	105.92	186.56	58.50	47.42
1 to 3 years	Stage 3	-	-	-	-	-
More than 3 years	Stage 3	0.73	0.38	0.35	0.37	0.01
Subtotal for doubtful		293.21	106.30	186.91	58.87	47.43
Loss	Stage 3	-	-	-	-	-
Subtotal for NPA		3,568.64	1,099.30	2,469.34	386.41	712.89
Other items such as guarantees, loan commitments, etc. which are in the scope of Ind AS 109 but not covered under current Income Recognition, Asset Classification and Provisioning (IRACP) norms.	Stage 1	-	-	-	-	-
	Stage 2	-	-	-	-	-
	Stage 3	-	-	-	-	-
Subtotal		-	-	-	-	-
Total	Stage 1	147,697.76	1,013.78	146,683.98	590.79	422.99
	Stage 2	5,521.14	94.86	5,426.28	134.11	(39.25)
	Stage 3	3,568.64	1,099.30	2,469.34	386.41	712.89
	Additional Provision	-	1,499.00	-	-	1,499.00
Total		156,787.54	3,706.94	154,579.60	1,111.31	2,595.63

56.2 Disclosure pursuant to Reserve Bank of India Circular OR.No.BP.BC.63/21.04.048/ 2020-21 dated 17 April 2020 pertaining to Asset Classification and Provisioning in terms of COVID 19 Regulatory Package

(₹ In Lakh)

Sr No	Particulars	31 March 2021	31 March 2020
i)	Respective amounts in SMA/ overdue categories, where the moratorium/ deferment was extended*	38,643.11	60,217.67
ii)	Respective amount where asset classification benefits is extended**	-	60,217.67
iii)	Provision made on the cases where asset classification benefits has been extended***	-	-
iv)	Provisions adjusted against slippages in the respective period and the residual provisions	-	-

* Outstanding as on 31 March 2021 and 31 March 2020 respectively on account of all cases in SMA/ overdue categories where moratorium benefit was extended by the Company up to 31 August 2020.

** There are NIL accounts where asset classification benefit is extended till 31 March 2021. Post the moratorium period, the movement of aging has been at actuals.

*** The Company has made adequate provisions for impairment loss allowance assets (as per ECL model Refer Note 37) for the year ended 31 March 2021 and 31 March 2020. No specific loan level provisioning is made with respect to loan to which asset classification benefit was extended.

56.3 Disclosures pursuant to RBI Notification - RBI/2020-21/16 DOR.No.BP.BC/3/21.04,048/2020-21 dated 6 August 2020

	(A)	(B)	(C)	(D)	(E)
Type of Borrower	Number of accounts where resolution plan has been implemented under this window	"Exposure to accounts mentioned at (A) before implementation of the plan (₹ in Lakh)	Of (B) aggregate amount of debt that was converted into, other securities	Additional funding sanctioned, if any, including between invocation of the plan and implementation	Increase in provisions on account of the implementation of the resolution plan (₹ in Lakh)
Personal Loans	285	536.00	-	-	38.15
Corporate persons	-	-	-	-	-
of which MSMEs	-	-	-	-	-
Others	-	-	-	-	-
Total	285	536.00	-	-	38.15

* As defined in Section 3(7) of the Insolvency and Bankruptcy Code, 2016

56.4 Disclosures pursuant to RBI Notification - RBI/2020-21/16 DOR.No.BP.BC/4/21.04,048/2020-21 dated 6 August 2020 (for restructuring of accounts of Micro, Small and medium Enterprises (MSME) sector - Restructuring of Advances having exposure less than or equal to ₹25 Crores)

	(A)	(B)
Type of Borrower	Number of accounts where resolution plan has been implemented under this window	Exposure to accounts mentioned at (A) before implementation of the plan (₹ in Lakh)
MSMEs	476	4545.89

Overall provision for Expected Credit Loss (ECL) against exposures above is ₹7.93 crore as of 31 March 2021.

57 PREVIOUS YEAR FIGURES

Previous year's figures have been regrouped and reclassified wherever necessary to conform to current year's classification.

In terms of our report attached
For **Deloitte Haskins & Sells LLP**
Chartered Accountants
(Firm Registration No.117366W/W-100018)

G K Subramaniam
Partner
Membership No: 109839

Place: Mumbai
Date: 26 May 2021

For and on behalf of the Board of Directors of
SBFC Finance Private Limited
(Erstwhile Small Business FinCredit India Pvt. Ltd.)
CIN:U67190MH2008PTC178270

Mr. Aseem Dhru
CEO & Managing Director
DIN: 01761455

Mr. Narayan Barasia
Chief Financial Officer

Mr. John Mescall
Nominee Director
DIN: 08385575



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